MUMIAS SUGAR
COMPANY LIMITED

2014 ANNUAL REPORT & FINANCIAL STATEMENTS

VISION, MISSION AND CORE VALUES

Our Vision

To be a world class integrated producer of sugar, green energy and related products

Our Mission

To consistently satisfy our customer needs through efficient, innovative and ethical practices while meeting the diverse expectations of other stakeholders

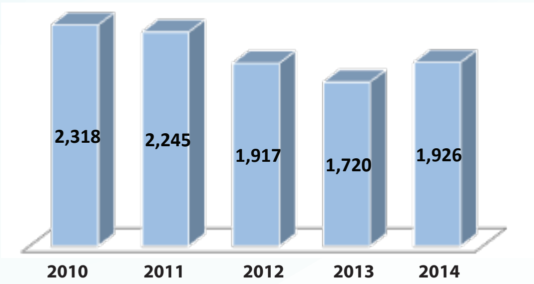
Our Values

- Quality products and services
- Excellence in team driven performance
- Ethical business practices
- Responsible corporate citizenship
- Safety, health and sound environmental practices

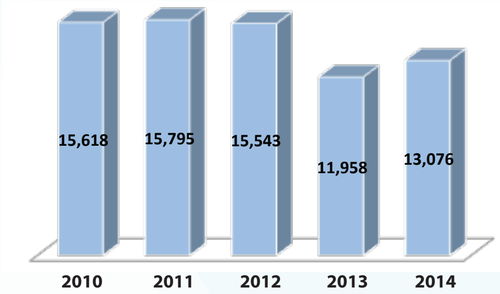
CONTENTS

PERFORMANCE HIGHLIGHTS

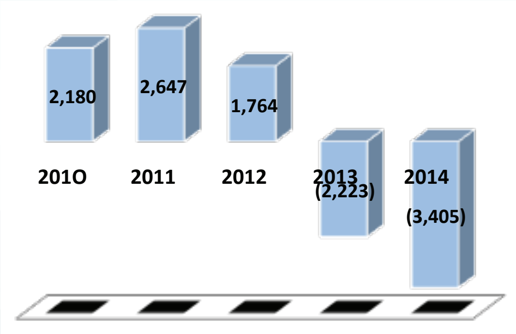
Cane Crushed ('000' tonnes)



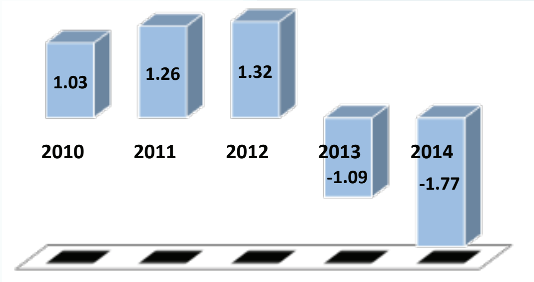
Net Revenue (Ksh Million)



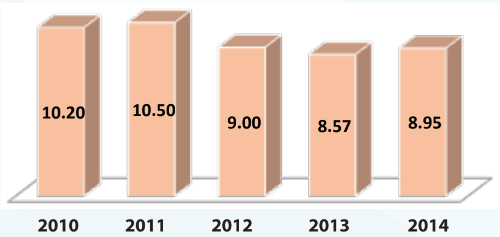
Profit before taxation(Ksh Million)



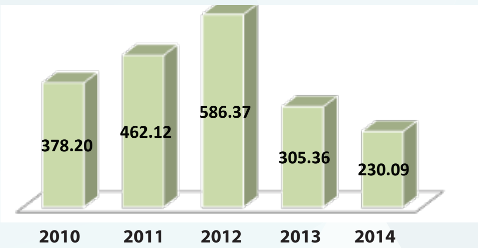
Earnings per share(Ksh)



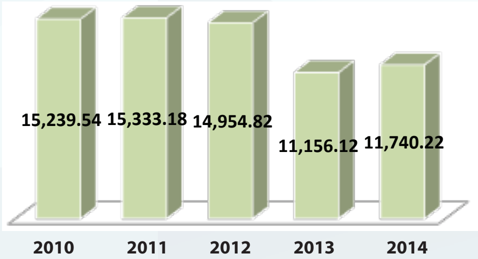
Rendement (%)



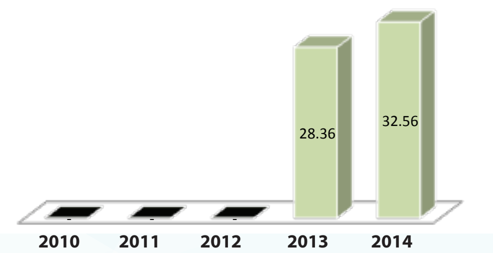
Energy sales (Ksh Million)



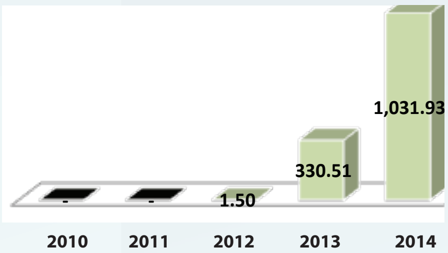
Sugar sales (Ksh Million)



Water sales (Ksh Million)



Ethanol sales (Ksh Million)



FIVE YEAR SUMMARY REVIEW

For the year ended 30 June

	2010 Shs'000	2011 Shs'000	2012 Shs'000	2013 Shs'000	2014 Shs'000
Turnover	15,617,738	15,795,300	15,542,686	11,957,823	13,075,912
Cane purchases from out growers	6,630,910	6,536,896	6,588,976	6,070,735	6,382,030
Gross profit	**4,884,538**	**5,446,730**	**4,487,707**	**1,548,248**	**756,657**
Profit/ (loss) before taxation	2,179,874	2,646,575	1,764,029	(2,222,699)	(3,405,046)
Taxation	(607,491)	(713,350)	248,650	562,293	698,451
Profit/(loss) after taxation	**1,572,383**	**1,933,225**	**2,012,679**	**(1,660,406)**	**(2,706,595)**
Shareholders' funds at period end	10,999,852	14,476,007	15,602,586	13,382,490	10,641,805
Gross profit margin	31.38%	34.4%	28.87%	12.95%	8.38%
Return on capital employed	19.82%	18.28%	11.23%	(16.83)%	(21.15)
Number of shares, '000	1,530,000	1,530,000	1,530,000	1,530,000	1,530,000
Dividends	612,000	765,000	765,000	-	-
Dividends per share, Shs	0.40	0.50	0.5	-	-
Earnings per share, Shs	1.03	1.21	1.31	(1.09)	(1.77)
Direct revenue to Government by way of Value Added Tax, Excise Duty and Income taxes	2,496,155	2,227,900	2,568,269	2,978,278	2,943,672
Staff costs:					
Management	1,129,231	954,974	1,136,712	1,150,448	1,250,574
Non-management	847,141	973,662	876,675	1,012,610	884,983
Total staff costs	**1,976,372**	**1,928,636**	**2,013,387**	**2,163,058**	**2,135,557**
Registered farmers at period end	89,012	104,489	115,002	103,950	101,688
Area under cane (Ha)					
Nucleus estate	3,554	3,683	3,637	3,697	3,600
Outgrowers	55,543	58,580	59,715	53,116	48,897
Cane processed (Thousand Tonnes)	2,318	2,245	1,917	1,720	1,926
Sugar produced (Thousand Tonnes)	236	236	173	147	172
Category of permanent employees:					
Management	541	579	606	626	600
Non-management	982	1,225	1,290	1,306	1,089
Total permanent employees	**1,523**	**1,804**	**1,896**	**1,932**	**1,689**

VALUE ADDED STATEMENT

Financial Impact on Various Stakeholders

CUSTOMERS

Net Cash from our activities

Kshs 13,076m

EMPLOYEES

Staff Costs

Kshs 2,222m

1,689 Employees

SHAREHOLDERS

Profits

Kshs (3,405m)

FARMERS

101,688 Farmers

Cost of Cane = Kshs 6,382 million

Credit to Farmers = Kshs 1,692 m

GOVERNMENT

Taxes

Kshs 2,474m

SUPPLIERS

Purchases

Kshs 4,540m

PROJECTS

Capital Investment

Kshs 509m

BANKS & FINANCIERS

Interest & Charges

Kshs 611m

COMMUNITIES

Corporate Social Investment

Kshs 41m

KSB

KSB Levy

Kshs 470m

CORPORATE INFORMATION

DIRECTORS

Mr D Ameyo	- Chairman
Mr C Otolo	- Managing Director
Mr H Rotich	- (alternate Mrs E Koimett)
Mr J G Chege	
Ms S K Serem	
Mr F K Kigen	
Mr E M Mukabanah	
Mr N Namenge	
Mr J Opindi	
Mrs N Kaminchia	
Mrs E Kyengo	

Mr Dan Ameyo was elected as chairman by the Board on 19 February 2014 and Mrs Elizabeth Kyengo was elected to the Board on 6 December 2013.

BOARD COMMITTEES

Board Risk Audit and Compliance Committee	Mr F Kigen	- Chairman
	Mrs N Kaminchia	
	Mr N Namenge	
Board Nomination and Human Resource Committee	Mr E M Mukabanah	- Chairman
	Mrs E Koimett	
	Mrs N Kaminchia	
	Ms S K Serem	
Board Procurement and Disposal Committee	Mrs E Kyengo	- Chairman
	Mr J G Chege	
	Mr E M.Mukabanah	
	Mr J Opindi	
Board Technical Operations and Projects Committee	Mr J Opindi	- Chairman
	Mr J G Chege	
	Mr F Kigen	
	Mrs E Koimett	
Board Finance and Strategy Committee	Mr J G Chege	- Chairman
	Mrs E Koimett	
	Mr J Opindi	
	Mrs E Kyengo	
Board Agricultural Operations and Cane availability Committee	Mrs Nancy Kaminchia	- Chairman
	Mr E M Mukabanah	
	Mr J Opindi	
	Mr D Ameyo	
	Mr N Namenge	

Mr Coutts Otolo, the Managing Director is an ex-officio member of all the board committees

COMPANY SECRETARY (Ag)

Ms Diana Barasa Amuhaya
Certified Public Secretary (Kenya)
Private Bag, Mumias

REGISTERED OFFICE

Mumias Sugar Company Limited
Private Bag, Mumias

CORPORATE INFORMATION (Cont)

SHARE REGISTRARS

Image Registrars
P O Box 9287 - 00100
Nairobi

PRINCIPAL BANKERS

Kenya Commercial Bank Limited
Kencom House
P O Box 48400-00100
Nairobi

Barclays Bank of Kenya Limited
Corporate Banking
Corporate Service Centre
The West End Level 3, Waiyaki Way
P O Box 30120-00100
Nairobi

The Co-operative Bank of Kenya Limited
Mumias Branch
P O Box 905-50102
Mumias

CFC Stanbic Bank Limited
CFC Stanbic Centre
P O Box 72833-00200
Nairobi

PRINCIPAL ADVOCATES

Hamilton Harrison & Mathews Advocates
Mohammed Muigai & Company Advocates
Wetangula Adan Makokha & Company Advocates

AUDITORS

Deloitte & Touche
Certified Public Accountants (Kenya)
Deloitte Place
Waiyaki Way, Muthangari
P O Box 40092 - 00100
Nairobi

SHAREHOLDING INFORMATION

MAJOR SHAREHOLDERS

The major shareholders on the company's share register as at 30 June 2014 were as follows:

		Number of shares	Percentage holding
1	Cabinet Secretary, Treasury	306,000,000	20.00%
2	Standard Chartered Nominee Account KE17984	35,316,678	2.31%
3	Kenya Commercial Bank Limited	26,322,100	1.72%
4	The Jubilee Insurance Company Limited	22,335,002	1.46%
5	Abdul Karim Charturbhai Popat	14,400,000	0.94%
6	Suresh Naran Ratna Varsani	9,105,300	0.60%
7	Ramila Harji Mavji & Harji Mavji Kerai	9,046,000	0.59%
8	Pradeep Patani	8,961,002	0.59%
9	Standard Chartered Nominee Account KE17914	8,816,000	0.58%
10	Yana Trading Limited	8,589,011	0.56%
11	Others	1,081,108,907	70.65%
	Total	1,530,000,000	100.00%

The major shareholders on the company's share register as at 30 June 2013 were as follows:

		Number of shares	Percentage holding
1	Permanent Secretary, Treasury	306,000,000	20.00%
2	Kenya Commercial Bank Limited	26,322,100	1.72%
3	Standard Chartered Nominees Non-Resd. A/C 9894	26,044,467	1.70%
3	The Jubilee Insurance Company Limited	22,335,002	1.46%
4	Standard Chartered Nominee Account KE 14353	14,545,593	0.95%
5	Abdul Karim Charturbhai Popat	14,400,000	0.94%
6	Baloobhai Chhotabhai Patel	14,057,100	0.92%
7	Standard Chartered Nominees A/C 9098 AC	10,109,575	0.66%
8	Pradeep Patani	8,961,002	0.59%
9	Standard Chartered Nominees Non Resd A/C 9573 AC	8,859,000	0.58%
10	Others	1,078,366,161	70.48%
	Total	1,530,000,000	100%

DIRECTORS' SHAREHOLDING

The directors' direct and indirect interests in the ordinary share capital of the company were as follows:

	Number of shares 30 June 2014	Number of shares 30 June 2013
Cabinet Secretary, Treasury	306,000,000	306,000,000
Mr Dan Ameyo	10,230	-
Ms Sarah Serem	7,500	7,500
Mrs Elizabeth Kyengo	3,000	-
Mr Peter Kebati	-	51,000
	306,020,730	306,058,500

SHAREHOLDING INFORMATION (Cont)

SHAREHOLDERS' PROFILE

Category	Number of shareholders	Number of shares	Percentage holding
Local individuals	130,192	862,956,363	56.40%
Local corporate	3,827	551,476,408	36.04%
Foreign investors	650	115,567,229	7.56%
Totals	134,699	1,530,000,000	100.00%

SHARES DISTRIBUTION SUMMARY

Shareholding Classification	Accounts	Number of Shares	Shares %
1 to 500	23,194	5,494,102	0.36
501 to 1000	40,227	28,000,703	1.83
1001 to 5000	49,508	114,267,511	7.47
5001 to 10000	10,378	73,501,538	4.80
10001 to 50000	8,750	184,044,346	12.03
50001 to 100000	1,224	87,596,808	5.73
100001 to 500000	1,109	234,803,219	15.35
500001 to 1000000	159	112,194,463	7.33
1000001 to 2000000001	120	690,097,310	45.10
Total:	134,669	1,530,000,000	100

NOTICE OF THE ANNUAL GENERAL MEETING (AGM) 2014

NOTICE IS HEREBY GIVEN that the 43rd Annual General Meeting of the Company will be held at Tom Mboya Labour College on Friday 5 December 2014 at 10.00 am to conduct the following business:

1. To read the notice convening the meeting.
2. To confirm the minutes of the 42nd Annual General Meeting held on 6 December, 2013.
3. To receive, consider and, if approved, adopt the Financial Statements for the year ended 30 June, 2014 together with the Directors' and Auditors' Reports thereon.
4. To elect Directors:
   - (a) Mr. James Chege, Mr. Francis Kigen and Mr. Nimrod Namenge are due to retire by rotation in accordance with article 113 of the company's Articles of Association.
   - (b) Mr. Nimrod Namenge being eligible will be offering himself for re-election.
   - (c) Mr. James Chege and Mr. Francis Kigen will be retiring from the Board. Shareholders will elect suitable Directors to fill these positions.
5. To consider and approve the Directors' fees for the year ended 30 June 2014.
6. To note that the Auditors, Delloitte and Touche, being eligible, continue in office in accordance with section 159(2) of the Companies Act (cap 486) and to authorize the Directors to fix the Auditors' remuneration.
7. Any other business for which appropriate notice has been issued and received.

BY ORDER OF THE BOARD

Amuhaya

Amuhaya Barasa
Company Secretary (Ag)

Date: 11th November, 2014

Note:

(i) Any member may by notice duly signed by him or her and delivered to the Secretary, not less than 3 and not more than 21 days before the date appointed for the Annual General Meeting, give notice of his intention to propose any person for election as director to the Board, such notice is to be accompanied by a notice signed by the person proposed indicating his or her willingness to be elected.

(ii) A member entitled to attend and vote at the meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his or her behalf. A proxy need not be a member of the company. A form of proxy may be obtained from the Company's website or from the Company's share registrars. To be valid, a proxy must be duly completed and signed by the member and must either be lodged at the offices of the company's share registrars, Image Registrars Limited, 5th Floor, Barclays Plaza, Loita Street, P.O. Box 9287, Postal Code 00100 G.P.O NAIROBI or lodged at the Company's registered office at Mumias not later than 10.00 am Wednesday, 3rd December, 2014.

(iii) In accordance with Article 155 of the Company's Articles of Association, a copy of the entire Annual Report and Accounts, a copy of this notice and proxy form may be viewed on and obtained from the Company's web site at www.mumias-sugar.com. An abridged version of the Statement of Financial Position, Statement of Profit or Loss and other comprehensive income, Statement of Changes in Equity and Statement of Cash flow for the year ended 30 June 2014 have been published in two daily newspapers with nationwide circulation.

NOTISI KUHUSU MKUTANO MKUU WA PAMOJA WA MWAKA (AGM) 2014

NOTISI INATOLEWA KWAMBA, mkutano Mkuu wa 43 wa pamoja wa mwaka wa Kampuni utafanyika katika chuo cha Tom Mboya Labour College siku ya Ijumaa Desemba 5, 2014 kuanzia saa nne asubuhi ili kuangazia maswala yafuatayo ya kibiashara:

1. Kusoma notisi ya kuitishwa kwa mkutano.
2. Kuthibitisha kumbukumbu za mkutano wa 42 wa pamoja wa mwaka uliofanyika Desemba 6, 2013
3. Kupokea , kuzingatia na endapo itakubalika kupitisha taarifa za matumizi ya pesa kwa kipindi cha mwaka uliomalizika Juni 30, 2014 pamoja na ripoti kutoka kwa wakurugenzi na wakaguzi wa pesa..
4. Kuwachagua wakurugenzi :
   (a) Mabw. James Chege, Mr. Francis Kigen na Mr. Nimrod Namenge wanastaafu kwa zamu kwa mujibu wa kifungu nambari 113 cha sheria za makampuni
   (b) Kwa kuwa hali inamaruhusu, Bw.. Nimrod Namenge atajitokeza ili kuchaguliwa tena
   (c) Mabw. James Chege na Mr. Francis Kigen watastaafu kutoka kwa Halmashauri. Wanahisa watawachagua wakurugenzi wengine waliohitimu ili kujaza nafasi hizi.
5. Kuzingatia na endapo itakubalika kupitisha ada za wakurugenzi kwa kipindi cha mwaka uliomalizika Juni 30, 2014.
6. Kufahamu kwamba, kwa kuwa wanastahili, wakaguzi wa pesa Delloitte and Touche wataendelea na jukumu lao kwa mujibu wa sehemu ya 159 (2) ya sheria za makampuni (sehemu ya 486) na kuwapa uhuru wakurugenzi kuamua marupurupu yao.
7. Shughuli nyinginezo za kibiashara ambazo notisi yake itakuwa imetoewa kwa wakati unaofaa na kupokelewa.

KWA AMRI YA HALMASHAURI

Amuhaya

Amuhaya Barasa
Katibu wa Kampuni (Kaimu)

Imenukuliwa Novemba 11, 2014

MUHIMU:

(i) Mwanachama yeyote kupitia notisi aliyotia sahihi yeye mwenyewe na kuwasilishwa kwa katibu kabla ya siku 3 lakini zisizidi 21 kabla ya kufanyika kwa mkutano wa pamoja wa mwaka anaweza kutoa notisi kuonyesha nia yake ya kumpendekeza mtu yeyote kuchaguliwa kama Mkurugenzi kwenye Halmashauri. Notisi kama hii iambatane na sahihi iliyotiwa na mtu aliyependekezwa kudhihirisha nia yake kutaka kuchaguliwa.

(ii) Mwanachama aliye na uwezo kufika kwenye mkutano na kupiga kura lakini akawa hawezi kufanya hivyo, ana ruhusa kumteua wakala wake kuhudhuria na kupiga kura kwa niaba yake. Si lazima kwa wakala huyo kuwa mwanachama wa kampuni. Fomu ya wakala inaweza kupatikana kupitia wavuti wa kampuni au wasajili wa hisa za kampuni. Ili kukubaliwa, fomu ya wakala lazima iwe imejazwa kikamilifu na kutiwa sahihi na mwanachama na lazima iwasilishwe katika ofisi za msajili wa hisa za kampuni, Image Registrars and Certified Public Secretaries, orofa ya nane Jumba la Trans National Plaza Barabara ya Mama Ngina , Slp 9287-00200 GPO NAIROBI au iwasilishwe katika ofisi za kampuni , Mumias kabla ya saa nne asubuhi siku ya Jumatano Desemba 3, 2014.

(ii) Kwa mujibu wa kifungu nambari 155 cha sheria za kampuni,nakala nzima ya ripoti ya mwaka na matumizi ya pesa pamoja na notisi hii na fomu ya wakala zinaweza kupatikana kupitia wavuti wa kampuni ambao ni: www.mumias-sugar.com
. Muhtasari wa mizania, taarifa za mapato na mabadiliko ya hisa na mtiririko wa pesa kwa kipindi cha mwaka uliomalizika Juni 30, 2014 zimechapishwa kupitia magazeti mawili ya kila siku yanayosomwa kwa wingi kote nchini.

BOARD OF DIRECTORS

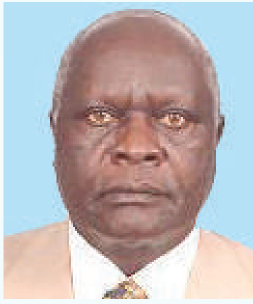
Mr. Dan Ameyo MBS, OGW (59)

Mr. Ameyo is the Chairman of the Board. He holds a Bachelor of Laws (LL.B) (Hons) Degree from the University of Nairobi, a Master of Laws (LL.M) from Queen Mary, University of London. He is a practising advocate and legal consultant on trade and integration law in Kenya and within the East African Community and COMESA region. He is an advocate of the High Court of Kenya, a member of the Law Society of Kenya (LSK), and a Fellow of the Chartered Institute of Arbitrators in London.

He previously worked as a State Counsel in the Attorney General's Chambers where he served as an Alternate Director to the Attorney General on various Boards including Kenya Airways and Capital Markets Authority. He also worked as the Post Master General and CEO of Postal Corporation of Kenya. He is currently a non-executive Chairman of the Board of Directors of Equatorial Commercial Bank.

Mr. Coutts Otolo (59)

Coutts Otolo is the current Managing Director and the Chief Executive Officer of the Company. He is a Certified Public Accountant and Financial & Management Consultant. He holds a Bachelor of Commerce (Honours) degree from University of Nairobi. He is licensed to practice in UK, Kenya, Uganda and Rwanda as a Certified Public Accountant. Mr. Otolo he is a partner at Parker Randall E.A, a firm of Certified Public Accountants, having previously worked as the Chief Executive Officer and Regional Head of Advisory Services at Ernst & Young; Eastern Africa. He is a Fellow of the UK Chartered Association of Certified Accountants (FCCA), Member of the Institute of Certified Public Accountants of Kenya (ICPAK) and former member of Governing Council, Member of the Institute of Certified Public Accountants of Uganda (ICPAU) and Member of the Institute of Certified Public Accountants of Rwanda (ICPAR)



Mr. Francis Kipkoech Arap Kigen (69)

Mr. Kigen is a graduate of University of Nairobi where he obtained a BA (Hons) degree before proceeding for a Master of Education degree at the University of Malaysia, Kuala Lumpur in Malaysia. He has previously served as a director of Kenya Bureau of Standards, as alternate director at Esso Kenya Limited. He has held managerial positions having worked as Human Resources/Public Affairs Manager at Esso Kenya Limited, as Training Manager at British American Insurance Company and as Director of Kenya Institute of Personnel Management.

Mrs. Esther Koimett (57)

Mrs. Koimett is the alternate to Mr. Henry K. Rotich, the Cabinet Secretary, The National Treasury. She is a holder of an MBA and Bachelor of Commerce degrees from the University of Nairobi. She has held various senior positions in government and the parastatal sector. She has been a Permanent Secretary, Ministry of Tourism and Information as well as the Managing Director of Postbank. She is currently the Investment Secretary, The National Treasury.

Mr. Henry K. Rotich (CS – The National Treasury)

Mr. Henry K. Rotich is the Cabinet Secretary, The National Treasury. Prior to his appointment, Rotich was the Head of Macroeconomics at the National Treasury, Ministry of Finance, since March 2006. Prior to joining the National Treasury, Mr. Rotich worked at the Research Department of the Central Bank of Kenya since 1994. Between, 2001-2004, he was attached to the International Monetary Fund (IMF) local office in Nairobi to work as an economist. Mr. Rotich has previously served as a Director on several Boards of State Corporations, including: Insurance Regulatory Board; Industrial Development Bank; Communication Commission of Kenya; and Kenya National Bureau of Statistics. Mr. Rotich holds a Master's Degree in Public Administration (MPA) from the Harvard Kennedy School, Harvard University. He also holds Master's Degree in Economics and a Bachelor's Degree in Economics (First Class Honours), both from University of Nairobi.

Mr. James Chege (61)

Mr. Chege is an Accountant by profession with a Bachelor of Commerce degree from the University of Nairobi and an MBA from Cornell University, Ithaca USA. Prior to becoming the Head of Corporate Banking at Kenya Commercial Bank, Mr. Chege worked as the Managing Director at KCFC which is a wholly owned subsidiary of KCB. He is currently engaged in private business.

Mr. Mukabanah Edwins Massimba (57)

Mr. Mukabanah has a Master of Science in Transport Planning and Management from Westminster (UK) and a Bachelor of Arts in Political Science. He is currently the Managing Director of the Kenya Bus Services Management Ltd and President of Bus Operators Commission at Union of Africa Public Transport (UATP). Mr Mukabanah is also a Managing Consultant with Transport Links Ltd, a firm that advises on transport restructuring.

Ms. Sarah Jepkemboi Chumo Serem (55)

Ms. Serem holds a Bachelor of Arts (Sociology and Political Science) and a Masters of Business Administration from the University of Nairobi. She is a member of the Institute of Human Resource Management of Kenya and has over 28 years experience in HRM practice and other management undertakings. She is the Managing Director of YoungBiz, a multinational trading company that specializes in entrepreneurship business and financial literacy education. She is currently the Chairperson of the Salaries and Remuneration Commission.

Mrs. Nancy Kaminchia (65)

Mrs Kaminchia holds a Bachelor of Science in Agriculture from University of Nairobi, Master of Science in Crop Production from Bath – UK. Currently Mrs. Kaminchia is a consultant and non-Executive Director of Middle East Bank (Kenya) and a Trustee of Mbegu Trust, a non-profit organization. She is also a member of Institute of Directors, Kenya Chapter, Registered with National Environmental Management Authority as a lead Expert, Founder member Kenya Professional Association of Women in Agriculture and Environment (KEPAWAE) and Parklands Sports Club.

Mr. James Opindi (63)

Mr. Opindi holds Bsc. Mechanical Engineering degree from University of Nairobi. Currently he is the General Manager, Weld Com Limited Mombasa. He has a wealth of experience in Health and Safety issues from diverse jurisdictions. James has held various senior management positions.

Mr. Nimrode Namenge (67)

Mr. Namenge holds an MA Economics and Business Management as well as a Certificate in Government Negotiations and acquisitions from Fairleigh Dickinson University and a BA in Economics from Jersey City State College, USA.

He worked as a career civil servant in various capacities mainly in administration. He is currently the manager at Lelekwe Agencies and Chairman of Board of Management St. Paul's Mabunge A.C Secondary School in Busia County.

Mrs. Elizabeth Kyengo (46)

Mrs. Kyengo has been in the corporate world for over 20 years, she holds an MBA in Strategic Management from the University of Nairobi, A Bachelor of Commerce (Accounting Major), is a Certified Public Accountant, CPA, a Certified International Procurement Profession (CIPP), she has completed her Advanced Management Program (AMP) with Strathmore Business School. Currently, Mrs. Kyengo is the Group Head of Procurement for Nation Media Group having joined the Group in April 1995 from Coopers and Lybrand where she worked as an Auditor. She has held various positions within the Group including Management Accountant for NCD and NBD, Procurement Manager, General Manager - Procurement before taking up her current Group role. She is a member of Kenya Institute of Management (MKIM), ICPA (K), (KISM) and (IAPM). She is also a Board member at Mhasibu Runda Holdings Ltd.

Ms. Amuhaya Diana Barasa (29)

Ms. Barasa is the Ag. Company Secretary and the Secretary to the Board. She holds an MBA (Strategic Management) from the University of Nairobi, an LL.B Degree from Moi University, a Post graduate Diploma in Legal studies from the Kenya School of Law and an Executive Diploma in Corporate Governance from Kenya College of Accountancy (KCA) University. She is a Certified Public Secretary of Kenya and an Advocate of the High court of Kenya. She is a member in of the Institute of Certified Public Secretaries of Kenya (ICPSK) and the Law Society of Kenya (LSK) of good standing. She is also a member of the Institute of Directors, Kenya and is pursuing membership of the Chartered Institute of Arbitrators.

CHAIRMAN'S STATEMENT

I wish to present to you, our esteemed shareholders, the Annual Report on the business and operations of the company and the financial results for the year ended 30th June 2014. The performance of the company has continued to be impacted negatively by the two key industry challenges namely cane supply and ex factory sugar prices. Consequently a negative result has been recorded once again. However, the Board and Management have put in place measures and continue to implement strategies aimed at reversing this trend.

Macroeconomic Environment

Although the country's overall Gross Domestic Product (GDP) expanded by 5.7% in the year to December 2013 compared to 4.5% in 2012 based on the recent rebased statistics, the agriculture sector which is the biggest contributor to the national economy, recorded decelerated growth to 2.9% from 4.2% in the same period affected by depressed performance of rains. The good overall performance of the economy was supported by a stable macroeconomic environment for the better part of the year as well as low and stable inflation supported by improved supply of basic foods, lower oil prices and lower costs of electricity. Inflation eased to 5.7% down from 9.4% the previous year. This coupled with the reduction of CBR rate from 11% to 8.5%, exerted pressure and creating marginal reduction on highest lending interest rate from 18.15% to 17%. However, these interest rates remained relatively high.

Besides the decelerated growth of agricultural sector, other reasons for a lower economic growth rate compared to earlier forecast rate of 5.0% included decline in domestic exports that worsened the balance of trade by 6.3%, reduced spending by government agencies during the transition and insecurity concerns.

Company Operations

Volume of cane processed increased by 12% to 1,925,925 tonnes up from 1,719,920 in 2013. This was mainly because the factory ran for 12 months compared to the usual 11 months following deferment of the year's annual one month shut down for maintenance. Consequently, a higher production of 172,326 tons of sugar was achieved compared to 147,308 tons produced the previous year. This was 17% above the level of production in the previous financial year. The factory operated at more or less the same low efficiency level compared to the previous year due to continued low capacity utilization arising from persistent low supply of cane.

Company Revenue

Gross turnover grew by 16.5% during the financial year to Ksh 17,401 million up from Kshs 14,936 million achieved in 2013 despite further increase in global and regional sugar supply and continued inflow of illegal cheap sugar imports into the Kenyan market which depressed sugar prices to even lower levels. The improved performance was achieved because company production was higher by 17% during the year.

The sale of power from co-generation plant generated net revenue of Ksh 230 million compared to Ksh 305 million in 2013. This was a decrease of 24.6% and was attributed to low availability of cane from which bagasse used as fuel is generated. The Company continued to source for bagasse from neighbouring millers in order to sustain both the cogeneration and ethanol boilers which use bagasse to fire the boilers.

The Company sold 12,156,000 litres of ethanol and earned Ksh 1,032 million in revenue compared to 331 million in 2013. This was an increase of 212%. Ethanol plant has now stabilized but dependent sugar plant for molasses as raw material and bagasse as fuel.

CHAIRMAN'S STATEMENT (Cont)

The Company sold 1,396,000 litres of bottled water and earned Ksh 33 million in revenue compared to Ksh 28 million in 2013. This was an increase of 17.8%. The product was re-launched during the year and is expected to grow revenue.

Contribution to Government Revenue

The Company continues to be one of the biggest contributors to the government exchequer in taxes from Value Added Tax (VAT), Sugar Development Levy (SDL), Excise duty and other taxes. In the financial year the Company accrued/paid Ksh 2,944 million to the Government in VAT, SDL, Excise duty and other taxes compared to Kshs 2,978 million in 2013.

Corporate Social Investment

The Company continues to play its role as a responsible corporate citizen. Key focus areas during the year under review were education, health and sanitation, environment, entrepreneurship and income generation, disaster response and recovery, sports & youth talent development.

Education is the greatest empowerment the population in a community can ever receive. The Company constructed 12 classrooms in 12 schools and provided school fees bursary to bright students within Mumias sugar scheme and needy students from farmers' households. Other related sponsorships during the year included education days, mathematics symposia, youth education camps and text books donation among others.

The health of farmers and the community within the sugar belt is a matter of concern for the Company. In partnership with local NGOs, Community Based Organizations (CBOs) and staff and through Mumias Sugar Foundation (MSF), the Company engaged in a number of activities across the various constituencies within the sugar belt to improve the health of people living in the community. The activities undertaken included anti-jigger campaigns, cancer tests as well as trainings and awareness on other lifestyle health conditions. The company continued to produce vitamin A fortified sugar to support the government and community in efforts to avert health risks associated with Vitamin A deficiency especially among children. The Mater Heart Run event for the year was also supported with facilities, hospitality, medical services, transport and staff participation.

The Company sought to promote entrepreneurship and income generation among cane farmers and identified dairy farming as a viable complementary venture to cane farming. Besides providing daily subsistence cash flow, the units also provide quality organic manure for cane fields. During the year under review the Company procured 30 dairy cows and distributed to 30 cane-farmer-owned CBOs spread across the zones in Mumias sugar scheme. An Artificial Insemination Unit was also set up at Booker School to support the dairy farming ventures.

To promote a healthy and safe environment, the Company has continued to partner with the community, schools and the counties. We co-hosted World Environment Day on 5th June 2014 together with other stakeholders and championing walk-to-work campaign in solidarity with the rest of the world in conserving the environment. The Company sponsored a tree planting event at Opedur Primary school in Busia North Zone in which 1,000 trees were planted to help manage compound drainage of a school which has perennially experienced water logging during wet seasons. We actively participated in the launch of cleanup exercise for Bungoma Town in Bungoma County and for major towns in Kakamega County.

CHAIRMAN'S STATEMENT (Cont)

The Company has remained alert to the natural call to protect human life and continued to use its resources to respond to emergency situations. Following the terror attack at Westgate Shopping Mall late last year, for example, the Company mobilized staff and community members to donate blood to empathize with and support victims. The same was done again during the recent strike by medical staff in public health facilities when patients crowded St. Mary's Hospital Mumias and the Private Hospital's blood bank was under threat of depletion putting the life of patients at risk. Other examples included the Company's donation of building materials to two schools in Mumias West and Butere after a stormy rain destroyed ripped off roofs of buildings. This helped hasten restoration of normal learning in the schools. Again during the same year, our employees donated clothing to needy families around Mumias Town through the Kenya Red Cross.

In future, MSC plans to help build the resilience capacity of the communities through formation of disaster preparedness teams that will help in the formulation of Community Disaster Preparedness Plans. School children will also be trained on fire marshaling and first aid.

Dividends

Due to the poor performance in the period under review, the Directors do not propose the payment of a dividend.

Future Outlook

The company looks forward to better performance based on changes being made. The board has operationalised short term measures and is currently pursuing a number of medium term and long term strategic measures to restore the company's solvency and return it to profitability.

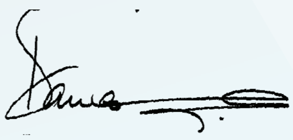
The market for ethanol and water are expected to grow. The challenge of cane supply is expected to fade away gradually as response actions being undertaken begin to bear fruit. Sugar prices will be expected to improve as vigilance on imported sugar strengthens. Having met all the preconditions, the company is well prepared to compete in the liberalized COMESA market. Regulatory authorities will be aggressively engaged to ensure level playing ground at all times.

At macroeconomic economic level, the stability witnessed in the first quarter of the new year is likely to be maintained to the rest of the year. Operationalization of development budget in the counties is expected to spur further economic growth. Private consumption is also likely to improve given the stable interest rates and low inflation regime. Recent discoveries of petroleum oil and natural gas are likely to trigger more foreign direct investment inflows.

The Board of Directors will continually review its plans and business strategies to enhance profitability and growth. The Board is cautiously optimistic of a satisfactory performance in the coming financial year.

As a board we thank all our stakeholders including employees, customers, farmers, other suppliers and financiers for their contribution to the continued pursuit of the mission of the company despite the challenges we have faced. We also thank you shareholders for your patience as we sort out matters standing in our way to a sure and prosperous future.

Thank you.



Dan Ameyo
Chairman

TAARIFA KUTOKA KWA MWENYEKITI

Wanahisa wetu wapendwa, ningependa kuwaletea ripoti ya mwaka kuhusu biashara na shughuli za Kampuni na matokeo ya kifedha kwa kipindi cha mwaka uliomalizika Juni 30, 2014. Matokeo ya Kampuni yameendelea kuathiriwa na changamoto mbili muhimu zinazokabili biashara ambazo ni; usambazaji wa miwa na bei za sukari isiyotoka kiwandani. Kwa sababu hiyo, matokeo hafifu yamerekodiwa tena. Hata hivyo, Halmashauri na usimamizi wameweka hatua na kuendelea kuzindua mikakati ambayo nia yake ni kubadili mwenendo huu.

Mazingira ya Chumi Ndogo

Ingawa mapato ya jumla ya nchi (GDP) yalipanuka kwa asilimia 5.7 (5.7%) hadi Desemba 2013 ikilinganishwa na asilimia 4.5 (4.5%) mwaka 2012, kwa mujibu wa utafiti wa hivi majuzi, sekta ya kilimo ambayo ndiyo mchangiaji mkuu kwa uchumi wa kitaifa ilirekodi ushukaji wa asilimia 2.9 (2.9%) kutoka asilimia 4.2 (4.2%) kwa kipindi sawa na hicho kutokana na uhaba wa mvua ya kutosha. Matokeo bora ya ya uchumi kwa jumla yalitokana na mazingira bora ya chumi ndogo kwa kipindi kirefu cha mwaka pamoja na viwango vya chini thabiti vya mfumuko wa bei za bidhaa .

Hii ilitokana na kuimarika kwa usambazaji wa vyakula, bei za chini za bei ya mafuta ulimwenguni na gharama za chini za nguvu za umeme. Mfumuko wa bei za bidhaa ulipungua kwa asilimia 5.7 (5.7%) kutoka asilimia 9.4 (9.4%) mwaka uliotangulia. Hii iliandamana na kupunguzwa kwa kiwango benki kuu cha ubadilishanaji fedha kutoka asilimia 11 (11%) hadi asilimia 8.5 (8.5%) na kupelekea kuwepo kwa upungufu mdogo katika viwango vya riba inayotokana na mikopo kutoka asilimia 18.15 (18.15%) hadi asilimia 17 (17%). Hata hivyo, viwango vya riba vilisalia kuwa vya juu.

Bali na kushuka kwa ukuaji wa sekta ya kilimo, sababu nyinginezo zilizopelekea kuwepo kwa ukuaji mdogo wa uchumi ikilinganishwa na matarajio ya asilimia 5.0 (5.0%) ilikuwa ni pamoja na uuzaji wa bidhaa katika mataifa ya nje ambao uliathiri uwiano wa biashara kwa asilimia 6.3 (6.3%) , kupunguzwa kwa viwango vya matumizi vya mawakala wa serikali wakati wa kipindi cha mpito na maswala yanayohusiana na usalama.

Shughuli za Kampuni

Kiwango cha miwa iliyosagwa kiliongezeka kwa asilimia 12 (12%) na kufikia tani 1, 925, 925 kutoka tani 1, 719, 920 mwaka 2013. Hii ni kwa sababu kiwanda kilifanya kazi kwa muda wa miezi 12 ikilinganishwa na miezi 11 ya kawaida kufuatia kusitishwa kwa mwezi mmoja ili kufanyiwa ukarabati wa kila mwaka. Hata hivyo, kiwango cha juu cha uzalishaji wa sukari cha tani 172, 326 kilipatikana ikilinganishwa na tani 147, 308 zilichopatikana mwaka uliotangulia. Ongezeko hili lilikuwa asilimia 17 (17%) zaidi dhidi ya kiwango cha uzalishaji kipindi cha mwaka wa kifedha uliotangulia. Kiwanda kilitekeleza shughuli zake kwa kiwango sawa ikilinganishwa na mwaka uliotangulia kutokana na kuendelea kuwepo kwa matumizi ya chini kwa sababu ya ukosefu wa miwa ya kutosha.

Mapato ya Kampuni

Mapato kwa jumla yaliongezeka kwa asilimia 16.5 (16.5%) wakati wa kipindi hiki cha mwaka wa matumizi ya pesa na kufikia Kshs. milioni 17, 401 dhidi ya kiwango cha Kshs. milioni 14, 936 kilichopatikana mwaka 2013 licha ya kuzidi kuongezeka kwa sukari kutoka mataifa ya nje na kuendelea kuingizwa kwa sukari isiyo halali na bei ya chini katika soko la Kenya na kuathiri bei. Imariko la matokeo lilipatikana kwa sababu uzalishaji wa kampuni ulikuwa wa juu kwa asilimia17 (17%) wakati wa kipindi hiki cha mwaka.

Uuzaji wa kawi kutoka kiwanda cha pamoja cha uzalishaji ulipelekea kupatikana kwa mapato halisi ya Kshs. milioni 230 ikilinganishwa na Kshs. milioni 305 mwaka 2013. Hili lilikuwa punguko la asilimia 24.6 (24.6%) na lilitokana na upungufu wa miwa ambayo mabaki yake yanayotumika kama mafuta hupatikana. Kampuni ilizidi kununua mabaki haya kutoka kwa wasagaji miwa walio karibu ili kudumisha viwanda vya uzalishaji kawi kwa pamoja na kile cha ethanol vyote vinavyotumia

TAARIFA KUTOKA KWA MWENYEKITI (Kuendelea)

mabaki ya miwa kuchemsha mapipa.
Kampuni iliuza lita 12, 156,000 za ethanol na kupata mapato ya Kshs. milioni 1, 032 ikilinganishwa na Kshs. milioni 331 mwaka 2013. Hili lilikuwa ongezeko la asilimia 212 (212%). Kwa sasa, kiwanda cha kutengeneza ethanol kimekuwa thabiti lakini kinategemea kiwanda cha miwa kwa molasi kama malighafi na mabaki ya miwa kama mafuta.

Kampuni iliuza lita 1, 396,000 za maji yaliyohifadhiwa kwa chupa na kupata pato la Kshs. milioni 33 ikilinganishwa na Kshs. milioni 28 lilizopatikana mwaka 2013. Hili lilikuwa ongezeko la asilimia 17. 8 (17.8%). Bidhaa hii ilifanyiwa mabadiliko wakati wa kipindi hiki cha mwaka na inatarajiwa kuongeza mapato.

Mchango kwa Mapato ya Serikali

Kampuni inaendelea kuwa mchangiaji mkuu kwenye mfuko wa hazina ya serikali kupitia ushuru wa ziada (VAT), ushuru kwa maendeleo ya kilimo cha miwa (SDL), mapato ya ushuru na ushuru mwingine. Wakati wa kipindi hiki cha matumizi ya pesa, kampuni ilitoa malipo ya Kshs. milioni 2,944 kwa serikali kama ushuru wa ziada (VAT) , SDL, ushuru wa mapato na ushuru mwingine ikilinganishwa na Ksh. milioni 2, 978 mwaka 2013.

Uwekezaji kwa Maslahi ya Kijamii

Kampuni inazidi kutekeleza wajibu wake kama shirika mzalendo linalojali maslahi ya wananchi. Maeneo muhimu yaliyoangaziwa wakati wa kipindi cha mwaka unaongaziwa yalikuwa elimu, afya na usafi, mazingira, ujasiriamali na uzalishaji mapato, kukabiliana na majanga na uokozi, michezo na ustawi wa vipawa kwa vijana.

Elimu ni uwezo mkubwa ambao jamii inaweza kupata. Kampuni ilijenga madarasa 12 kwa shule 12 na kutoa ufadhili wa karo kwa watoto werevu walioko ukanda wa Mumias na wale wenye mahitaji kutoka jamii za wakulima. Ufadhili mwingine husika wakati wa kipindi hiki cha mwaka ulikuwa siku za elimu, kongamano la somo la hisbati, kampi ya masomo kwa vijana na mchango wa vitabu miongoni mwa mengine.

Afya ya jamii ya wakulima katikaukanda wa zao la miwa ni jambo linalozingatiwa na Kampuni. Kwa ushirikiano na mashirika yasiyo ya kiserikali , makundi ya kijamii na wafanyakazi na kwa kupitia mradi wa Mumias Sugar Foundation (MSF), kampuni ilijihusisha na shughuli mbali mbali maeneo tofauti ya uwakilishi bungeni yaliyoko kanda hii ili kuimarisha hali ya afya ya jamii. Shughuli zilizotekelezwa zilihusu kampeini dhidi ya funza, ukaguzi dhidi ya ugonjwa wa saratani pamoja na mafunzo ya ufahamu kuhusu maradhi mengine yanayotokana na mienendo ya maisha. Kampuni ilizidi kuzalisha sukari iliyoimarishwa kwa madini ya Vitamini A kama njia mojawapo ya kuisadia serikali na jamii katika juhudi za kupambana na athari zinazotokana na upungufu wa madini haya hasa miongoni mwa watoto. Mbio za Mater Heart Run za kila mwaka zilipata msaada wa vifaa, ukarimu, huduma za matibabu, uchukuzi na ushiriki wa maafisa.

Kampuni iliamua kusaidia ujasiriamali na uzalishaji wa mapato miongoni mwa wakulima na kutambua kilimo cha ng'ombe wa maziwa kama njia mbadala ya kujipatia mapato bali na kilimo cha miwa. Bali na kuwezesha kilimo cha ufugaji ng'ombe wa maziwa kujikimu kimapato, vitengo hivi pia viliweza kuzalisha mbolea ya wanyama ambayo ilitumika kwenye mashamba ya miwa. Wakati wa kipindi cha mwaka unaongaziwa, kampuni ilinunua ngombe 30 wa maziwa waliosambzwa kwa makundi 30 ya kijamii yaliyosambaa kote katika ukanda wa kilimo cha miwa Mumias. Kitengo cha kuwazalisha ngombe kwa kutumia mbinu za kisasa pia kilianzishwa katika shule ya Booker ili kuimarisha kilimo cha ufugaji huu.

TAARIFA KUTOKA KWA MWENYEKITI (Kuendelea)

Ili kusaidia na kuhamasisha mazingira yenye afya na salama, Kampuni imekuwa ikishirikiana na jamii, shule na serikali za Kaunti. Tukishirikiana na washika dau wengine, tuliandaa sherehe za siku ya mazingira zilizoadhimishwa Juni 5, 2014 ilikulinda mazingira. Kampuni ilidhamini zoezi la upanzi wa miti katika shule ya msingi ya Opedur iliyokokanda ya Kaskazini mwa Busia ambapo miche 1,000 ya miti ilipandwa kama juhudi za kusaidia mabomba ya kuondoamaji kutoka shule hiyo ambayo kwa muda mrefu imekuwa ikikumbwa na tatizo la mafuriko wakati wa mvua. Tulishiriki kikamilifu zoezi la kuweka usafi mjini Bungoma kaunti ya Bungoma na katika miji mikubwa kaunti ya Kakamega.

Kampuni imekuwa ikichukua tahadhari kuitikia mwito wa kulinda maisha ya binadamu na kuendelea kutumia raslimali zake nyakati za hali ya dharura. Kufuatia uvamizi wa duka la Westgate mwaka jana, Kampuni iliwashinikiza wafanyakazi wake na jamii kutoa mchango wa damu kuwasaidia waathiriwa. Zoezi kama hilo lilifanyika tena wakati wa mgomo wa hivi majuzi wa maafisa wa Afya katika vituo vya Afya vya umma kulipotokea msongamano wa wagonjwa katika hospitali ya St Mary's Mumias na katika hazina ya damu ya kibnafsi ailiyokuwa na upungufu wa damu ambao ulikuwa ukihatarisha maisha ya wagonjwa. Mifano mingine ilikuwa mchango wa kampuni wa vifaa vya ujenzi katika shule mbili zilizoko Mumias West na Butere baada ya paa za shule hizo kuharibiwa na mvua kubwa . Msaada huu ulisadia kurejesha hali ya masomo kuwa ya kawaida katika shule hizi. Wakati wa kipindi hiki cha mwaka, wafanyakazi wetu walitoa mchango wa mavazi kwa familia zilizokuwa na mahitaji hayo karibu na mji wa Mumias kupitia Kenya Red Cross.

Katika nyakati za siku za usoni, MSC inapanga kuimarisha msingi thabiti wa jamii kupitia kubuniwa kwa timu za kukabiliana na majanga ambazo zitasaidia kubuni mipango ya kukabiliana na majanga kwa jamii. Watoto wa shule watapewa mafunzo ya kukabiliana na moto na huduma ya kwanza.

Mgawo wa Faida

Kutokana na matokeo mabaya wakati wa kipindi hiki cha mwaka, Wakurugenzi hawatoi pendekezo lolote la malipo ya mgawo wa faida.

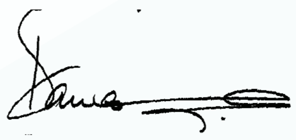
Mtazamo kwa Siku za Usoni

Kampuni inatarajia kupata matokeo bora kutokana na mabadiliko yanayofanyika. Halmashauri inafuatilia baadhi ya hatua za mikakati ya muda wa kadri na mirefu ili kurejesha uwezo wake na kuifanya kuiwezesha kuendelea kupata faida.
Masoko ya ethanol na maji yanatarajiwa kukua. Changamoto zinazotokana na upungufu wa miwa zinatarajiwa kufifia pole pole pale hatua zilipochukuliwa zitakapoanza kuzaa matunda. Bei za sukari zinatarajiwa kuimarika wakati uthibiti wa sukari inayotoka nje utakapoimarishwa. Baada ya kutimiza masharti ya awali , Kampuni imejitayarisha kutoa ushindani katika soko huru la COMESA. Halmashauri simamizi zitahusishwa kikamilifu kuhakikisha kuwepo kwa usawa kila wakati.
Katika kitengo cha chumi ndogo, uthabiti uliopatikana miezi minne ya kwanza ya mwaka mpya unatarajiwa kuthibitiwa kipindi kilichosalia cha mwaka. Matumizi ya bajeti ya maendeleo katika kaunti yanatarajiwa kuchochea ukuaji zaidi wa uchumi. Zaidi ya hayo, matumizi ya kibnafsi yanatarajiwa kuimarika kutokana na viwango imara vya riba na mfumuko wa chini wa bei za bidhaa. Uvumbuzi wa hivi majuzi wa mafuta na gesi unatarajiwa kuchochea zaidi uwekezaji kutoka nje.

Halmashauri ya wakurugenzi itaendelea kutathmini mipango yake na mikakati ya biashara ili kuimarisha faida na ukuaji. Halmashauri ina matumaini ya kuwepo kwa matokeo ya kufana kipindi kijacho cha matumizi ya pesa.

Kama Halmashauri, tunawashukuru washika dau wote wakiwemo wafanyakazi, wateja, wakulima, wagawaji wengine na wafadhili kutokana na mchango wao kwenye jitihadi za sasa za kuafikia lengo la Kampuni licha ya changamoto tunazokumbana nazo. Pia, tunawashukuru ninyi wanahisa kutokana na uvumilivu wenu tunapokabiliana na maswala yaliyoko mbele yetu ili kuwa na hakika na ufanisi siku za usoni.

Asanteni



Dan Ameyo
Mwenyekiti

MANAGEMENT TEAM

Mr. Josephat Asira
Director of Factory Operations

Mr. John Imbogo
Finance Director

Mrs. Pamela Lutta
Commercial Director (Ag)

Ms. Diana Amuhaya Barasa
Company Secretary &
Director of Legal Affairs (Ag)

Mr. Coutts Otolo
Managing Director

Mr. Wesley Koech
Director of information
& Communication Technology

Mr. Charles Awino
Director of
Human Resources (Ag)

Mr. Boniface Makhandia
Head of Agriculture (Eastern &
Nucleus estate)

Dr. Jonathan Mutonyi
Head of Agriculture
(Western)

Mrs. Margaret Makhungu-Mukoba
Director of Marketing &
Corporate Affairs (Ag)

MANAGING DIRECTOR'S STATEMENT

May I take this opportunity to present to you the report for the year ended 30th June 2014. Allow me to highlight key areas of our operations underlying the reported financial performance that are of great interest to you as our shareholders.
During the financial year under review the sugar industry continued to experience significant deficit of sugar cane in the western sugar belt. Of even greater significance was the huge impact of illegally imported sugar which depressed sugar prices and adversely affected the Company's financial performance. However, the current management and Board have identified the challenges facing the Company and are putting in place measures to turn it around and bring it back to profitability.

Financial Performance

The total net turnover for the year 2014 increased by 9.3% to Kshs 13,076 million from Ksh 11,958 million in 2013. This comprised Ksh 11,914 million (2013 - 11,210 million) from sugar, Kshs 822 million (2013 – 261 million) from ethanol, Kshs 307 million (2013 – 458 million) from energy and Ksh 33 million (2013 – 28 million) from bottled water. Despite a further fall in market prices and persistent challenge of cane shortage during the year under review, sugar net turnover still increased by 5.5% driven by a higher sales volume compared to the previous year. Ethanol business performed exceptionally well as production increased by 210% and the market for portable spirits grew significantly. Energy business, however, affected by low power export tariff under existing power purchase agreement and low output due to capacity underutilization. The Company re-launched its bottled water product during the year and the business was just picking up as the year ended.

The gross profit was Kshs. 848 million (2013 – 1,562 million) with a net loss before tax of (Kshs 3,405 million (2013 - Kshs 2,223 million). The loss grew because the drop in ex factory sugar prices widened further by 21% during the year while total cost of sales increased with the 34% increase in tonnes of sugar sold. No further sugar price fall is expected to recur next year.

Agricultural Operations

Cane delivered to factory during the year was 12.7% higher totaling 1,923,032.1 tons compared to the previous year's total of 1,706,927.4 tons. The average Pol (sucrose in cane) was 10.88%. The increase in quantity is attributed to extended delivery period following deferment of factory Out of Crop (OOC) maintenance earlier scheduled for May/June 2014. The Nucleus Estate contributed 112,891.5 tons (6 %) while 1,533,943 tons (79 %) was sourced from contracted Outgrowers (OG) and 276,197.6 tons (15 %) from private farmers within and outside the zone.

Weather condition during the year under review was generally favourable for cane production even though the cane zone received a lower rainfall mean of 1,681.8 mm compared to 1,907.9 the previous year and the long term mean (LTM) of 1,853.1 mm. Cane yields improved to an average of 49.6 tch compared to 47.1 tch the previous year despite continued cane pouching by neighbouring millers in unfair competition during the year. A total of 1,090.08 ha with an estimated 50,000 tons of cane was poached from Mumias zone during the period. The cane development program was slightly below target due to low availability of land preparation units. A total of 8,276.47 ha was ploughed, 7,686.96 ha harrowed and 7,674.38 ha furrowed against a target of 10,000 ha. Area planted was 8,213 ha against a budget of 10,000 ha. Fertilizer supply for planting and top dressing totaled 137,988 bags comprising 12,254 bags supplied to NE and 125,734 bags to OG fields.

During the year a lot of effort was expended to engage farmers and other industry stakeholders to apprise them on the industry challenges and initiatives

MANAGING DIRECTOR'S STATEMENT (Cont)

undertaken by the Company in response. The meetings also accorded farmers and community leaders an opportunity to share their experiences and views. Farmer education and entrepreneurship training was extensively carried out in the scheme to enhance skills and knowledge in sugarcane production. Management enhanced the adoption of complementary enterprises like dairy farming and soya bean intercropping with sugarcane among the growers.

The Company continues to establish Cane Buying Centres at far flung outgrower areas to reduce cane transport costs to farmers. Kisoko cane buying centre operated well throughout the year while construction of two additional cane buying centres at Bumula in the Northern zone and Navakholo in the Eastern zone went on as planned. A total of 1,527 km road works were done compared to 2,178.78 km the previous year. Road maintenance was slowed down by deteriorating road maintenance units due to age. Discussions are ongoing with the Sugar Directorate (formerly KSB) to fund purchase of new equipment.

Factory Performance

Cane processed was 12% higher at 1,925,925 metric tons compared to 1, 719,920 previous year. This was mainly because the factory continued to run in May/June 2014 after annual out of crop (OOC) maintenance was deferred. Consequently, a higher production of 172,326 tons of sugar was achieved compared to 147,320 tons produced the previous year. Rendement remained depressed like it was the previous year as the factory continued to receive predominantly low maturity cane, keeping sugar recovery rate low. A total of 50,934 tons sugar representing 30% of total production was branded. Additional investment is planned to expand branding capacity to 70% during the next financial year.

The Ethanol plant performed relatively well producing 10,650,957 litres of Extra Neutral Ethanol (ENA) and 1,531,624 litres of Technical Alcohol (TA). This represented an increase of 166% compared to the 3,997,000 litres of ENA and 390,000 litres of TA produced the previous financial year. This is because more molasses was obtained from the relatively younger cane crushed during the year.

Conversely, cogeneration continued to suffer due to insufficient flow of cane and electricity exported to the national grid fell by 20% to 57,209 MWH down from 71,710 MWH exported the previous financial year. Whenever the cogeneration plant was stopped, the Company imported power from Kenya Power & Lighting Company to sustain minimal essential operations.

The Water Bottling Plant recorded low production, bottling only 1,290,614 litres of water. This is because during the year the Company changed its water bottle from clear to tinge of blue. The product redevelopment process took long and acquisition of new packing materials was also slower.

Other than the deferred major maintenance, all other routine maintenance was undertaken as per schedule and the sugar plant realized a capacity utilization of 66.65%. The low rate of cane inflow could not sustain continuous operation of all the three plants. During the next financial year, a major maintenance will be undertaken, the sugar plant boiler will be refurbished and a number of factory parts replaced for increased reliability.

Sales and Commercial Activities

The global sugar market went through a significant surplus as producers around the world responded to strong price signals experienced in 2010 and 2012. The surplus pushed world prices to as low as 16cents/lb in June/July 2013. The evolution of regional trade agreement and free trade areas exacerbated the impact on Kenya sugar business. While COMESA extended sugar safeguards to Kenya for another year till February 2015, SADC gave Tanzania exemption from allowing duty free sugar imports to protect its domestic

MANAGING DIRECTOR'S STATEMENT (Cont)

industry with a 25% tariff applied on imports from SADC countries. Meanwhile, ongoing negotiations to establish a Tripartite Free Trade Area (TFTA) continued to encourage inflow of low priced sugar from Uganda and Tanzania. During the financial year duty free imports especially through Kenyan porous borders increased as traders exploited the gap created by traditional exporters to Kenya from COMESA countries who still had their stocks committed to European Union until early 2014. These cheap, duty free and/or illegal imports significantly affected pricing of locally produced sugar. The Company achieved a lower average net selling price of Kshs. 62,266/= per tonne of sugar compared to Kshs. 78,540/= the previous period hence reduced gross margin.

A higher volume of 188,548 tonnes of sugar was sold during the financial year representing an increase of 33.9% from the previous year's volume of 140,775 tonnes. This was attributed to increased availability of the product arising from higher production achieved compared to the previous year. However, overall availability of Mumias Sugar in the market remained low and this appeared to encourage an increase in counterfeits and upsurge in volumes of in-house brands as other entrepreneurs sought to occupy the shelf space of our branded sugar.

Most companies have increased their branding levels for better margins. Key supermarkets are shifting towards in-house branding thus threatening the shelf space for major brands like Mumias Sugar. Importers have also started to rebrand bulk sugar as a marketing strategy thus intensifying competition. The company has taken measures and has more plans to curb counterfeits. Our sugar branding capacity will be expanded to increase availability of branded packs to protect Mumias Sugar shelf space going forward.
A total of 12,156,000 litres of ethanol was sold during the financial year representing an increase of 213% from the previous year's volume of 4,000,000 litres. This was mainly driven by the company's business development efforts in the region especially Uganda, Rwanda and Tanzania.

A total of 1,396,000 litres of bottled water was sold representing and increase of 47% from the previous year's volume of 951,000 litres sold the previous year.

Marketing

During the period, marketing activities were sustained though at a low level in order to manage costs. Priorities included leadership in improving service to customers and clients, supporting the sales team, managing product advertising and promotion activities as well as client relationships.

Mumias Sprinkles drinking water was launched in October 2013. One of its unique selling propositions is quality. The Company engaged in intensive trade marketing with the objective of influencing demand and repeat purchase thus increasing sales volumes. Sponsorship of sporting activities, mainly Rugby and Football, continued to be a key channel for brand PR that created intimacy with consumers. Alternative sugar packaging concepts have been explored for development in order to drive down packaging costs for smaller SKUs as well as strengthen anti-counterfeit measures.

Corporate Social Investment

Corporate Social Investment continued to be an integral part of MSC operations. This was pursued through Mumias Sugar Foundation (MSF) and other corporate social responsibility activities. Key focus areas were education, health and sanitation, environment, entrepreneurship and income generation, disaster response and recovery, sports & youth talent development.

Education is a vital component of life within the community in which MSC operates. During the financial year, the company completed construction of 12 new classrooms in existing schools spread across the sugar belt, a project that started in the previous financial year. Two (2) pit latrines were also constructed for one other school. The additional classrooms will increase accessibility to education and contribute to the improvement of the quality of education in the sugar belt by reducing overcrowding in class-rooms.
The Company continued to promote education through two Company sponsored bursary schemes targeting bright students within the sugar zone as well as students from needy farmers' households. During the year under review, Elimu Trust bursary scheme disbursed full year secondary school fees to a total of 80 top bright students (20 per year) from Mumias farmers' and Company staff households to enable them access quality secondary education. Another scheme, Utamu Halisi Na Elimu, also awarded bursary to 60 form one students from needy farmers' households. Further, in recognition of good performance in education, the Company sponsored various activities during the year including education days, mathematics symposium, youth education camps and text books donation among others.

The health of the community and farmers within the sugar belt is a crucial concern for the Company. Through Mumias Sugar

MANAGING DIRECTOR'S STATEMENT (Cont)

Foundation (MSF), the company engaged the community and staff in a number of activities that improved the health of people in the community. The foundation continued to pursue and nurture a working partnership with local NGOs, Community Based Organizations

(CBOs) and staff to help the community fight the jigger menace. Through this collaboration MSF organized anti-jigger campaigns across the various constituencies in the sugar belt. Awareness activities, trainings and tests on cancer and other lifestyle health conditions were also carried out.

The Company supported and participated in the Mater Heart Run event during the year. This was in form of facilities, hospitality, medical services, and transport among others. Over 3.5 million Kenyan Shillings was raised during this event.

Through the foundation, the Company also participated in the inaugural health stakeholders meeting for Kakamega County hosted by the County Ministry for Health. Among the issues discussed was the need for MSC to continue expanding the production of Vitamin A fortified sugar as a way of supporting the government and the community in averting health risks associated with Vitamin A deficiency especially among children.

Mumias Sugar Foundation identified dairy farming as a viable complementary venture to cane farming. Besides providing farmers with daily subsistence cash flow, the units will also provide quality organic manure for cane fields. The Foundation works with CBOs operating in the sugarcane scheme to implement its projects. During the year under review the Company procured 30 dairy cows and distributed to 30 cane-farmer-owned CBOs spread across the zones in Mumias sugar scheme. To support the dairy farming ventures, an Artificial Insemination Unit was also set up at Booker School.

The Company has continued to partner with the community, schools and the counties in the promotion of a healthy and safe environment. During the year under review, MSF together with other partners, planned and hosted the World Environment Day observed every 5th day of June. The Walk to Work campaign was championed as a way of being in solidarity with the rest of the world in conserving the environment.

The Company supported the planting of 1000 tree seedlings at Opedur Primary school in Busia North Zone, a project expected to help manage compound drainage of the school which has always experienced water logging during wet seasons.

Company staff members joined the communities, schools, other corporate participants and leaders from Bungoma County in launching a cleanup exercise for Bungoma Town. The Company donated an assortment of tools and manpower. MSF also supported and participated in similar events in the major towns of Kakamega County.

The Company has remained alert to the natural call to protect human life and continued to use resources within its reach to respond during emergency situations. Following the terror attack staged at Westgate Shopping Mall on 21st Sept 2013, Company staff members joined the rest of Kenyans of good will in empathizing with the affected people. Monday 23 and Tuesday 24 September 2013 were set aside as days for staff to donate blood towards this cause. Despite the heavy rains, over 100 staff members turned up to donate about 80 pints of blood. During the strike by medical staff in public health facilities between November and December 2013, there was an overwhelming increase in service demand at St. Mary's Hospital, a private hospital in Mumias. The blood bank at the hospital got depleted putting many lives under threat. Mumias Sugar Foundation came in handy mobilizing Company staff and the community to donate blood to the hospital. A total of 102 pints of blood was realized.

In early 2014 when a stormy rain ripped off iron sheet roofs of a laboratory at St. Marys Girls High School (Mumias West) and classrooms at Eshisisia Primary School (Butere), the Company made significant donations through MSF to help restore normal learning environment.

MANAGING DIRECTOR'S STATEMENT (Cont)

Earlier in December 2013, MSF together with Kenya Red Cross had mobilized Company staff to donate clothing to needy families. One hundred and fifty (150) staff households provided donations that benefited a total of 650 community households around Mumias Town.
In future, MSC plans to help build the resilience capacity of the communities through formation of disaster preparedness teams that will help in the formulation of Community Disaster Preparedness Plans. School children will also be trained on fire marshaling and first aid.

Human Capital Investment

Our strategic priority in Human Capital Development remains to build a strong unified team with excellent skills and entrepreneurial flair necessary to take MSC to the next level. It is our continued belief that our people are the lifeline of our business and that continued strategic investment in our people also enables us to attract and retain highly skilled people from all over Kenya.

During the financial year, we sought to understand better the employee engagement within the organization through an internal employee engagement survey. The survey found an overwhelming majority of employees to be proud to work for MSC and would recommend MSC as a good place to work. In addition, it established that a vast majority of our staff also recognize that MSC has a responsible attitude towards its stakeholders. Areas for improvement included operational efficiency, accountability and leadership across the organization, change management and performance management. We will continue to conduct such surveys on an annual basis.
A number of changes are being made to the Company's management team. Meanwhile we are addressing key areas to improve work programmes and organizational development initiatives planned for the next period (s).

The Company remains committed to training and development of its employees to continuously enhance their capabilities and equip them with skills necessary for effective performance of their roles. During the financial year under review, we spent over Ksh 17,000,000 in this regard despite constrained cash flows.

The relationship between Management and Union remained harmonious with the usual consultations on the Collective Bargaining Agreement (CBA) and staff welfare matters. Discipline across the Company continued to improve and consultations continued as necessary.

The Company continued to demonstrate strong commitment to business ethics through programs intended to create and enhance employee awareness of the Company's code of business conduct and policy of intolerance to corrupt and unethical practices. Over 70% of the staff population was reached through this program. We encourage our employees and contractors to raise issues or concern through members of the executive team or the Board of Directors. Our focus in the next financial year will be to promote awareness of these channels of communication, push up the staff population reached through awareness to 100% and extend the same to third party service providers.

HR department continued to align its services to sustain focus on supporting line departments in their endeavour to achieve the overall aims of the organization. This is achieved through HR business partnering whereby employees who are HR professionals are assigned specific business units to work side by side with line managers in responding to HR issues arising within their processes. During the period under review, a number of training and process improvement initiatives were undertaken as a consequence to improve operational effectiveness. Key examples include the roll out of the restructured business unit model Agriculture Department and the ongoing review of the Commercial department.

Litigation, Dispute Resolution and Compliance with Laws

During the period under review the Company remained vigilant to maintain compliance with laws legislated at both national level and county level. The internal legal compliance environment has continuously been evaluated in order to mitigate against any legal exposures in a timely manner.

The MOCO/MSC accounting dispute was still pending before the arbitrator as the year came to a close while various other cases were ongoing in various courts at different stages of hearing.

The company is exploring options available to ensure that operational disputes are minimized and will embrace alternative dispute resolution mechanisms as a way of resolving most current and future litigations while ensuring that the interests of all parties and stakeholders involved are fairly taken into account.

Information and Communication Technology

The Company has continued to realize benefits from installed ICTs as the ICT department collaborated with users and process owners in identifying and exploiting opportunities for business improvement using ICTs.

During the period under review, infrastructure was extended to cover areas such as the new administration building which will soon

MANAGING DIRECTOR'S STATEMENT (Cont)

be put into use and new Cane Buying Centres in Bumula and Navakholo. Implementation of SAP human capital management module commenced and integration of Product Weigbridge system to SAP was completed. Users were trained in various skill areas ranging from specific system modules to general ICT knowledge.

Emphasis will continue to be placed on business benefit realisation from implemented ICTs in order to enhance capacity to deliver value and gain competitive advantage.

Safety, Health and Environment

The company has continued to put strong emphasis on the Safety, Health and Environmental issues. No workplace fatality was reported during the year. Employee Lost Time Frequency Rate (LTIFR) improved to 0.17 from 0.39 achieved the previous year. Contractors lost time injuries reduced by 47% and road safety incidents reduced by 16%. The company encourages active participation of all employees in her quest for zero injury target. More initiatives are planned in the next financial year for implementation as part of the safety excellence journey.

Our environment management programmes were adequately implemented during the year and all efforts made to ensure compliance to statutory requirements. Self-environmental audits and air emission monitoring were conducted and improvement actions plans drawn to further strengthen the Company's environmental performance. As demonstrated elsewhere in this report, we continue to partner with schools and local community in our afforestation programme through the Mumias Sugar Foundation.

Conclusion and Future Outlook

The company looks forward to better performance based on changes being made. The board has operationalised short term measures including change of management of the company, improved engagement program for farmers and other critical stakeholders, strengthening of internal control environment and initiating organizational culture change. It is currently pursuing a number of medium term and long term strategic measures to restore the company's solvency and return it to profitability. These include configuration of production plants and rationalization of human resources to maximize productivity, improved engagement with and service delivery to farmers for better yields, reviewing of distribution channels and building brand equity to enhance margins and leveraging on our established quality management system and other international standards/practices on implementation to deliver superior value to our stakeholders.

On market dynamics, the assurance from government authorities to increase vigilance on imported and counterfeit sugar will be a critical factor in ensuring competitive pricing. The company has fulfilled all preconditions for COMESA whose safeguards expire in February 2015 and has embarked on a major initiative to regain its market share through investment in additional packaging plant capacity that will significantly improve margins.

The company continues to expand its market for potable spirit into the regional market. Re-negotiation of the Power Purchase Agreement is ongoing with the aim of unlocking further opportunities for the Cogeneration business. Water production process and packaging improvements have been undertaken to achieve efficacy and profitability.

Meanwhile, the company is reviewing its existing Strategic Plan for the period 2012/2017 to capture new opportunities and threats as well as anchor it on the exploitation of strengths enhanced through ongoing changes.

Coutts Ottolo
Managing Director

TAARIFA KUTOKA KWA MENEJA MKURUGENZI

Hebu nichukue fursa hii kuwaletea ripoti ya mwaka uliomalizika Juni 30, 2014. Naomba fursa yenu kuangazia maeneo muhimu ya shughuli zetu ambayo ni msingi wa matokeo ya kifedha yaliyo na umuhimu mkubwa kwenu kama wanahisa wetu. Wakati wa kipindi cha mwaka wa matumizi ya pesa unaoangaziwa, sekta ya biashara ya sukari iliendelea kushuhudia upungufu mkubwa wa zao la miwa kanda ya magharibi. Upungufu huu ulichochewa zaidi na kuingizwa nchini kwa sukari kupitia njia zisizo halali hali ambayo iliathiri pakubwa bei za bidhaa hiyo na matokeo ya kifedha ya kampuni. Hata hivyo, usimamizi ulioko sasa pamoja Halmashauri zimetambua changamoto zinazokabili Kampuni na wanaweka mikakati itakayobadili hali ya mambo na kuirejesha katika hatua za kuleta faida.

Matokeo ya Kifedha

Mapato kwa jumla kwa kipindi cha mwaka 2014 yaliongezeka kwa asilimia 9 .3 (9.3%) na kufikia Kshs. milioni 13,076 kutoka kshs. milioni 11,958 mwaka 2013.
Hii ilihusisha Kshs. milioni 11,914 (2013 ilikuwa 11,210) kutokana na sukari. Kshs. milioni 822 (2013ilikuwa Kshs. 261) kutokana naethanol, Kshs. milioni 307 (2013 ilikuwa milioni 458) kutokana na kawi na Kshs. milioni 33 (2013 ilikuwa milioni 28) kutokana na maji yaliyohifadhiwa kwa chupa.

Licha ya kushuka kwa bei za masoko na kuzidi kuwepo kwa changamoto zinazotokana na miwa wakati wa kipindi hiki cha mwaka unaoangaziwa, mauzo kutokana na sukari yaliongezeka kwa asilimia 5.5 (5.5%) kutokana na viwango vikubwa vya mauzo ikilinganishwa na mwaka uliotangulia. Biashara ya ethanol iliendelea kuwa nzuri kwani uzalishaji uliongezeka kwa asilimia 210 (210%) huku soko la vileo vinavyosafirishwa ikikua kwa kiwango kikubwa. Hata hivyo, biashara ya kawi, iliathirika kutokana na ada ndogo za uuzaji wa nguvu za umeme chini ya makubaliano ya sasa na uwezo mdogo kutokana na matumizi ya chini. Kampuni ilizindua upya bidhaa yake ya maji yaliyohifadhiwa kwa chupa kipindi hiki cha mwaka. Wakati wa mwisho wa kipindi cha mwaka, biashara hiyo ilikuwa ikiendelea kuimarika.

Faida kwa jumla ilikuwa Kshs. milioni 848 (mwaka 2013 ilikuwa Kshs. milioni 1.562) huku kukiwa na hasara halisi kabla ya kutozwa ushuru ya Kshs. 3.405 (mwaka 2013 ilikuwa Kshs. 2.222). Hasara hii iliongezeka kutokana na kushuka kwa bei za sukari isiyotoka kiwandani ambayo ilipanuka zaidi kwa asilimia 21 (21%) wakati wa kipindi hiki cha mwaka huku jumla ya gharama za mauzo ikiongezeka kwa asilimia 34(34%) dhidi ya tani za sukari zilizouzwa. Inatarajiwa kwamba hakutakuwa tena na kushuka kwa bei za sukari mwaka unaokuja.

Shughuli za Kilimo

Miwa iliyowasilishwa kiwandani wakati wa kipindi hiki cha mwaka ilikuwa asilimia 12.7 (12.7%) zaidi na kufikia tani 1.923,032.1 ikilinganishwa na jumla ya tani 1, 706, 927.4 mwaka uliotangulia. Kiwango cha wastani cha Pol (sukari ya miwa) ilikuwa asilimia 10.88 (10.88%). Kuongezeka kwa wingi kumetokana na kuongezwa kwa kipindi cha uwasilishaji kufuatia kusitishwa kwa kiwanda kutokana ukarabati uliopangwa kufanyika mapema baina ya miezi ya Mei na Juni mwaka 2014. Mashamba ya Nucleus Estate yalichangia tani 112, 891.5 ambayo ni asilimia 6 (6%) huku tani 1, 533, 943 ambazo ni asilimia 79 (79%) zikipatikana kutoka kwa Outgrowers (OG). Tani 276, 197.6 ambazo ni asilimia 15 (15%) zilipatikana kutoka kwa wakulima wa kibnafsi ndani na nje ya kanda.

Hali ya anga wakati wa kipindi hiki cha mwaka unaoangaziwa ilikuwa ya kufana kwa uzalishaji wa miwa hata ingawa eneo la kanda ya ukuzaji miwa ilipokea viwango vya chini vya wastani vya mvua ya milimita 1.681.8 ikilinganishwa na milimita 1. 907. 9 mwaka uliotangulia dhidi ya kiwango cha muda mrefu cha wastani (LTM) cha milimita 1. 853.1. Mavuno ya miwa yaliongezeka kwa kiwango cha wastani cha 49.6 ikilinganishwa na 47.1 mwaka uliotangulia licha ya kuzidi kuwepo kwa uviziaji wa miwa kutoka kwa wasagaji majirani na kupelekea kuwepo kwa ushindani usio na maana wakati wa kipindi hiki cha mwaka. Jumla ya hekta 1.090.08 zikiwa na makadirio ya tani 50,000 ya miwa ziliviziwa kutoka kanda ya Mumias wakati wa kipindi hiki.

TAARIFA KUTOKA KWA MENEJA MKURUGENZI (Kuendelea)

Mpango wa ustawi wa miwa ulikuwa wa chini kidogo dhidi ya malengo yaliyolengwa kutokana na upatikanaji wa chini wa viwango vya matayarisho ya ardhi. Jumla ya hekta 8, 276. 47 zililimwa. Hekta 7.686.96 zikatandazwa na hekta 7,674.38 zikawekwa mitaro dhidi ya makadirio ya hekta 10,000. Eneo lililopandwa lilikuwa hekta 8.213 dhidi ya bajeti ya hekta elfu 10,000. Usambazaji wa mbolea kwa shughuli za upanzi ilikuwa jumla ya magunia 137, 988 ikihusisha magunia 12.254 yaliyosambazwa mashamba ya NE na mengine 125, 734 mashamba ya OG.

Wakati wa kipindi hiki cha mwaka juhudi kubwa zilifanywa ili kuwashirikisha wakulima na washika dau wengine kuwapa ufahamu kuhusu changamoto zinazokumba sekta hii na mikakati iliyochukuliwa na kampuni kukabiliana nazo. Mikutano hii iliwapa wakulima na viongozi wa jamii fursa ya kubadilishanamawazo na maoni. Mafunzo kwa wakulima na warsha za uwekezaji zilitekelezwa kwa kina ili kuimarisha ujuzi na elimu ya ukuzaji zao la miwa. Usimamizi uliimarisha matumizi ya taaluma za ziada za uwekezaji kama vile kilimo cha miwa na maharagwe ya soya kukuzwa pamoja na miwa miongoni mwa mimea mingine.

Kampuni inazidi kubuni vituo vya ununuzi maeneo ya mbali kuwapunguzia wakulima gharama za uchukuzi. Wakati wa kipindi chote cha mwaka, kituo cha ununuzi cha Kisoko kilitekeleza kazi vyema huku ujenzi wa vituo vingine viwili vya ziada huko Bumula kanda ya Kaskazini na Navakholo kanda ya Mashariki ukiendelea kama ilivyopangwa. Ujenzi wa jumla ya Kilomita 1.527 za barabara ulitekelezwa ikilinganishwa na kilomita 2.178.78 mwaka uliotangulia. Ukarabati wa barabara ulisitishwa kutokana na kuzorota kwa vifaa vya utengezaji barabara kwa sababu ya ukuu kuu wake. Majadiliano baina ya Idara ya usimamzi wa Sukari (zamani KSB) yanaendelea ili kugharamia ununuzi wa vifaa vipya.

Matokeo ya Kiwanda

Miwa iliyosagwa ilikuwa asilimia 12 (12%) zaidi kwa metriki tani 1, 925, 925 ikilinganishwa na tani 1,719,920 mwaka uliotangulia. Hii ni kwa sababu kiwanda kiliendelea kufanya kazi miezi ya Mei/ Juni 2014 baada ya kuahirishwa kwa muda wa usitishaji shughuli ili kufanyiwa ukarabati. Wakati huo huo, uzalishaji wa juu wa tani 172, 326 za sukari uliafikiwa ikilinganishwa na tani 147, 320 zilizozalishwa mwaka uliotangulia. Uzalishaji uliathirika kwa kiwango sawa na mwaka uliotangulia kwani kiwanda kiliendelea kupokea miwa isiyokomaa na kufanya kiwango cha uimarikaji kuwa cha chini. Jumla ya tano 50, 934 zilizowakilisha asilimia 30 (30%) za jumla ya uzalishaji zilihifadhiwa. Uwekazaji zaidi unapangwa ili kupanua uwezo wa uhifadhi hadi asilimia 70 (70%) wakati wa kipindi hiki cha matumizi ya pesa.

Kiwanda cha ethanol kilifanya vyema zaidi na kuzalisha lita 10, 650, 957 za Extra Neutral Ethanol (ENA) na lita 1, 531, 624 za Technical Alcohol (TA).Hii iliwakilisha ongezeko la asilimia 166 (166%) ikilinganishwa na lita 3, 997,000 za ENA na lita 390,000 za TA zilizopatikana kipindi cha mwaka wa biashara kilichopita. Hii ilitokana na molasi nyingi ilipatikana kutokana na miwa change iliyosagwa kipindi hiki cha mwaka.

Kinyume na hayo, kiwanda cha uzalishaji kawi kwa pamoja kiliendelea kuathirika kutokana na uhaba wa miwa na nguvu za umeme zilizouzwa kwenye mradi a kitaifa kushuka kwa asilimia 20 (20%) hadi Megawati 57, 209 kutoka megawati 71, 710 za nguvu za umeme zilizouzwa mwaka uliotangulia. Wakati wowote kiwanda kilipositisha kazi, kampuni iliagiza nguvu za umeme kutoka kampuni ya Kenya Power &Lightingili kudumisha shughuli ndogo ndogo muhimu.

Kiwanda cha utengezaji maji kilirekodi uzalishaji wa chini wa lita 1, 290, 614 za maji. Hii ni kwa sababu, wakati wa kipindi hiki cha mwaka, kampuni ilibadili maji yake ya chupa kutoka chupa nyeupe hadi chupa yenye rangi au samawati. Hatua za kufanyia mabadiliko bidhaa zilichukua muda mrefu huku upatikanaji wa vifaa vya uhifadhi ukichukua mwendo wa pole.

Bali na kuahirishwa kwa ukarabati mkubwa , ukarabati mwingine wa kawaida ulitekelezwa kwa mujibu wa ratiba iliyowekwa na kiwanda kiliafikia uwezo wa utekelezaji kazi wa asilimia 66.65 (66.65%). Kiwango kidogo cha miwa iliyopokelewa hakingeweza kuthibiti shughuli za kawaida za viwanda vyote vitatu. Wakati wa kipindi cha mwaka unaofuata wa matumizi ya pesa, ukarabati mkubwa utatekelezwa, mtambo wa kuchemsha maji utafanyiwa marekebisho huku vipuri kadhaa vikibadilishwa kuimarisha uthabiti wake.

Shughuli za Mauzo na Kiuchumi

Soko la kimataifa la sukari lilishuhudia ongezeko la juu kwani wazalishaji kote ulimwenguni walishawishiwa na ishara thabiti za bei zilizoshuhudiwa mwaka 2010 na 2012. Ongezeko la sukari lilipelekea bei za sukari kushuka chini kwa senti 16 kwa kila beli mwezi Juni 2013. Mabadiliko ya makubaliano ya kibiashara katika kanda katika soko huria yalisababisha athari kwa biashara ya sukari nchini Kenya. Huku COMESA ikiongeza muda wa kinga kwa taifa la Kenyahadi Februari 2015, SADC ilitoa idhini kwa taifa la Tanzania kutoruhusu

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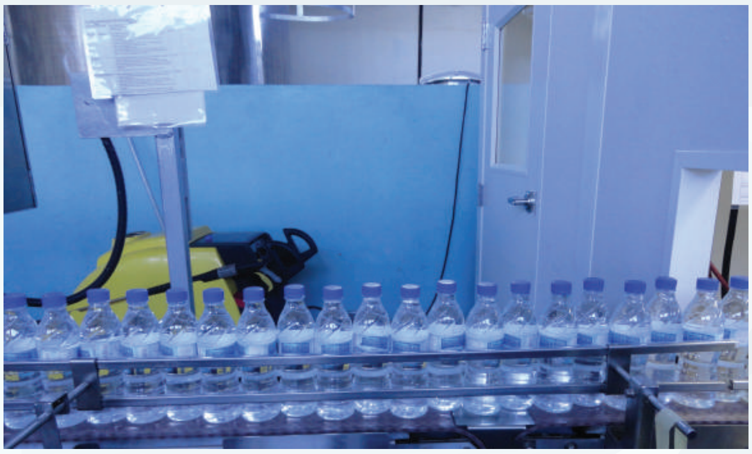
uagizaji wa sukari isiyotozwa ushuru ili kulinda viwanda vyake na kuweka ushuru wa asilimia 25 (25%) kwa bidhaa zilizoagizwa kutoka mataifa ya SADC.Wakati huo huo, mazungumzo ya kubuni mkataba wa pamoja wa mataifa matatu ya eneo la soko huria (TFTA) yaliendelea kushinikiza kuingizwa kwa sukari ya bei za chini kutoka mataifa ya Uganda na Tanzania. Wakati wa kipindi hiki cha mwaka wa biashara, kuingizwa kwa bidhaa zisizotozwa ushuru hasa kupitia maeneo ya mipaka ya Kenya kuliongezeka na wafanyabishara wakatwaa nafasi ya pengo lililowekwa na waagizaji wa zamani wa Kenya kutoka mataifa ya COMESA ambao bado walikuwa wakiagiza bidhaa zao kutoka mkataba wa Ulaya hadi mapema mwaka 2014. Bidhaa hizi za bei rahisi zisizotozwa ushuru au kuingizwa kwa njia isiyo halali ziliathiri pakubwa bei ya sukari iliyozalishwa humu nchini. Kampuni ilipata kiwango cha chini cha wastani cha bei ya mauzo cha Kshs. 62, 266 kwa kila tani ya sukari ikilinganishwa na Kshs.78, 540 kipindi sawa na hicho na hivyo kupunguza viwango vya faida.

Kiwango cha juu cha tani 188,548 za sukari kiliuzwa wakati wa kipindi hiki cha mwaka wa matumizi ya pesa na kuwakilisha asilimia 33. 9 (33.9%) kutoka kiwango cha awali cha tani 140, 775 mwaka uliotangulia. Hii ilitokana na kuendelea kuongezeka kwa upatikanaji wa bidhaa kulikosababishwa na uzalishaji wa juu uliopatikana ikilinganishwa na mwaka uliotangulia. Hata hivyo, upatikanaji wa jumla wa sukari ya Mumias katika masoko ulikuwa wa chini na kushinikiza kuongezeka kwa sukari duni. Hali hii ilipelekea kuwepo kwa wasi wasi wa bidhaa za humu nchini kwanisukari duniilimiliki nafasi ya bidhaa zetu kwenye maduka.



Kampuni nyingi ziliongeza alama ya uwepo wao ili kujulikana zaidi. Maduka mengi ya uuzaji yamekuwa yakiweka alama yao kwenye bidhaa hivyo kuhatarisha nafasi ya bidhaa kubwa kama vile sukari ya Mumias. Waagizaji pia wameanza kubadili nembo kwa viwango vikubwa vya sukari kama mkakati wa uvumishaji hivyo kuongeza ushindani. Kampuni imechukua hatua na ina imeweka mipango mikubwa kukabiliana na bidhaa duni. Uwezo wa alama ya sukari yetu utapanuliwa ili ili kuongeza upatikanaji wa mifuko iliyowekwa nembo na kulinda nafasi ya Mumias Sugar kwenye maduka siku za usoni.

Jumla ya lita 12, 156,000 za ethanol ziliuzwa kipindi hiki cha matumizi ya pesa na kuwakilisha ongezeko la asilimia 213 (213%) dhidi ya kiwango cha lita 4,000,000 mwaka uliotangulia. Hii ilichangiwa najuhudi za kuimarisha biashara ya kampuni katika kanda hasa mataifa ya Uganda, Rwanda na Tanzania.

Jumla ya lita 1, 396,000 za maji ziliuzwa na kuwakilisha asilimia 47 (47%) ikilinganishwa na kiwango cha lita 951,000 kilichouzwa mwaka uliotangulia.

Uvumishaji

Wakati wa kipindi hiki cha mwaka, shughuli za uvumishaji zilidumishwa hata ingawa kwa kiwango kidogo ili kuthibiti gharama. Maeneo yaliyopewa kipaumbele yalikuwa usimamizi ili kuimarisha utoaji huduma kwa wateja, kusaidia timu ya wauzaji, kuthibiti matangazo ya bidhaa na maonyesho ya uimarishaji pamoja na uhusiano na wateja.

Bidhaa ya maji ya kunywa chapa Mumias Sprinkles ilizinduliwa Mwezi Oktoba 2013. Mojawapo wa kigezo muhimu cha mauzo ni ubora wake. Kampuni ilijihusisha na juhudi kubwa za uvumishaji wa biashara ikiwa na lengo la kushinikiza mahitaji na ununuzi wa mara kwa mara hivyo kuongeza viwango vya mauzo. Ufadhili wa shughuli za michezo kama vile raga na mpira wa miguu ziliendelezwa kama mbinu muhimu ya uhusishaji wa alama ya bidhaa na wateja.

Mbinu mpya ya uhifadhi sukari imevumbuliwa kufanyiwa maendeleo ili kupunguza gharama za uhifadhi wa bidhaa za viwango vidogo na pia kuimarisha hatua za kukabiliana na bidhaa duni.

Uwekezaji wa Shirika Kwenye Miradi ya Kijamii

Uwekezaji kwenye miradi ya kijamii umekuwa sehemu muhimu ya shughuli za MSC. Uwekezaji huu ulitekelezwa chini ya mradi waMumias Sugar Foundation (MSF) miongoni mwa shughuli nyinginezo za wajibu wa shirika kwa jamii. Maeneo muhimu yaliyoangaziwa yalikuwa elimu, afya na usafi, mazingira, ujasiriamali na uzalishaji

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wa mapato, kukabiliana na majanga na uokozi, michezo na ustawi wa vipawa kwa vijana.

Elimu ni sehemu muhimu ya maisha kwa jamii inayoishi eneo ambako MSC inatekeleza shughuli zake. Wakati wa kipindi hiki cha mwaka wa matumizi ya pesa za serikali, Kampuni ilikamilisha ujenzi wa madarasa mapya 12 katika shule zilizoko eneo lote la ukanda wa miwa. Huu ni mradi ulioanzishwa kipindi cha mwaka uliotangulia. Vioo viwili vya shimo vilijengwa katika shule nyingine ya ziada.Ujenzi wa madarasa zaidi utaongeza uwezo wa wanafunzi kufikia elimu na kutoa mchango wa uimarishaji wa ubora wa elimu na kupunguza msongamano katika madarasa.

Kampuni iliendelea kuchangia elimu kupitia miradi miwili ya ufadhili wa masomo kwa kulenga watoto werevu katika kanda ya ukuzaji miwa na wakulima wenye mahitaji. Wakati wa kipindi cha mwaka unaongaziwa, mpango wa mradi wa Elimu Trust bursary ulitoa karo ya mwaka mzima kwa watoto werevu 80 (20 kila mwaka) kutoka kwa wakulima wa Mumias na wafanyakazi wa Kampuni ili kuwawezesha kupata elimu bora ya sekondari. Mpango mwingine unaojulikana kama Utamu Halisi Na Elimuulitoa ufadhili wa masomo kwa wanafunzi 60 wa kidato cha kwanza kwa wakulima wanaohitaji msaada. Zaidi ya hayo, kwa kutambua matokeo bora katika elimu, kampuni ilifadhili shughuli mbali mbali wakati wa kipindi hiki cha mwaka ikiwemo kongamano la hisibati, kampi za mafunzo kwa vijana na mchango wa vitabu vya masomo miongoni mwa mambo mengine.

Afya miongoni mwa jamii ya wakulima katika kanda ya miwa ni swala linaloangaziwa sana na Kampuni. Kupitia mradi wa Mumias Sugar Foundation (MSF), Kampuni ilihusisha jamii na wafanyakazi wake kwenye shughuli mbali mbali ambazo ziliimarisha afya ya jamii. Wakfu huu uliendelea kutafuta na kuimarisha ushirikiano na mashirika yasiyo ya kiserikali nchini, mashirika ya kijamii (CBOs) na wafanyakazi ili kuisadia jamii kupambana na janga la funza. Kupitia ushirikiano huu, MSF iliandaa kampeini ya kupambana na funza maeneo mbali mbali ya uwakilishi bunge yaliyoko kanda ya miwa . Shughuli za utoaji ufahamu, mafunzo na majaribio kuhusu ugonjwa wa saratani na mienendo mingine ya kimaisha inayoathiri afya ilitekelezwa.

Kampuni ilisaidia na kushiriki mbio za Mater Heart Run wakati wa kipindi hiki cha mwaka. Ushiriki huu ulikuwa ni kupitia vifaa, ukarimu, huduma za matibabu, uchukuzi miongoni mwa misaada mingine. Zaidi ya Kshs. milioni 3.5 zilikusanywa wakati wa zoezi hili. Kupitia wakfu huu, Kampuni pia ilishiriki mkutano wauzinduzi wa washika dau wa Kaunti ya Kakamega ambao ulifadhiliwa na wizara ya Afya ya Kaunti. Miongoni mwa maswala yaliyojadiliwa yalikuwa ni pamoja na haja ya MSC kuendelea na upanuzi wa uzalishaji wa sukari iliyoimarishwa madini ya Vitamini A kama mojawapo wa juhudi zake kuisadia serikali na Jamii kukabiliana na majanga ya kiafya yanayotokana na upungufu wa madini haya hasa miongoni mwa watoto.

Taasisi ya Sukari ya Mumias (Mumias Sugar Foundation) ilivumbua kilimo cha ng'ombe wa maziwa kama njia nyingine ya ziada bali na kilimo cha miwa. Bali na kuwawezesha wakulima wa ng'ombe wa maziwa kuwa na pesa, vitengo hivi pia vitawapa mbolea ya thamani ya hali ya juu kwa mashamba yao ya miwa. Taasisi hii inashirikiana na makundi ya kijamii yanayoendesha shughuli zake kwenye mashamba ya miwa ili kuendesha shughuli zake. Wakati wa kipindi hiki cha mwaka unaoangaziwa, kampuni ilinunua ng'ombe 30 wa maziwa na

kuwasambaza katika makundi 30 ya kijamii yaliyoenea kote wa Mumias. Ili kusadia kilimo cha ufugaji wa ng'ombe wa maziwa, kitengo cha kuwapa mimba ng'ombe kwa kutumia mbinu za kisasa kilianzishwa katika shule ya Booker School.

Kampuni inazidi kushirikiana na jamii, shule na serikali za kaunti kuimarisha mazingira salama na yenye afya.
Wakati wa kipindi cha mwaka unaoangaziwa, ikishirikiana na washirika wengine, MSC ilipanga na kuthamini siku ya mazingira ulimwenguni ambayo huadhimishwa Juni 5 kila mwaka. Kampeini ya "walk to work" ilihamasishwa sana kama njia mojawapo ya kuonyesha ushirikiano na mataifa mengine ulimwenguni katika utunzaji mazingira. Kampuni ilisaidia upanzi wa miche 1000 ya miti katika shule ya msingi ya Opedur iliyoko kanda ya kaskazini mwa Busia. Huu ni mradi unaotarajiwa kusaidia kukabiliana na mabomba ya kuondoa maji shuleni. Kwa mudamrefu shule hii imekuwa ikikabiliwa na mafuriko ya maji wakati wa mvua.

Wafanyakazi wa kampuni walijiunga na jamii, shule, washiriki kutoka mashirika mengine na viongozi wa Kaunti ya Bungoma kuzindua zoezi la usafi katika mji wa Bungoma. Kampuni ilitoa mchango wa vifaa na wafanyakazi. Pia, Kampuni ya MSC ilisaidia na kushiriki zoezi jingine kama hili katika miji mikubwa iliyoko Kaunti ya Kakamega.

Kampuni imekuwa chonjo kulinda maisha ya binadamu na kuendelea kutumia raslimali zake zilizokokuitikia mwito wakati wa hali ya hatari. Kufuatia uvamizi wa kigaidi katika jumba la Westgate mnamo Septemba 21, 2013, wafanyakazi wa Kampuni walijiunga na wakenya wengine wenye nia njema kuwafariji watu walioathiriwa. Jumatatu Septemba 23 na Jumannne Septemba 24 zilitengewa wafanyakazi kutoa mchango wao wa damu kutokana na janga hili. Licha ya mvua kubwa iliyonyesha, zaidi ya wafanyakazi 100 walijitokeza kutoa painti 80 za damu.

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Wakati wa mgomo ulioendeshwa na maafisa wa matibabu katika vituo vya afya baina ya Novemba na Desemba 2013, kulikuwa na hitajiko kubwa la huduma za matibabu katika hospitali ya St. Mary's ambayo ni hospitali ya kibnafsi mjini Mumias. Hifadhi ya damu katika hospitali hii ilipunguka sana na kufanya maisha ya watu wengi kuwa hatarini. Mradi waMumias Sugar Foundation ulijitokeza na kuwashinikiza wafanyakazi wa Kampuni na jamii kutoa mchango wa damu kuisadia hospitali. Jumla ya painti 102 za damu zilipatikana. Mapema mwaka 2014 wakati mvua kali ilipong'oa paa katika maabara ya shule ya upili ya St. Mary's Girls High School (Mumias West) na madarasa ya shule ya msingi ya Eshisisia (Butere), Kampuni ilitoa mchango mkubwa kupitia MSF ili kudumisha mazingira ya masomo. Mapema Desemba 2013, MSF ikishirikiana na Kenya Red Cross iliwashinikiza wafanyakazi kutoa mchango wa nguo kwa familia zenye mahitaji. Jumla ya familia 150 zilitoa michango yao ambayo ilifaidi jamii 650 zilizoko eneo la mji wa Mumias.

Katika siku za usoni, MSF inamipango ya kuimarisha uthabiti wa jamii kupitia uzinduzi wa timu za kukabiliana na hatari ambazo zitasaidia kubuniwa kwa mipango ya kujihami na majanga. Watoto wa shule pia watapewa mafunzo ya kukabiliana na moto na pia huduma za kwanza.

Uwekezaji kwa Wafanyakazi

Mkakati wetu wa kwanza uliopewa kipaumbele katika mtaji wa ustawi wa wafanyakazi kazi ungali katika kujenga timu moja thabiti iliyo na ujuzi wa taaluma ambayo itaiwezesha MSC kuingia hatua nyingine. Ni imani yetu kwamba watu wetu ndio nguzo muhimu ya biashara yetu na kuendeleza mkakati wa uwekezaji kwao kutatuwezsha kuvutia na kudumisha wafanyakazi wenye taaluma ya hali ya juu kutoka maeneo yote ya Kenya.

Wakati wa kipindi hiki cha mwaka, tulifanya utafiti wa ndani kufahamu vyema uhusishaji wa wafanyakazi katika shirika. Utafiti huu ulifahamu kwamba wengi kati ya wafanyakazi wanafurahia kufanya kazi na MSC na wangependelea MSC kuwa mahali pazuri pa kufanyia kazi. Zaidi ya hayo, wengi wa wafanyakazi wetu wanatambua kwamba MSC inawajibikia vyema washika dau wake . Maeneo yanayohitaji kufanyiwa marekebisho ni uwezo wa kutekeleza, uwajibikaji na uongozi wa shirika, mabadiliko katika usimamizi na matokeo. Tutazidi kufanya tafiti kama hizi kila mwaka.

Mabadiliko kadhaa yanaendelea kutekelezwa kwa timu kuu ya usimamizi ya kampuni. Kwa wakati huu tunaangazia maeneo muhimu ili kuimarisha mipango ya kazi na mikakati ya maendeleo ya shirika iliyopangwa kwa kipindi (vipindi) kinachofuata. Kampuni inaendelea kujitolea kwa utoaji mafunzo na maendeleo ya wafayakazi wake ili kuimarisha uwezo wao na pia kujihami na mafunzo ya taaluma yanayohitajika kutekeleza majukumu yao kikamilifu. Wakati wa kipindi hiki cha mwaka unaoangaziwa, tulitumia zaidi ya Kshs. 17,000,000 kutekeleza wajibu huu licha ya changamoto za uhaba wa pesa.

Uhusiano baina ya usimamizi na muungano wa wafanyakazi uliendelea kuwa mzuri kupitia mashauriano ya kawaida ya makubaliano ya pamoja (CBA) na maswala ya maslahi ya wafanyakazi. Nidhamu kote katika kampuni iliendelea kuimarika na mashauriano kuendelea pale ilipohitajika.

Kampuni ilendelea kudhihirisha uwajibikiaji wake katika maadili ya kibiashara. Hayo yalikuwa ni kupitia mipango iliyonuiwa kubuni na kuhamasisha ufahamu wa wafanyakazi kuhusiana na maadili ya kampuni na mienendo ya biashara na sera za kampuni kutovumilia ufisadi na mienendo isiyofaa. Mpango huu uliweza kufikia zaidi ya asilimia 70 (70%) ya idadi ya wafanyakazi. Tunawahimiza wafanyakazi wetu nawanakandarasi kuwasilisha maswala au maswali kupitia wanachama wa kamati kuu ya usimamizi au Halmashauri ya Wakurugenzi. Mtazamo wetu kipindi cha mwaka ujao cha matumizi ya pesa utakuwa kuhamasisha matumizi ya mbinu hizi za mawasiliano, kuimarisha ufahamu hadi asilimia 100 (100%) na kusambaza ufahamu huu kwa watoaji wengine wa huduma.

Idara ya maslahi ya wafanyakazi iliendelea kulainisha huduma zake Ili kudumisha mtazamo wake wa kusaidia idara husikakama juhudi zake za kuafikia malengo yote ya shirika. Haya huafikiwa kupitia ushirikiano wa kibiashara na idara ya maslahi ya wafanyakazi ambapo wafanyakazi ambao ni wataalamu wa idara ya maslahi ya wafanyakazi hupewa majukumu fulani ya vitengo vya biashara na kufanya kazi sako kwa bako na mameneja husika kuangazia maswala ibuka katika shughuli zao. Wakati wa kipindi cha mwaka unaoangaziwa, idadi fulani ya utoaji mafunzo na mbinu za uimraishaji zilitekelezwa kama njia mojawapo ya uimarishaji utenda kazi. Mifano muhimu ilikuwa uzinduzi wa kitengo cha kisasa cha Idara ya kilimo kilichoimarishwa na tathmini inayoendelea sasa ya Idara ya kibiashara.

Kesi, Utatuzi wa Mizozo na Uwajibikaji Sheria

Wakati wa kipindi hiki kinachoangaziwa, kampuni ilichukua tahadhari za kudumisha uzingatiaji wa sheria zilizowekwa kote katika ngazi ya kitaifa na ile ya Kaunti. Daima, Mazingira ya ndani ya uzingatiaji washeria yamekuwa yakifanyiwa tathmini ili kupunguza maswala yoyote ya kisheria kwa wakati unaofaa. Mzozo wa uhasibu baina ya MOCO/ MSC ulikuwa ukiendelea mbele ya muamizi kipindi cha mwisho cha mwaka huku kesi nyinginezo zikiendelea kupitia mahakama tofauti kupitia vikao mbali mbali vya usikizi. Kampuni inatafuta mbinu zilizoko kuhakikisha mizozo ya utendaji kazi imepunguzwa na itatumia mbinu mbadala za utatuzi kama njia mojawapo ya kesi za hivi majuzi na zile zinazotarajiwa huku ikihakikisha maslahi ya makundi yote na washika dau yanazingatiwa kikamilifu.

Teknolojia ya Habari na Mawasiliano

Kampuni imeendelea kutambua manufaa yanayopatikana kupitia Teknolojia ya Habari na Mawasiliano. Idara hii imekuwa ikishirikiana na

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watumizi na wamiliki ili kutambua na kutumia nafasi zinazojitokeza ili kuimarisha biashara kwa kutumia teknolojia hii. Wakati wa kipindi kinachoangaziwa, muundo msingi ulipanuliwa ili kuhusisha maeneo kama vile jumba jipya la utawala ambalo hivi karibuni litaanza kutumika kama kituo kipya cha ununuzi wa miwa eneo la Bumula na Navakholo.Uzinduzi wa muundo wa SAP kwa usimamizi wa wafanyakazi ulianzishwa. Mfumo wa pamoja wa upimaji uzani wa bidhaa uliounganishwa kwa SAP ulikamilik. Watumizi walipewa mafunzo mbali mbali ya kiufundi hadi elimu ya teknolojia ya habari na mawasiliano.

Himizo litaendelea kuelekezwa kuhusu manufaa yatakayopatikana kibiashara kutokana na uzinduzi wa mfumo wa teknolojia ya habari na mawasiliano ili kuimarisha uwezo na kupelekea kupatikana kwa thamani na ushindani.

Usalama, Afya na Mazingira

Kampuni inaendelea kuweka shinikizo kali kuhusiana na usalama, Afya na maswala ya mazingira. Hakuna kisa chochote cha ajali kazini kilichoripotiwa kipindi hiki cha mwaka. Kiwango cha muda uliopotezwa na mfanyakazi (Employee Lost Time Frequency Rate- LTFIFR) kiliimarika hadi 0.17 kutoka 0.39 mwaka uliotangulia. Muda uliopotezwa na wanakandarasi kutokana na majeraha ulipunguzwa kwa asilimia 47 (47%) na visa vya usalama barabarani vikipingua kwa asilimia 16 (16%). Kampuni inahimiza ushiriki imara wa wafanyakazi wote kwenye juhudi za malengo yake ya kumaliza majeraha. Mikakati zaidi imepangwa kipindi k kijacho cha matumizi ya pesa kuzinduliwakama sehemu moja ya hatua za kufaulu kwa usalama.

Mipango yetu ya usimamizi wa mazingira ilizinduliwa kikamilifu wakati wa kipindi hiki cha mwaka na juhudi zote zilifanywa kuhakikisha uzingatiaji wa mahitaji ya kisheria. Ukaguzi wa kibnafsi wa mazingira na tathmini ya uchafuzi wa hewa ulifanywa na hatua za uimarishaji kufanywa ili kuimarisha zaidi matokeo ya kampuni kimazingira. Kama ilivyoonyeshwa kwingine kupitia ripoti hii, tunazidi kushirikiana na shule na jamii zilizoko kwenye mpango wetu wa upanzi miti kupitia mradi wa Mumias Sugar Foundation.

Hitimisho na Mtazamo wa Siku za Usoni

Kampuni inatarajia kupata matokeo mema kufuatia mabadiliko yanayofanywa. Halmashauri imeanzisha hatua za muda mfupi ikiwemo mabadiliko ya usimamizi wa Kampuni, kuimarisha mipango ya ushirikiano bainaya wakulima na washika dau wengine muhimu, kuimarisha uthibiti wa mazingira ya ndani na kuanzisha mabadiliko ya shirika. Kwa sasa kampuni imechukua hatua za mikakati ya muda mfupi na mrefu ili kurudisha sifa za zake kuendelea kupata faida. Hii inahusu kubadilisha sura ya viwanda vya uzalishaji na kuleta uwiano wa raslimali za wafanyakazi ili kuongeza uzalishaji, kuimarisha uhusiano wa utoaji huduma kwa wakulima ili kupata matokeo bora, kupiga msasa mbinu za usambazaji na kuunda usawa wa bidhaa ili kuimarisha viwango na uwezo wa mfumo wetu wa usimamizi ulioanzishwa napia taratibu nyinginezo za viwango vya kimataifa zitakazoleta thamani ya hali ya juu kwa washika dau wetu.

Kuhusiana na mabadiliko ya soko, hakikisho la taasisi za serikali kuwa macho dhidi ya uingizaji wa sukari duni litakuwa jambo muhimu kuhakikisha kuwepo kwa ushindani wa bei. Kampuni imeafikiana na masahrti yote ya mkataba wa COMESA ambao muda wake utakamilika Februari 2015. Kwa sasa Kampuni imeanza mikakati mikubwa kuhakikisha kwamba imerejesha nafasi yake kwenye masoko kupitia uwekezaji kwenye kiwanda cha ziada cha upakiaji ambacho kwa pakubwa kitaimarisha viwango.

Kampuni inazidi kupanua soko lake la vileo katika kanda. Kurejelewa upya kwa mazungumzo ya makubaliano ya ununuzi wa kawi yangali yakiendelea yakiwa na nia ya uvumbuzi wa manufaa ya ziada biashara ya uzalishaji kawi kwa pamoja.Hatua za utengezaji maji na uhifadhi zimechukuliwa ili kupata manufaa na faida.

Wakati huo, Kampuni inatathmini mkakati wake wa sasa wa kipindi cha mwaka 2012/ 2017 ili kufahamu nafasi mpyazinazojitokeza na hatari na kuzitumia kuendeleza mabadiliko yanayoendelea sasa.

Coutts Otolo
Meneja Mkurugenzi

CORPORATE SOCIAL RESPONSIBILITY

Corporate Social Investment continues to be an integral part of MSC operations carried out through the Mumias Sugar Foundation (MSF) and other Corporate Social Responsibility activities. Key focus areas are education, health and sanitation, environment, entrepreneurship and income generation, disaster response and recovery, sports & youth talent development.

Education

Education continues to be a vital component of the lifeline of the community in which MSC operates. The construction of the 12 classrooms spread across the sugar belt that started in the last financial year was completed. 2 pit latrines were also constructed for one other school. The additional classrooms will increase accessibility to education and reduce overcrowding hence contribute to the improvement of the quality of education in the sugar belt.

The ELIMU TRUST bursary scheme continues to sponsor 20 new top bright students annually from the farmers' households and from MSC staff to enable them access quality secondary education. In addition, 60 form one students were awarded bursary under the Utamu Halisi Na Elimu scheme during the year. This scheme targets needy farmers' households.

MSC recognizes good performance in education by sponsoring education days, mathematics symposium, youth education camps, donation of text books among others.

Health and Sanitation

The health of the community and farmers within the sugar belt is a crucial concern for MSC. Through the foundation, the company has engaged the community and staff in a number of activities that will work towards a healthy population. The foundation has nurtured a working partnership with local NGOs, Community Based Organizations (CBOs) and staff to help the community fight the jigger menace. This collaboration saw anti-jigger campaigns organised across various constituencies during the year. Health awareness activities and training sessions on lifestyle health conditions such as cancer were also carried out.

MSC supported and participated in the Mater Heart Run event. This was in form of facilities, hospitality, medical services, and transport among others. Over 3.5 million Kenyan Shillings was raised during this event.

MSC also participated, through the foundation, in the inaugural health stakeholders meeting for Kakamega County hosted by the County Ministry for Health. Among the issues discussed was the need for MSC to continue expanding the production of Vitamin A fortified sugar as a way of supporting the government and the community in averting health risks associated with Vitamin A deficiency especially among children.

Entrepreneurship and Income Generation

The Foundation works with identified CBOs operating in the sugarcane scheme in order to implement its projects. With regards to dairy farming as a supplement revenue stream, 30 dairy cows were procured and distributed to 30 sugarcane farmers' groups. An Artificial Insemination Unit was set up at Booker School to support dairy farmers within the scheme.

Environment

MSF has continued to partner with the community, schools and the counties in the promotion of a healthy and safe environment. Together with the Safety Health and Environment (SHE) function and other partners, it planned and hosted the World Environment Day observed every 5th day of June. The Walk to Work campaign was championed as a way of being in solidarity with the rest of the world

CORPORATE SOCIAL RESPONSIBILITY (Cont)

in conserving the environment.

MSF in collaboration with Health, Safety and Environment section supported the planting of 1000 tree seedlings at Opedur Primary school in Busia North Zone. The trees are expected to help manage the drainage of the school compound which is always water logged during wet seasons.

In July 2013, MSC staff members joined the communities, schools, corporates and leaders from Bungoma County in launching a cleanup exercise for the Bungoma Town. MSC donated an assortment of tools and manpower. MSF also supported and participated in a similar event for Kakamega County in the major towns of the County.

Disaster Risk Reduction and Recovery Project

Following the terror attack on Westgate Shopping Mall on 21st Sept 2013, MSF rallied MSC staff members to join the rest of Kenyans of good will in empathizing with the affected people. Monday 23 and Tuesday 24 September 2013 were set aside as days for staff to donate blood towards this cause. Despite the heavy rains, over 100 staff members turned up to donate about 80 pints of blood.

The strike by medical staff in public health facilities in November to December 2013, created an overwhelming increase in the service demand at St. Mary's Hospital Mumias especially on the hospital blood bank. MSF made an appeal to MSC staff and the community to donate blood to the hospital. A total of 102 units of blood were realized.

In December, MSF together with Kenya Red Cross (KRCS) mobilized MSC staff to donate clothing to needy families. 150 staff houses provided donations that benefited 650 households around Mumias Town. Early in 2014, MSF made donations to St. Marys Girls High School (Mumias West) and Eshisisia Primary School (Butere) when the two schools lost roofs for a laboratory and classrooms respectively during a storm.

In future, MSC plans to help build the resilience capacity of the communities through formation of disaster preparedness teams that will help in the formulation of Community Disaster Preparedness Plans. School children will also be trained on fire marshaling and first aid.

CORPORATE GOVERNANCE STATEMENT FOR THE YEAR 2014

Mumias Sugar Company Limited Board affirms its commitment to upholding high standards of corporate governance designed to protect the interests of shareholders and all stakeholders while promoting the highest standards of integrity, transparency and accountability. A key objective of the company's governance framework is to ensure compliance with the legislative and regulatory requirements including the Capital Markets Securities, Public offers, Listing and Disclosure regulations of 2002 and Capital Markets Authority guidelines on corporate governance practices by Public listed companies in Kenya as well as international best practice guidelines.

The Board is cognizant of the fact that compliance is a continuous process and has continuously taken measures to ensure the Company maintains or pursues the required threshold of compliance to best corporate governance principles.

THE BOARD OF DIRECTORS

The Board provides leadership of the company within a framework that upholds the core values underpinning good corporate governance. The Boards' core role is to provide strategic direction to the company in order to ensure business sustainability and continuity. The Board has ensured that the Company has a clear strategic direction at all times. In pursuit of ethical corporate culture, the Board has ensured the Company builds and sustains a corporate culture comprising ethical business practices and that it conducts its business in an environment that is transparent and accountable. There exists a formal procedure for the appointment of directors. Key elements such as conflicts of interest and multiple directorships are considered during this exercise pursuant to the provisions of the CMA guidelines.

Board Composition

The Board believes that to achieve good corporate governance there is need for strong presence of non executive directors in the Board. The non-executive directors exercise independent judgment on Board deliberations. They also scrutinize and challenge actions of senior management. During the period under review, majority of the board members were non-executive directors. The Board had 11 directors, 10 of whom were independent non-executive directors. The Board membership fairly reflected the company's broad shareholding structure with no representation bias with regard to majority and minority shareholders. Details of the shareholding structure can be accessed under the shareholding information which gives details of major shareholders, directors' shareholdings, shares distribution summary etc. The Board has an appropriate balance of skill, experience, independence and knowledge.

Board Committees

The Board has put in place 6 principal committees to ensure effective discharge of its duties. The committees operate within well defined terms of reference which are reviewed regularly to ensure compliance with requirements as well as relevance to business strategy. The committees report to the Board on all statutory duties and duties assigned by the Board. During the period under review, the committees in place included the Board Risk Audit and Compliance Committee, Board Procurement and Disposal Committee, Board Nomination and Human Resource Committee, Board Technical Operations and Projects Committee, Board Agricultural Operations and Cane Availability Committee and Board Finance and Strategy Committee. The membership of the committees was as indicated in this report.

The Chairman of the Board

The Chairman has the overall responsibility of leading the Board. The Chairman oversees the operations and effectiveness of the Board and ensures that the Board's discussions are conducted in a manner that promotes open discussion and that no individual or small group dominates the Boards' decision making process. The Chairman ensured that there is effective communication with shareholders and promoted continuous compliance with the highest standards of corporate governance. The Chairman of the Board is independent and non-executive. In compliance with requirements, the Chairman does not hold this position in more than two listed companies. The roles and responsibilities of the Chairman and the Managing Director are separate. At all times during the period under review the two positions were held by different persons both of whom continued to enjoy cordial relationship.

The Role of the Managing Director - Executive Director

The Managing Director is the Chief Executive Officer of the Company. The Managing Director is responsible for the execution of agreed strategy. He holds delegated authority from the Board for the day to day management of Company business. The Managing Director is supported by a team of senior managers who are executive directors. The executive directors form a committee known as the Executive Committee (Ex-Com) which is chaired by the Managing Director and is required to meet twice a month and, additionally, on ad-hoc basis as and when need arises.

CORPORATE GOVERNANCE STATEMENT FOR THE YEAR 2014 (Cont)

Board Meetings

The Board discharges its responsibilities through regular scheduled meetings and, additionally, through ad-hoc meetings as and when need arises.

GOVERNING STAKEHOLDERS RELATIONSHIPS

The company and the Board are committed to maintaining constructive relationships with the stakeholders. Communication with all stakeholders is open.

ANNUAL REPORTS AND ACCOUNTS

The company announces its financial results twice a year, through interim and annual reports. The annual report provided at the end of the every financial year provides a balanced and clear assessment of the company's performance and prospects. The annual reports that are presented annually are in line with the International Financial Reporting Standards as well as applicable statutory requirements.

GOVERNANCE OF RISK

Risk Management

The Board recognizes its responsibility to maintain a sound risk management and internal control system in order to safeguard the shareholders investment and company's assets. The Board has continually worked towards ensuring that the risks are fully understood and managed. The Company's Enterprise Risk Management framework establishes structured risk management processes aimed at ensuring that employees are aware of the risk factors facing the organization. The Company also has in place a well thought out Business continuity plan which will be reviewed continually with the aim of reducing the impact of some of the identified risks.

Control Environment

The Company has identified the various processes that contribute to its value chain. The processes are supported by well documented procedures across the organization. The efficiency and effectiveness of the internal controls is tested through periodic audits conducted by outsourced professional internal audit firm. In addition, the company conducts periodic internal process audits in line with requirements of ISO 9001:2008 standard. Management and board are of the view that isolated cases of breach on internal control system cannot be avoided completely. The company will strive to continuously improve on the control environment.

Compliance with Laws and Regulations

The Board has continuously ensured that the company complies with applicable laws, rules and regulations including non-binding national and international standards. The Company has established a Compliance Policy as well as a Compliance Manual to guide this process. This is necessary in view of the fact that the business environment has become dynamic with new operating challenges, advancement in technology and continuous changes in laws and regulations. In maintaining legal compliance, the company maintains a sound compliance practice with a legal compliance policy that is integrated into the overall company strategy making compliance part of the day to day responsibilities of top management and employees. The compliance culture focuses on the following key elements: Establishing and communicating compliance responsibilities; and incorporating responsibilities for meeting legal requirements and policies into business processes.

REPORT OF THE DIRECTORS

The directors present their report together with the audited financial statements of Mumias Sugar Company Limited (the "company") for the year ended 30 June 2014, which shows its state of financial affairs.

PRINCIPAL ACTIVITIES

The principal activities of the company are the production and sale of sugar, ethanol, water and the generation and sale of electricity.

RESULTS

	Shs'000
Loss before taxation	(3,405,046)
Taxation credit	698,451
	_________
Loss for the year	(2,706,595)
	=========

DIVIDENDS

The directors do not recommend payment of a dividend for the year (2013: nil).

PRODUCTION

The following are the comparative statistics of cane processed and sugar production over the last five years:

	Cane Processed (Tonnes)	Sugar production (Tonnes)
2014	1,925,925	172,326
2013	1,719,920	147,320
2011	1,917,340	174,005
2010	2,245,281	235,812
2009	2,318,080	235,792
	========	=======

DIRECTORS

The current directors of the company are listed on page 4. Mr John Bosse retired as a director of the company during the year and was replaced by Ms Elizabeth Kyengo. Mr D Ameyo was appointed chairman of the board on 19 February 2014.

COMPANY SECRETARY

Ms Diana Barasa Amuhaya was appointed acting company secretary on 27 June 2014.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with Section 159 (2) of the Kenyan Companies Act.

BY ORDER OF THE BOARD

Amuhaya

Secretary
11 September 2014
Mumias

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the company as at the end of the financial year and of its operating results for that year. It also requires the directors to ensure that the company keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as the directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

As disclosed in note 3 to the financial statements, the directors acknowledge that the continued existence of the company as a going concern depends on the success of various strategic measures that are being pursued by the directors to ensure sufficient cane supply to the factory, cost effective operations in view of declining sugar prices and continued financial support from the lenders and other business partners. The directors are of the view that once these measures are fully implemented, the company's solvency will be restored and it will trade profitably for the foreseeable future.

Director

Director

11 September 2014

Deloitte.

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INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MUMIAS SUGAR COMPANY LIMITED

REPORT ON THE FINANCIAL STATEMENTS

We have audited the accompanying financial statements of Mumias Sugar Company Limited (the "company"), set out on pages 39 to 85, which comprise the statement of financial position as at 30 June 2014, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' Responsibility for the Financial Statements
The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility
Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the company's preparation of financial statements that give a true and fair view in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion
In our opinion, the financial statements give a true and fair view of the financial position of the company as at 30 June 2014 and of its loss and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Emphasis of matter
We draw attention to note 3 to the financial statements which describes the going concern basis of preparation of the financial statements. Our opinion is not qualified in this respect.

REPORT ON OTHER LEGAL REQUIREMENTS

As required by the Kenyan Companies Act, we report to you, based on our audit that:

i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
iii) the company's statement of financial position (balance sheet) and profit and loss account (presented within the statement of profit or loss and other comprehensive income) are in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditors' report is F Okwiri - P/No 1699.

Deloitte & Touche

Certified Public Accountants (Kenya)
Nairobi, Kenya
25 September 2014

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 JUNE 2014

	Note	2014 Shs'000	2013 (Restated) Shs'000
REVENUE	5	13,075,912	11,957,823
COST OF SALES		(12,227,708)	(10,395,794)
GROSS PROFIT		848,204	1,562,029
FAIR VALUE LOSS ON BIOLOGICAL ASSETS	17	(91,547)	(13,781)
OTHER INCOME		376,074	237,286
MARKETING AND DISTRIBUTION COSTS		(929,128)	(870,920)
ADMINISTRATIVE EXPENSES		(3,271,272)	(2,806,661)
FINANCE INCOME	6(a)	264,020	394,336
FINANCE COSTS	6(b)	(601,397)	(724,988)
LOSS BEFORE TAXATION		(3,405,046)	(2,222,699)
TAXATION CREDIT	9	698,451	562,293
LOSS FOR THE YEAR		(2,706,595)	(1,660,406)
OTHER COMPREHENSIVE INCOME			
Items that will not be reclassified subsequently to profit or loss			
Remeasurement of defined benefit obligations	25(b)	(48,700)	293,300
Deferred tax relating to remeasurement of defined benefit obligation	35	14,610	(87,990)
		(34,090)	205,310
TOTAL COMPREHENSIVE LOSS FOR THE YEAR		(2,740,685)	(1,455,096)
EARNINGS PER SHARE		Shs	Shs
Loss per share - basic and diluted	10	(1.77)	(1.09)

STATEMENT OF FINANCIAL POSITION
AT 30 JUNE 2014

	Note	2014 Shs'000	2013 (Restated) Shs'000	1 July 2012 (Restated) Shs'000
ASSETS				
Non current assets				
Property, plant and equipment	12	18,819,230	19,615,082	19,810,560
Intangible assets	13	156,172	315,676	206,603
Non current staff receivables	15	108,980	157,695	150,090
Retirement benefits asset	25(b)	125,400	133,600	-
		19,209,782	20,222,053	20,167,253
Current assets				
Inventories	16	1,118,959	2,463,064	1,676,088
Biological assets	17	157,352	219,378	191,093
Trade and other receivables	18	2,550,785	3,765,866	4,584,048
Corporate tax recoverable	9(c)	178,454	183,102	200,214
Collateral deposit	19	306,694	301,925	294,817
Short term deposit	20	9,812	-	51,797
Quoted investments	21	-	44,106	35,240
Cash and bank balances		31,248	70,923	138,063
		4,353,304	7,048,364	7,171,360
Non current assets held for sale	22	-	11,576	61,500
		4,353,304	7,059,940	7,232,860
Total assets		23,563,086	27,281,993	27,400,113
EQUITY AND LIABILITIES				
Equity				
Share capital	23	3,060,000	3,060,000	3,060,000
Revaluation surplus		3,071,442	3,173,432	3,350,880
Retained earnings		4,510,363	7,149,058	9,191,706
Shareholders' funds		10,641,805	13,382,490	15,602,586
Non current liabilities				
Deferred taxation liability	24	1,765,113	2,483,552	2,975,594
Provision for service gratuity	25(a)	7,838	10,464	2,747
Deferred grant income	26	18,828	15,379	-
Borrowings	27	494,353	2,981,335	2,925,531
Retirement benefits liability	25(b)	-	-	173,000
		2,286,132	5,490,730	6,076,872
Current liabilities				
Borrowings	27	5,245,518	3,058,448	2,463,448
Trade and other payables	28	4,898,879	4,844,672	2,928,017
Provision for service gratuity	25(a)	17,350	5,652	1,201
Provision for staff leave	29	28,101	43,626	28,552
Unclaimed dividends	11(b)	445,301	456,375	299,437
		10,635,149	8,408,773	5,720,655
Total equity and liabilities		23,563,086	27,281,993	27,400,113

The financial statements on pages 39 to 85 were approved and authorised for issue by the board of directors on 11 September 2014 and were signed on its behalf by:

Director

Director

STATEMENT OF CHANGES IN EQUITY
FOR YEAR ENDED 30 JUNE 2014

	Share capital	Revaluation surplus	Retained earnings	Total
	Shs'000	Shs'000	Shs'000	Shs'000
At 1 July 2012 (as previously reported)	3,060,000	3,350,880	9,312,806	15,723,686
Adjustment on retirement benefit liability (note 35)*	-	-	(121,100)	(121,100)
At 1 July 2012 (as restated)	3,060,000	3,350,880	9,191,706	15,602,586
Loss for the year	-	-	(1,660,406)	(1,660,406)
Other comprehensive income for the year	-	-	205,310	205,310
Final dividend declared - for year 2012	-	-	(765,000)	(765,000)
Transfer on disposal of equipment	-	(30,653)	30,653	-
Deferred taxation transferred on disposal of equipment	-	9,196	(9,196)	-
Transfer of excess depreciation	-	(222,845)	222,845	
Deferred taxation on excess depreciation	-	66,854	(66,854)	-
At 30 June 2013 (as restated)	3,060,000	3,173,432	7,149,058	13,382,490
	======	========	=======	=======
At 1 July 2013 (as previously reported)	3,060,000	3,173,432	7,055,538	13,288,970
Adjustment on retirement benefit liability (note 35)*	-	-	93,520	93,520
At 1 July 2013 (as restated)	3,060,000	3,173,432	7,149,058	13,382,490
Loss for the year	-	-	(2,706,595)	(2,706,595)
Other comprehensive loss for the year	-	-	(34,090)	(34,090)
Transfer on disposal of equipment	-	(17,754)	17,754	-
Deferred taxation transferred on disposal of equipment	-	5,326	(5,326)	-
Transfer of excess depreciation	-	(127,946)	127,946	-
Deferred taxation on excess depreciation	-	38,384	(38,384)	-
At 30 June 2014	3,060,000	3,071,442	4,510,363	10,641,805
	======	========	=======	=======

The revaluation surplus represents the net cumulative surplus arising from revaluation of property, plant and equipment net of deferred taxation. The revaluation surplus is non-distributable.

*The prior year adjustments relate to the change in accounting policy with regard to accounting policy due to mandatory adoption of the revised International Accounting Standard 19, Employee Benefits. The company previously applied the corridor approach in accounting for its defined benefits. Revised IAS 19 requires immediate recognition of remeasurement gains through other comprehensive income. The details of the adjustments have been captured in note 35 in the financial statements.

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 JUNE 2014

	Note	2014 Shs'000	2013 Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Net cash generated from operations	30(a)	1,146,834	1,332,306
Interest paid	30(d)	(545,526)	(729,861)
Interest received	6(a)	264,020	394,336
Other finance charges paid	6(b)	(63,167)	(63,710)
Tax paid	9(c)	(730)	(627)
Net cash generated from operating activities		801,431	932,444
CASH FLOWS FROM INVESTING ACTIVITIES			
Additions to property, plant and equipment	12	(509,072)	(1,216,026)
Additions to intangible assets	13	(30,460)	(19,893)
Proceeds on disposal of non-current assets held for sale		1,657	1,865
Proceeds on disposal of quoted investments	21	43,512	-
Net cash used in investing activities		(494,363)	(1,234,054)
CASH FLOWS FROM FINANCING ACTIVITIES			
Dividend paid	11(b)	(11,074)	(608,062)
Loans received	30(b)	1,201,071	2,726,346
Loans repaid	30(b)	(1,889,072)	(1,492,145)
Kenya Sugar Board grant received	26	3,449	15,379
Net cash (used in)/generated from financing activities		(695,626)	641,518
NET (DECREASE)/INCREASE IN CASH AND CASH EQUIVALENTS		(388,558)	339,908
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF YEAR		(940,281)	(1,280,189)
CASH AND CASH EQUIVALENTS AT THE END OF YEAR	30(c)	(1,328,839)	(940,281)

NOTES TO THE FINANCIAL STATEMENTS

1 ACCOUNTING POLICIES

a) Statement of Compliance

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) and the requirements of the Kenyan Companies Act.

For the Kenyan Companies Act reporting purposes, the balance sheet is represented by/equivalent to the statement of financial position in these financial statements, and the profit and loss account is presented in the statement of profit or loss and other comprehensive income.

b) Application of New and Revised International Financial Reporting Standards (IFRSs)

(i) New standards and amendments to published standards effective for the year ended 30 June 2014

The following new and revised IFRSs were effective in the current year and had no material impact on the amounts reported in these financial statements.

IFRS 10 Consolidated Financial Statements Requires a parent to present consolidated financial statements as those of a sin gle economic entity, replacing the requirements previously contained in IAS 27 Consolidated and Separate Financial State ments and SIC-12 Consolidation - Special Purpose Entities.

The Standard identifies the principles of control, determines how to identify whether an investor controls an investee and therefore must consolidate the investee, and sets out the principles for the preparation of consolidated financial statements.

The Standard introduces a single consolidation model for all entities based on control, irrespective of the nature of the inves tee (i.e. whether an entity is controlled through voting rights of investors or through other contractual arrangements as is common in 'special purpose entities'). Under IFRS 10, control is based on whether an investor has:

- Power over the investee
- Exposure, or rights, to variable returns from its involvement with the investee, and
- The ability to use its power over the investee to affect the amount of the returns.

The application of the standard does not have any impact on the company's financial statements as the company is not a parent.

IFRS 11 Joint Arrangements Replaces IAS 31 Interests in Joint Ventures. Requires a party to a joint arrangement to determine the type of joint arrangement in which it is involved by assessing its rights and obligations and then account for those rights and obligations in accordance with that type of joint arrangement.

Joint arrangements are either joint operations or joint ventures:

- A joint operation is a joint arrangement whereby the parties that have joint control of the arrangement (joint operators) have rights to the assets, and obligations for the liabilities, relating to the arrangement. Joint operators recognise their assets, liabilities, revenue and expenses in relation to its interest in a joint operation (including their share of any such items arising jointly).

- A joint venture is a joint arrangement whereby the parties that have joint control of the arrangement (joint venturers) have rights to the net assets of the arrangement. A joint venturer applies the equity method of accounting for its investment in a joint venture in accordance with IAS 28 Investments in Associates and Joint Ventures (2011). Unlike IAS 31, the use of 'proportionate consolidation' to account for joint ventures is not permitted.

The application of the standard will not have an impact on the company's financial statements as the company does not have a joint venture arrangement.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

1 ACCOUNTING POLICIES (Cont)

b) Application of New and Revised International Financial Reporting Standards (IFRSs) (Cont)

(i) New standards and amendments to published standards effective for the year ended 30 June 2014 (Cont)

IFRS 12 Disclosure of Interests in Other Entities

Requires the extensive disclosure of information that enables users of financial statements to evaluate the nature of, and risks associated with, interests in other entities and the effects of those interests on its financial position, financial performance and cash flows.

In high-level terms, the required disclosures are grouped into the following broad categories:
- Significant judgements and assumptions - such as how control, joint control, significant influence has been determined
- Interests in subsidiaries - including details of the structure of the group, risks associated with structured entities, changes in control, and so on
- Interests in joint arrangements and associates - the nature, extent and financial effects of interests in joint arrangements and associates (including names, details and summarised financial information)
- Interests in unconsolidated structured entities - information to allow an understanding of the nature and extent of interests in unconsolidated structured entities and to evaluate the nature of, and changes in, the risks associated with its interests in unconsolidated structured entities

IFRS 12 lists specific examples and additional disclosures which further expand upon each of these disclosure objectives, and includes other guidance on the extensive disclosures required.

The application of the standard will not have an impact on the company's financial statements as the company does not have an interest in other entities.

IFRS 13 Fair Value Measurement Replaces the guidance on fair value measurement in existing IFRS accounting literature with a single standard.

The IFRS is the result of joint efforts by the IASB and FASB to develop a converged fair value framework. The IFRS defines fair value, provides guidance on how to determine fair value and requires disclosures about fair value measurements. However, IFRS 13 does not change the requirements regarding which items should be measured or disclosed at fair value.

IFRS 13 applies when another IFRS requires or permits fair value measurements or disclosures about fair value measurements (and measurements, such as fair value less costs to sell, based on fair value or disclosures about those measurements). With some exceptions, the standard requires entities to classify these measurements into a 'fair value hierarchy' based on the nature of the inputs:
- Level 1 - quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date
- Level 2 - inputs other than quoted market prices included within Level 1 that are observable for the asset or liability, either directly or indirectly
- Level 3 - unobservable inputs for the asset or liability

Entities are required to make various disclosures depending upon the nature of the fair value measurement (e.g. whether it is recognised in the financial statements or merely disclosed) and the level in which it is classified.

The application of the standard will lead to additional disclosures in the financial statements.

IAS 28 Investments in Associates and Joint Ventures (2011) This Standard supersedes IAS 28 Investments in Associates and prescribes the accounting for investments in associates and sets out the requirements for the application of the equity method when accounting for investments in associates and joint ventures.

The Standard defines 'significant influence' and provides guidance on how the equity method of accounting is to be applied (including exemptions from applying the equity method in some cases). It also prescribes how investments in associates and joint ventures should be tested for impairment.

The application of the standard will not have an impact on the financial statements since the company does not have an associate entity.

Disclosures Offsetting Financial Assets and Financial Liabilities (Amendments to IFRS 7)

Amends the disclosure requirements in IFRS 7 Financial Instruments: Disclosures to require information about all recognised financial instruments that are set off in accordance with paragraph 42 of IAS 32 Financial Instruments: Presentation.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

1 ACCOUNTING POLICIES (Cont)

b) Application of New and Revised International Financial Reporting Standards (IFRSs) (Cont)

(i) New standards and amendments to published standards effective for the year ended 30 June 2014 (Cont)

The amendments also require disclosure of information about recognised financial instruments subject to enforceable master netting arrangements and similar agreements even if they are not set off under IAS 32. The IASB believes that these disclosures will allow financial statement users to evaluate the effect or potential effect of netting arrangements, including rights of set-off associated with an entity's recognised financial assets and recognised financial liabilities, on the entity's financial position.

The application of the standard will not have an impact on the financial statements since the company does not any master netting arrangements.

Government Loans (Amendments to IFRS 1)
Amends IFRS 1 First-time Adoption of International Financial Reporting Standards to address how a first-time adopter would account for a government loan with a below-market rate of interest when transitioning to IFRSs. The amendments mirror the requirements for existing IFRS preparers in relation to the application of amendments made to IAS 20 Accounting for Government Grants and Disclosure of Government Assistance in relation to accounting for government loans.

First-time adopters of IFRSs are permitted to apply the requirements in paragraph 10A of IAS 20 only to new loans entered into after the date of transition to IFRSs. The first-time adopter is required to apply IAS 32 Financial Instruments: Presentation to classify the loan as a financial liability or an equity instrument at the transition date. However, if it did not, under its previous GAAP, recognise and measure a government loan at a below-market rate of interest on a basis consistent with IFRS requirements, it would be permitted to apply the previous GAAP carrying amount of the loan at the date of transition as the carrying amount of the loan in the opening IFRS statement of financial position. An entity would then apply IAS 39 or IFRS 9 in measuring the loan after the transition date.

Annual Improvements 2009-2011 Cycle Makes amendments to the following standards:

- IFRS 1 — Permit the repeated application of IFRS 1, borrowing costs on certain qualifying assets
- IAS 1 — Clarification of the requirements for comparative information
- IAS 16 — Classification of servicing equipment
- IAS 32 — Clarify that tax effect of a distribution to holders of equity instruments should be accounted for in accordance with IAS 12 Income Taxes
- IAS 34 — Clarify interim reporting of segment information for total assets in order to enhance consistency with the require ments in IFRS 8 Operating Segments

The application of the amendments has no impact on the financial statements of the company.

Consolidated Financial Statements, Joint Arrangements and Disclosure of Interests in Other Entities: Transition Guidance Amends IFRS 10 Consolidated Financial Statements, IFRS 11 Joint Arrangements and IFRS 12 Disclosure of Interests in Other Entities to provide additional transition relief in by limiting the requirement to provide adjusted comparative information to only the preceding comparative period. Also, amendments to IFRS 11 and IFRS 12 eliminate the requirement to provide comparative information for periods prior to the immediately preceding period.

The application of the amendments has no impact on the financial statements of the company since the company is not part of a group and does not interest in other entities.

Amendments to IAS 1 Presentation of Financial Statements
(as part of the Annual Improvements to IFRSs 2009 - 2011 Cycle issued in May 2012) The Annual Improvements to IFRSs 2009 - 2011 have made a number of amendments to IFRSs. The amendments that are relevant to the company are the amendments to IAS 1 regarding when a statement of financial position as at the beginning of the preceding period (third statement of financial position) and the related notes are required to be presented. The amendments specify that a third statement of financial position is required when a) an entity applies an accounting policy retrospectively, or makes a retrospective restatement or reclassification of items in its financial statements, and b) the retrospective application, restatement or reclassification has a material effect on the information in the third statement of financial position. The amendments specify that related notes are not required to accompany the third statement of financial position.

In the current year, the company has restated the retirement benefit liability as it adopted the revised IAS 19 standard, which has resulted in material effects on the information in the statement of financial position as at 1 July 2012. In accordance with the amendments to IAS 1, the company has presented a third statement of financial position as at 1 July 2012 without the related notes except for the disclosure requirements relating to the impact on the application of the new standard.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

1 ACCOUNTING POLICIES (Cont)

b) Application of New and Revised International Financial Reporting Standards (IFRSs) (Cont)

(i) New standards and amendments to published standards effective for the year ended 30 June 2014 (Cont)

IAS 19 Employee Benefits (2011)
An amended version of IAS 19 Employee Benefits with revised requirements for pensions and other post-retirement benefits, termination benefits and other changes.

The key amendments include:

- Requiring the recognition of changes in the net defined benefit liability (asset) including immediate recognition of de fined benefit cost, disaggregation of defined benefit cost into components, recognition of remeasurements in other compre hensive income, plan amendments, curtailments and settlements (eliminating the 'corridor approach' permitted by the exist ing IAS 19)
- Introducing enhanced disclosures about defined benefit plans
- Modifying accounting for termination benefits, including distinguishing benefits provided in exchange for service and ben efits provided in exchange for the termination of employment and affect the recognition and measurement of termination benefits
- Clarifying various miscellaneous issues, including the classification of employee benefits, current estimates of mortality rates, tax and administration costs and risk-sharing and conditional indexation features
- Incorporating other matters submitted to the IFRS Interpretations Committee.

In the current year, the company has applied IAS 19 Employee Benefits (as revised in 2011) and the related consequential amendments for the first time. The impact of the revised standard has been detailed in Note 35.

(ii) New and amended standards and interpretations in issue but not yet effective for the year ended 30 June 2014

New and Amendments to standards	Effective for annual periods beginning on or after
Offsetting Financial Assets and Financial Liabilities (Amendments to IAS 32)	1 January 2014
Investment Entities (Amendments to IFRS 10, IFRS 12 and IAS 27)	1 January 2014
Recoverable Amount Disclosures for Non-Financial Assets (Amendments to IAS 36)	1 January 2014
Novation of Derivatives and Continuation of Hedge Accounting (Amendments to IAS 39)	1 January 2014
Annual Improvements 2010-2012 Cycle	1 July 2014
Annual Improvements 2011-2013 Cycle	1 July 2014
Regulatory Deferral Accounts(IFRS 14)	1 January 2016
Revenue from Contracts with Customers(IFRS 15)	1 January 2017
Accounting for Acquisitions of Interests in Joint Operations (Amendments to IFRS 11)	1 January 2016
Clarification of Acceptable Methods of Depreciation and Amortisation (Amendments to IAS 16 and IAS 38)	1 January 2016
Agriculture: Bearer Plants (Amendments to IAS 16 and IAS 41)	1 January 2016
IFRS 9	1 January 2018
New interpretation	
IFRIC 21 Levies	1 January 2014

IFRS 14, Regulatory Deferral Accounts

IFRS 14 permits an entity which is a first-time adopter of International Financial Reporting Standards to continue to account, with some limited changes, for 'regulatory deferral account balances' in accordance with its previous GAAP, both on initial adoption of IFRS and in subsequent financial statements.

Note: Entities which are eligible to apply IFRS 14 are not required to do so, and so can chose to apply only the requirements of IFRS 1 First-time Adoption of International Financial Reporting Standards when first applying IFRSs. However, an entity that elects to apply IFRS 14 in its first IFRS financial statements must continue to apply it in subsequent financial statements. IFRS 14 cannot be applied by entities that have already adopted IFRSs.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

1 ACCOUNTING POLICIES (Cont)

b) Application of New and Revised International Financial Reporting Standards (IFRSs) (Cont)

(ii) New and amended standards and interpretations in issue but not yet effective for the year ended 30 June 2014 (Cont)

The directors of the company do not anticipate that the application of the standard will have an impact on the company's financial statements

IFRS 15, Revenue from Contracts with Customers

IFRS 15 provides a single, principles based five-step model to be applied to all contracts with customers.

The five steps in the model are as follows:

- Identify the contract with the customer
- Identify the performance obligations in the contract
- Determine the transaction price
- Allocate the transaction price to the performance obligations in the contracts
- Recognise revenue when (or as) the entity satisfies a performance obligation.

Guidance is provided on topics such as the point in which revenue is recognised, accounting for variable consideration, costs of fulfilling and obtaining a contract and various related matters. New disclosures about revenue are also introduced.

The directors of the company do not anticipate that the application of the standard will have a significant impact on the company's financial statements.

iv) Early adoption of standards

The company did not early-adopt any new or amended standards in 2014.

Basis of Preparation

The financial statements have been prepared on the historical cost basis of accounting as modified to include the revaluation of property, plant and equipment and certain financial instruments.

The principal accounting policies adopted in the preparation of these financial statements remain unchanged from the previous year and are set out below:

Revenue Recognition

Sale of goods

Revenue is measured at the fair value of the consideration received or receivable. Revenue is reduced for estimated customer returns, rebates and other similar allowances.

Revenue from the sale of sugar, molasses, water and ethanol is recognised when all the following conditions are satisfied and are stated net of Value Added Tax (VAT), Sugar Development Levy, excise duty and discounts:

- the company has transferred to the buyer the significant risks and rewards of ownership of the goods;
- the company retains neither continuing managerial involvement to the degree usually associated with ownership nor effec tive control over the goods sold;
- the amount of revenue can be measured reliably;
- it is probable that the economic benefits associated with the transaction will flow to the entity; and
- the costs incurred or to be incurred in respect of the transaction can be measured reliably.

Sugar Development Levy does not apply to export sugar and molasses sales. Value Added Tax does not apply to export sugar sales as well as sales to exempted entities.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

1 ACCOUNTING POLICIES (Cont)

(i) Sale of electricity

Revenue from electricity sales is recognised based on kilowatt hours (KWH) of power exported to the national grid and capacity charges as provided for under a Power Purchase Agreement (PPA) with the Kenya Power & Lighting Company Limited.

(ii) Dividend and interest income

Dividend income from equity securities is recognised when the company's right to receive payment has been established provided that it is probable that the economic benefits will flow to the company and the amount of income can be measured reliably.

Interest income is recognised when it is probable that the economic benefits will flow to the company and the amount of revenue can be measured reliably. Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

(iii) Other income

All other income earned by the company is recognised on the accruals basis.

Foreign Currencies

Transactions in currencies other than the Kenya Shilling are translated at the rates of exchange prevailing on the dates of the transactions. At the end of each reporting period, monetary assets and liabilities that are denominated in foreign currencies are translated at the rates prevailing at the end of the reporting period. Gains and losses arising on translation are included in profit or loss for the period.
Exchange differences on monetary items are recognised in profit or loss in the period in which they arise except for exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings.

Borrowing Costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, these being assets that necessarily take a substantial period of time to get ready for their intended use, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use.

All other borrowing costs are recognised in profit or loss in the period in which they are incurred.

Deferred Grant Income

Grants related to acquisition of equipment are accounted for as deferred income and are recognised through profit or loss on a systematic basis over the useful life of the equipment.

Taxation

Income taxation expense represents the sum of current taxation and deferred taxation.

Current taxation is provided on the basis of the results for the year as shown in the financial statements, adjusted in accordance with the tax legislation.

Deferred income taxation is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income taxation.

Deferred tax assets are recognised to the extent that it is probable that future taxable profits will be available against which the associated unused tax losses or credits and deductible temporary differences can be utilised while deferred tax liabilities are recognised for all taxable temporary differences.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

1 ACCOUNTING POLICIES (Cont)

Property, Plant and Equipment

Property, plant and equipment are initially recorded at cost. All property, plant and equipment except motor vehicles and other equipments and fixtures are subsequently shown at their revalued amounts based on valuations by external independent valuers, less accumulated depreciation and any accumulated impairment losses. Valuations are done carried out by independent professional valuers. The basis of the valuation is open market value.

Revaluations are performed with sufficient regularity such that the carrying amount does not differ from that when would be determined using fair values at the end of the reporting period

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amounts and are taken into account in determining the profit before taxation. On disposal of revalued assets, amounts in the revaluation surplus relating to that asset are transferred to retained earnings.

The carrying values of property, plant and equipment are reviewed annually and adjusted for impairment where it is considered necessary.

Any revaluation increase arising on the revaluation is recognised in other comprehensive income, except to the extent that it reverses a revaluation decrease for the same asset previously recognised in profit or loss, in which case the increase is credited to profit or loss to the extent of the decrease previously expensed. A decrease in the carrying amount arising on the revaluation of such property, plant and equipment is recognised in profit or loss to the extent that it exceeds the balance, if any, held in the property revaluation reserve relating to a previous revaluation of that asset.

Depreciation

Depreciation is calculated on the straight-line method to write off the cost or the revalued amount of each asset to its estimated residual value over its estimated useful life. The annual rates used are:

Land development	2½%
Buildings	2½% - 5%
Factory plant and machinery	5% - 10%
Heavy mobile machinery	12½% - 25%
Motor vehicles	20% - 33 1/3%
Other equipment and fixtures	12½% - 33 1/3%

The annual depreciation on the revaluation surplus element of property, plant and equipment is transferred from the revaluation surplus to retained earnings.

Intangible Assets

Computer software

Intangible assets comprise the cost of acquired computer software programmes. Expenditure on acquired computer software programmes is capitalised and amortised using the straight-line method over their estimated useful lives, generally not exceeding three years. The carrying amount of intangible assets is reviewed annually and adjusted for any impairment losses. Intangible assets are not revalued.

Research and development expenditure

Expenditure on research activities is recognised as an expense in the period in which it is incurred. An internally generated intangible asset arising from development (or from the developmental phase of an internal project) is recognised if and only if, all of the following have been demonstrated:

- the technical feasibility of completing the intangible asset so that it will be available for use or sale;
- the intention to complete the intangible asset and use or sell it;
- the ability to use or sell the intangible asset;
- how the intangible asset will generate probable future economic benefits;
- the availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
- the ability to measure reliably the expenditure attributable to the intangible asset during its development.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

1 ACCOUNTING POLICIES (Cont)

The amount initially recognised for an internally - generated intangible asset is the sum of the expenditure incurred from the date when the intangible asset first meets recognition criteria listed above. Where no internally - generated intangible asset can be recognised, development expenditure is charged through profit or loss in the period in which it is incurred.

Inventories

Finished sugar, molasses, water and ethanol inventories are stated at the lower of production cost and net realisable value. Production cost comprises expenditure directly incurred in the manufacturing process and an allocation of normal production overheads attributable to the process. Net realisable value represents the estimated selling price less all estimated costs of completion and the estimated costs necessary to make the sale.

Spares, fertilisers, chemicals and other consumable stores are stated at cost net of provisions for impairment where applicable. Cost is calculated on the weighted average cost basis and includes the purchase price, import duties and other taxes (other than those subsequently recoverable by the company from the taxation authorities), and transport, handling and other costs directly attributable to the acquisition of the item.

Biological Assets

Biological assets (cane plantations) and agricultural produce (harvested cane) are stated at their fair values less estimated costs to sale.

The fair value of growing cane is determined based on the present value of expected net cash flows. The fair value of harvested cane is determined based on the prices of cane existing in the market less estimated point of sale costs

Immature growing cane is valued at cost.

Non-current Assets Held for Sale

Non-current assets are classified as held for sale if their carrying amount will be principally recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification. Non-current assets classified as held for sale are measured at the lower of the asset's previous carrying amount and the fair value less costs to sell.

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the company as a lessee. All other leases are classified as operating leases.

Company as a lessor

Rental income from operating leases is recognized on the straight line basis over the term of the relevant lease.

Company as a lessee

Rentals payable under operating leases are charged to profit or loss on the straight-line basis over the term of the relevant lease. Any payment required to be made to the lessor by way of penalty, for termination of leases before the expiry of the lease period, is recognised in the year in which termination takes place.

Payments to acquire leasehold interests in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Cash and Cash Equivalents

For the purpose of the statement of cash flows, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months of maturity when acquired; less advances from banks repayable within three months from the date of the advance.

Financial Instruments

Financial assets and financial liabilities are recognised in the company's statement of financial position when the company becomes a party to the contractual provisions of the instrument.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

1 ACCOUNTING POLICIES (Cont)

Financial Assets

Classification

The company classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans and receivables; held-to-maturity assets; and, available-for-sale assets. Management determines the appropriate classification of its financials assets at initial recognition.

Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management. The company's investment in quoted equity shares falls under this category.

Loans and receivables
Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the company provides money, goods or services directly to a debtor with no intention of trading the receivable. Bad debts are written off when all reasonable steps to recover them have failed. Objective evidence of impairment for a portfolio of receivables could include the Company's past experience of collecting payments, an increase in number of delayed payments in the portfolio past average credit period as well as observable changes in national or economic conditions that correlate with default on receivables. The company's trade and other receivables as well as cash and bank balances fall under this category.

Held to maturity
Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Where a sale occurs other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available-for-sale. The collateral and the term deposits fall under this category.

Available-for-sale financial assets
This category represents financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held-to-maturity.

Recognition
Financial assets are initially recognised at fair value plus directly attributable transaction costs for all financial assets not carried at fair value through profit or loss.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are dealt with in profit or loss in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised in other comprehensive income and accumulated in equity, until the financial asset is derecognised or impaired, at which time the cumulative gain or loss previously recognised in equity is recognised in profit or loss.

Derecognition

Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the company has transferred substantially all risks and rewards of ownership. If the company neither transfers nor retains all the risks and rewards

If the company neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the company recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the company retains substantially all the risks and rewards of ownership of a transferred financial asset, the company continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

Financial Liabilities

Financial liabilities are classified as either financial liabilities 'at fair value through profit or loss' or 'other financial liabilities'. Financial liabilities are initially measured at fair value plus, in the case of a financial liability not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition or issue of the financial liability. Financial liabilities are derecognised when the obligation specified in the contract is discharged or cancelled or expire.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

1 ACCOUNTING POLICIES (Cont)

Other Financial Liabilities

Other financial liabilities, including borrowings and trade and other payables, are initially measured at fair value, net of directly attributable transaction costs. Other financial liabilities are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis. The company's key other financial liabilities are:

Bank borrowings

Interest bearing loans and overdrafts are recorded at the proceeds received, net of direct costs. Finance charges, including premiums payable on settlement or redemption, are accounted for on the accrual basis and are added to the carrying amount of the instrument to the extent that they are not settled in the period in which they arise.

Trade and other payables

Trade and other payables are stated at their nominal value which approximates amortised cost.

Impairment

At the end of each reporting period, the company reviews the carrying amounts of its financial assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss is recognised through profit or loss whenever the carrying amount of the asset exceeds its recoverable amount.

Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, to the extent that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset in prior years. A reversal of an impairment loss is recognised immediately through profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

Retirement Benefits Obligations

Defined benefit scheme

The company operates a defined benefit post employment scheme for eligible non unionisable employees. The scheme is funded by contributions from both employer and employee. The assets of the scheme are held and administered independently of the company's assets.

The cost of providing benefits for the defined benefit scheme is determined using the Projected Unit Credit Method, with actuarial valuations being carried out every three years. Actuarial gains and losses that exceed 10 per cent of the greater of the present value of the company's defined benefit obligation and the fair value of plan assets as at the end of the prior year are amortised over the expected average remaining working lives of the participating employees. Past service cost is recognised immediately to the extent that the benefits are already vested, and otherwise is amortised on a straight-line basis over the average period until the benefits become vested.

The net retirement benefit obligation represents the present value of the defined benefit obligation as adjusted for unrecognised actuarial gains and losses and unrecognised past service cost, and as reduced by the fair value of plan assets. Any asset resulting from this calculation is limited to unrecognised actuarial losses and past service cost, plus the present value of available refunds and reductions in future contributions to the plan.

Defined Contribution Schemes

The company operates a defined contribution provident fund for eligible unionisable employees. The fund is administered independently of the company's assets. It is funded by contributions from the company and employees. The company has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The company's contributions to the fund are charged to profit or loss in the year to which they relate.

The company and its employees also contribute to the statutory National Social Security Fund, which is a defined contribution scheme. The company's obligation is limited to a specified contribution per employee per month. Currently, the contribution is limited to a maximum of Sh 200 per employee per month. The company's contributions are charged through profit or loss in the year to which they relate.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

1 ACCOUNTING POLICIES (Cont)

Contract gratuity

The company has fixed term service contracts with some of the employees. A contract gratuity of 25% of the basic pay earned over the contract period is paid at the end of the contract. The monetary liability is accrued at the end of each year based on the completed period of service.

Employee Benefits

Bonus scheme

The company operates a bonus scheme for its employees. The bonus is recognised upon attainment of set annual performance targets and is recognised in the period in which the services were rendered.

Restructuring and rationalisation provisions

Restructuring and rationalisation provisions mainly comprise employee termination payments and are recognised in the period in which the company becomes legally or constructively committed to payment.

Provision for staff leave pay

A provision is made to recognise staff entitlements in respect of annual leave not taken as at the end of the financial year.

Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared and appropriately authorized.

Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year. In particular, comparatives have been adjusted to comply with IAS 19 Employee Benefits (as revised in 2011 and effective for accounting periods beginning 1 January 2013).

2 CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION AND UNCERTAINTY

In the process of applying the company's accounting policies, management is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The judgements, estimates and associated assumptions are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision only affects that period or in the period of the revision and future periods if the revision affects both current and future periods. These are dealt with below:

(I) Critical Judgements In Applying The Company's Accounting Policies

Held to maturity investments

The company follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity financial assets. This classification requires significant judgement. In making this judgement, the company evaluates its intention and ability to hold such investments to maturity. If the company fails to keep these assets to maturity, for example selling a more than insignificant amount close to maturity, it will be required to classify the entire class as available-for-sale. The assets would therefore have to be measured at fair value and not amortised cost with the difference arising from this change in valuation being a corresponding entry to a fair value reserve in shareholders' equity.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

2 CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION AND UNCERTAINTY (Cont)

(ii) Key sources of estimation and uncertainty

Biological Assets

In determining the fair value of biological assets, management uses estimates based on historical data relating to yields and prices of sugar. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce potential differences between estimates and actual experience. The significant assumptions used are set out in note 17.

Property, plant and equipment and intangible assets

Critical estimates are made by the management in determining the useful lives of property, plant and equipment and intangible assets. This is the basis on which the depreciation and amortization rates applied on property, plant and equipment and intangible assets respectively are determined.

Impairment

At the reporting date, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss.

Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash generating unit to which the asset belongs. Any impairment losses are recognised as an expense immediately. Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount. A reversal of an impairment loss, other than that arising from goodwill, is recognised as income immediately.

Contingent liabilities

The company is exposed to various contingent liabilities in the normal course of business. Management evaluates the status of these exposures on a regular basis to assess the probability of the company incurring related liabilities. However, provisions are only made in the financial statements where, based on the management's evaluation, a present obligation has been established.

3 GOING CONCERN – BUSINESS PLAN TO RESTORE THE COMPANY'S PROFITABILITY AND SOLVENCY

The directors acknowledge that during the year ended 30 June 2014, the company incurred a loss of Shs 2,706,595,000 (2013: Shs 1,660,406,000) and the company's current liabilities exceeded its current assets by Shs 6,281,845,000 (2013: Shs 1,348,833,000). The board of directors attribute this to a number of factors including insufficient cane supply and declining sugar prices. The directors are currently pursuing a number of strategic measures to restore the company's solvency and ensure it returns to profitability.

The measures being pursued include:

(i) Cane availability: the company is sourcing additional sugar cane from private farmers within and outside Mumias zone to meet current crushing needs. The company is addressing the high cost of sugarcane production to attract more farmers into sugar cane growing as a viable venture through initiatives such as partnering with the government to subsidize inputs and setting up of cane buying centres near the farms to reduce on transport costs. Agriculture department has been restructured to adopt a model focussed on farmer engagement to improve supply and yields.

(ii) Sugar prices: the company has engaged relevant government agencies and regulatory authorities and there is increasing vigilance on illegally imported and counterfeit sugar to ensure competitive sugar pricing. The company has fulfilled all the preconditions for COMESA whose safeguards are expiring in February 2015 and has now embarked on a major initiative to regain its market share and margins through improved branding and distribution.

(iii) Lenders: the company has engaged all its lenders in negotiations aimed at rescheduling outstanding loans. These negotiations are at an advanced stage with financial close expected by December 2014.

(iv) Critical supplies and operations: the company has proactively engaged its critical suppliers and stakeholders for accommodation while settling outstanding amounts due to them in a prioritized manner. Critical factory spares and consumables have been stocked to assure continued operations.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

3 GOING CONCERN – BUSINESS PLAN TO RESTORE THE COMPANY'S PROFITABILITY AND SOLVENCY (Cont)

(v) Recurring losses: the company's management is aggressively pursuing strategies geared towards turning round the company into profitability. These include:

(a) Expanding packaging plant capacity to improve brand mix ratios and margins,
(b) Optimizing plant interdependencies to enhance capacity utilization,
(c) Improving production and factory efficiency through energy balance program,
(d) Sustaining and building brand equity and reviewing product distribution model to enhance margins,
(e) Pushing through the ongoing renegotiation of power purchase agreement with Kenya Power & Lighting Company Limited and Energy Regulatory Authority to raise power export tariffs and eliminate unfavourable clauses,
(f) Continuing with expansion of the market for portable spirit into the East African region,
(g) Improving water production processes and packaging to achieve efficacy and profitability and
(h) Aggressive cost containment across all cost and revenue centres.

(vi) Business sustainability strategies:

(a) Management is focussed on improving its supply chain by streamlining inbound and route to market logistics and by leveraging on its strong ERP system in managing critical linkages to optimize costs and gain competitive advantage,
(b) The company is pursuing a restructuring strategy to optimise utilization of its human and technological resources and deliver better value to its stakeholders,
(c) The company will leverage on its established quality management systems and other international standards currently on implementation to ensure its processes consistently produce quality products as well as ensure safe and environmentally sustainable operations,
(d) Management is implementing an Enterprise Risk Management framework and a code of conduct for staff to ensure proactive and ethical approach to its business dealings and relationships and
(e) Management will proactively analyse, consider and pursue strategic business partnerships to gain critical synergies necessary for the challenging and competitive environment that has become a reality in the industry.

In view of the foregoing, the directors consider it appropriate to prepare the financial statements on a going concern basis.

4 SEGMENTAL INFORMATION

a) Products and Services from which Reportable Segments derive their Revenues

Information reported to the company's chief operating decision maker (the Managing Director) for the purposes of resource allocation and assessment of segment performance is focussed on the principal activities of the company. The company defines its reportable operating segments on the basis of products as indicated below;

- Sugar segment which primarily produces and sells sugar.
- Energy segment which generates electricity from bagasse (a by product of sugar production) for sale to the Kenya Power & Lighting Company Limited.
- Ethanol segment which primarily produces and sells ethanol.
- Water segment which primarily produces and sells bottled drinking water.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

4 SEGMENTAL INFORMATION (Cont)

b) Segment Revenues and Results, Assets and Liabilities

At 30 June 2014	Sugar Shs'000	Energy Shs'000	Ethanol Shs'000	Water Shs'000	Total Shs'000
Revenue from customers	11,781,326	230,090	1,031,934	32,562	13,075,912
Intersegment sales	132,815	76,818	(209,633)	-	-
	11,914,141	306,908	822,301	32,562	13,075,912
Cost of sales	(10,766,335)	(652,488)	(644,768)	(164,117)	(12,227,708)
Fair value changes on biological assets	(91,547)	-	-	-	(91,547)
(Loss)/profit before tax	(2,914,068)	(454,119)	155,673	(192,532)	(3,405,046)
Finance costs	(339,565)	(105,576)	(156,256)	-	(601,397)
Finance income	263,322	698	-	-	264,020
Depreciation and amortization	(709,837)	(257,141)	(252,759)	(26,346)	(1,246,083)
Segment EBITDA	(1,854,041)	(92,100)	564,688	(206,686)	(1,588,139)
Segment assets	13,553,039	4,869,670	4,726,151	414,226	23,563,086
Segment liabilities	5,538,040	3,255,835	3,554,081	573,325	12,921,281
At 30 June 2013					
Revenue from customers	11,293,595	305,360	330,505	28,363	11,957,823
Intersegment sales	(83,179)	153,000	(69,821)	-	-
	11,210,416	458,360	260,684	28,363	11,957,823
Cost of sales	9,516,891	439,490	316,028	123,385	10,395,794
Fair value changes on biological assets	(13,781)	-	-	-	(13,781)
Loss before tax	(1,617,975)	(269,884)	(171,078)	(163,762)	(2,222,699)
Finance costs	(352,367)	(119,842)	(252,779)	-	(724,988)
Finance income	393,197	1,139	-	-	394,336
Depreciation and amortization	(652,929)	(264,864)	(248,129)	(23,455)	(1,189,377)
Segment EBITDA	(988,193)	113,683	329,830	(153,607)	(698,287)
Segment assets	16,434,975	5,371,264	5,037,294	438,460	27,281,993
Segment liabilities	5,313,826	3,095,684	4,874,471	615,522	13,899,503

NOTES TO THE FINANCIAL STATEMENTS (Cont)

4 SEGMENTAL INFORMATION (Cont)

Revenue reported above represents revenue generated from external customers, except for the intersegment sales identified in year 2014.

Segment liabilities represent long term loans and current liabilities only.

c) Information on major customers

Included in revenue arising from sales of sugar of Shs 11.78 billion (2013: Shs 11.29 billion), is revenue of approximately Shs 3.2 billion (2013: Shs 2.09 billion) which arose from sales to the company's largest customer.

The energy revenue solely relates to sales to Kenya Power & Lighting Company Limited (KPLC). The company has a power purchase agreement with KPLC which stipulates that the power generated by the company shall be purchased by KPLC as per agreed rates and operational parameters

d) Other information

The accounting policies for the reportable segments are the same as the company's accounting policy described in note 1.

All the assets of the company are located in Kenya.

5 REVENUE ANALYSIS

	2014 Shs'000	2013 Shs'000
Sugar sales	11,740,224	11,156,123
Molasses sales	41,102	137,471
Electricity sales	230,090	305,360
Ethanol sales	1,031,934	330,505
Water sales	32,562	28,364
Net sales	13,075,912	11,957,823
Gross sales	17,400,641	14,936,100
Less:		
Value Added Tax (VAT)	(2,392,155)	(2,049,620)
Sugar Development Levy (SDL)	(469,609)	(446,245)
Excise Duty	(1,462,965)	(482,412)
	(4,324,729)	(2,978,277)
Net sales	13,075,912	11,957,823

NOTES TO THE FINANCIAL STATEMENTS (Cont)

6 FINANCE INCOME AND COSTS

(a) Finance Income

	2014 Shs'000	2013 Shs'000
Interest income:		
On farmers' balances	251,556	380,387
On deposits with financial institutions held to maturity	698	785
On staff loans	11,068	12,025
On collateral deposits held to maturity	698	1,139
	264,020	394,336
	======	========

The interest income on farmers' balances relates to the interest that the company charges farmers in relation to credit advanced for farm inputs. The company recovers these amounts from the amounts payable to farmers on harvested cane.

(b) Finance Costs

	2014 Shs'000	2013 Shs'000
Interest expense:		
On loans	435,350	477,082
On bank overdrafts	176,133	252,779
Total interest expense	611,483	729,861
Other finance charges	63,167	63,710
Net foreign exchange gains	(73,253)	(68,583)
	601,397	724,988
	=======	========

7 LOSS BEFORE TAXATION

Loss Before Taxation is Arrived at After:

	2014 Shs'000	2013 Shs'000
Charging:		
Employment costs (note 8)	2,453,825	2,399,195
Depreciation of property, plant and equipment (note 12)	1,221,463	1,167,310
Amortisation of intangible assets (note 13)	24,620	22,067
Operating lease rentals (note 31)	23,348	17,011
Directors' emoluments - fees	5,000	4,500
- other	25,250	49,346
Auditors' remuneration	6,741	6,741
Bad and doubtful debts	302,104	93,775
Loss on disposal of quoted investments	594	-
Loss on disposal of non-current assets held for sale	17,053	122,296
Write off of fixed assets (note 12)	-	58,710
Impairment charge on water plant	76,327	-
Impairment provision on long term development costs	165,344	-
	=======	=======
Crediting:		
Gain on revaluation of quoted equity investments at fair value through profit or loss (note 21)	-	8,866
	=======	=======

NOTES TO THE FINANCIAL STATEMENTS (Cont)

8 EMPLOYMENT COSTS

	2014 Shs'000	2013 Shs'000
Salaries and allowances	2,263,017	2,175,543
Net retirement benefit expense (note 25 (b))	26,200	57,300
Pension - statutory defined contribution scheme	6,582	4,959
Provident fund	39,079	41,020
Staff insurance	92,657	87,252
Staff gratuity provision - note 25(a)	15,782	14,361
Provision for leave (note 29)	10,507	18,760
	2,453,825	2,399,195
	========	========

9 TAXATION

(a) Taxation Credit

	2014 Shs'000	2013 Shs'000
Current taxation based on the adjusted profit for the year at 30% - current year	5,378	17,739
Deferred taxation credit (Note 24)	(887,130)	(580,032)
Deferred tax losses not recognised	183,301	-
	(698,451)	(562,293)
	=======	========

As at 30 June 2014, the company had accumulated tax losses amounting to Shs 10,393,177,000 (2013: Shs 7,990,475,997).

Under the Kenyan legislation, with effect from 1 January 2010, tax losses can only be carried forward for a maximum of four years. The company has tax losses of Shs 611,000,000 that arose in the financial year ended 30 June 2010. The company is in the process of lodging an application for Kenya Revenue Authority to allow the company carry forward the losses beyond the four years.

(b) Reconciliation of Expected Tax based on accounting loss to taxation charge

	2014 Shs'000	2013 (Restated) Shs'000
Accounting loss before taxation	(3,405,046)	(2,222,699)
	========	========
Tax at the applicable rate of 30%	(1,021,514)	(666,810)
Tax effect of non-deductible expenses	240,896	226,161
Tax effect of non-taxable income and items subject to separate tax rates	(101,134)	(121,644)
Deferred tax losses not recognised	183,301	-
	(698,451)	(562,293)
	=======	=======

NOTES TO THE FINANCIAL STATEMENTS (Cont)

9 TAXATION (Cont)

(c) Corporate Tax Recoverable

	2014 Shs'000	2013 (Restated) Shs'000
At the beginning of year	(183,102)	(200,214)
Paid in the year	(730)	(627)
Charge for the year – Note 9(a)	5,378	17,739
At the end of year	178,454)	(183,102)

Loss per share is calculated by dividing the loss for the year attributable to shareholders by the number of ordinary shares in issue during the year.

	2014	2013
Loss for the year (Shs'000)	(2,706,595)	(1,660,406)
Number of ordinary shares (thousands) - Note 23	1,530,000	1,530,000
Loss per share - Basic and diluted (Shs)	(1.77)	(1.09)

There were no potentially dilutive shares outstanding at either 30 June 2014 or 30 June 2013.

11 DIVIDENDS

(a) Dividends Per Share

The directors do not recommend the payment of a dividend for the year (2013 – nil).

(b) The movement in the dividends payable account is as follows:

	2014 Shs'000	2013 Shs'000
At the beginning of year	456,375	299,437
Final dividend declared - for year 2012	-	765,000
	456,375	1,064,437
Dividend paid	(11,074)	(608,062)
At the end of year	445,301	456,375

The unclaimed dividends relate substantially to shareholders holding smaller number of shares who have not collected their cheques and the amounts have accumulated over time.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

12 PROPERTY, PLANT AND EQUIPMENT

	Land development Shs'000	Buildings Shs'000	Factory plant and machinery Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Capital work-in-progress Shs'000	Total Shs'000
COST OR VALUATION								
At 1 July 2012	1,318,544	3,385,165	14,542,674	331,634	358,410	732,218	704,386	21,373,031
Additions	64,229	1,367	144,265	106,264	12,355	26,594	860,952	1,216,026
Transfers to non-current assets held for sale (Note 21)	-	(2,430)	(10,184)	(7,395)	(26,629)	(31,564)	(57,848)	(136,050)
Transfers from capital work in progress	2,701	237,046	405,866	-	-	205,110	(850,723)	-
Transfers to intangible assets (Note 13)	-	-	-	-	-	-	(111,247)	(111,247)
Capital work in progress written off	-	-	-	-	-	-	(58,710)	(58,710)
At 30 June 2013	1,385,474	3,621,148	15,082,621	430,503	344,136	932,358	486,810	22,283,050
COMPRISING								
Cost	706,812	1,441,674	10,411,008	329,593	344,136	932,358	486,810	14,652,391
Valuation – 2011	678,662	2,179,474	4,671,613	100,910	-	-	-	7,630,659
	1,385,474	3,621,148	15,082,621	430,503	344,136	932,358	486,810	22,283,050
At 1 July 2013	1,385,474	3,621,148	15,082,621	430,503	344,136	932,358	486,810	22,283,050
Additions	11,997	-	47,597	73,858	12,722	24,338	338,560	509,072
Transfers to non-current assets held for sale (Note 21)	-	-	(140)	(10,701)	-	(10,052)	-	(20,893)
Transfers from capital work in progress	-	4,830	-	-	-	-	(4,830)	-
At 30 June 2014	1,397,471	3,625,978	15,130,078	493,660	356,858	946,644	820,540	22,771,229
COMPRISING								
Cost	718,809	1,446,504	10,458,465	392,750	356,858	946,644	820,540	15,140,570
Valuation – 2011	678,662	2,179,474	4,671,613	100,910	-	-	-	7,630,659
	1,397,471	3,625,978	15,130,078	493,660	356,858	946,644	820,540	22,771,229

NOTES TO THE FINANCIAL STATEMENTS (Cont)

12 PROPERTY, PLANT AND EQUIPMENT (Cont)

	Land development Shs'000	Buildings Shs'000	Factory plant and machinery Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Capital work-in-progress Shs'000	Total Shs'000
DEPRECIATION AND IMPAIRMENT								
At 1 July 2012	38,519	143,127	538,548	39,592	260,931	541,754	-	1,562,471
Charge for the year	38,918	151,244	821,546	51,134	30,028	74,440	-	1,167,310
Transfers to non-current assets held for sale (Note 22)	-	(132)	(5,160)	(1,078)	(25,233)	(30,210)	-	(61,813)
At 30 June 2013	77,437	294,239	1,354,934	89,648	265,726	585,984	-	2,667,968
At 1 July 2013	77,437	294,239	1,354,934	89,648	265,726	585,984	-	2,667,968
Charge for the year	39,222	156,241	837,839	64,471	30,336	93,354	-	1,221,463
Transfers to non-current assets held for sale (Note 21)	-	-	(140)	(3,567)	-	(10,052)	-	(13,759)
Impairment loss	-	-	76,327	-	-	-	-	76,327
At 30 June 2014	116,659	450,480	2,268,960	150,552	296,062	669,286	-	3,951,999
NET BOOK VALUE (valuation)								
At 30 June 2014	1,280,812	3,175,498	12,861,118	343,108	60,796	277,358	820,540	18,819,230
At 30 June 2013	1,308,037	3,326,909	13,727,687	340,855	78,410	346,374	486,810	19,615,082
NET BOOK VALUE (Cost basis)								
At 30 June 2014	619,028	704,714	11,739,149	237,799	59,443	250,783	820,540	14,431,456
At 30 June 2013	625,181	772,209	12,526,656	265,044	77,055	328,653	486,810	15,081,608

NOTES TO THE FINANCIAL STATEMENTS (Cont)

12 PROPERTY, PLANT AND EQUIPMENT (Cont)

Land developments, buildings, factory, plant and machinery were last revalued on 30 June 2012, by Tysons Limited, Registered Valuers and Estate Agents. Land developments were revalued based on open market value while the basis for the other assets was depreciated replacement cost.

The balance on capital work in progress mainly represents expenditure on incomplete works on the new office block, cane buying centres and factory machinery that were in progress at the end of the reporting period. The transfers from capital work in progress mainly relate to the expenditure incurred in factory equipment that were capitalised during the year at a cost of Shs 4.8 million (2013 – Shs 850million).

During the year, as the result of unexpected poor performance of the bottled water plant, the management carried out a review of the recoverable amount of the plant. These assets are used in the Company's bottled water reportable segment. The review led to the recognition of an impairment loss of Shs 76,327,000 which has been recognised in the profit or loss.

All property, plant and equipment have been charged to secure banking facilities as disclosed on note 27.

Fully Depreciated Property, Plant and Equipment

	Cost/valuation		Normal annual depreciation charge	
	2014 Shs'000	2013 Shs'000	2014 Shs'000	2013 Shs'000
Motor vehicles	223,909	247,462	44,782	52,358
Other equipment and fixtures	421,382	416,574	52,673	97,198
	645,291	664,036	97,455	149,556

Details of the fair value hierarchy for the company's property plant and equipment held at fair value as at 30 June 2014 are as follows:

At 30 June 2014

	Level 1 Sh'000	Level 2 Sh'000	Level 3 Sh'000	Total Sh'000
Land developments	-	1,280,812	-	1,280,812
Buildings	-	3,175,498	-	3,175,498
Factory plant and machinery	-	12,861,118	-	12,861,118
Heavy mobile machinery	-	343,108	-	343,108
At the end of year	-	17,660,536	-	17,660,536

At 30 June 2013

	Level 1 Sh'000	Level 2 Sh'000	Level 3 Sh'000	Total Sh'000
Land developments	-	1,308,037	-	1,308,037
Buildings	-	3,326,909	-	3,326,909
Factory plant and machinery	-	13,727,687	-	13,727,687
Heavy mobile machinery	-	340,855	-	340,855
At the end of year	-	18,703,488	-	18,703,488

NOTES TO THE FINANCIAL STATEMENTS (Cont)

13 INTANGIBLE ASSETS

	Computer software Shs'000	Development costs Shs'000	Capital work in progress Shs'000	Total Shs'000
At 1 July 2012	241,146	165,344	-	406,490
Additions	19,893	-	-	19,893
Transfers from property, plant and equipment (Note 12)	-	-	111,247	111,247
Transfers from capital work in progress	4,320	-	(4,320)	-
At 30 June 2013	265,359	165,344	106,927	537,630
At 1 July 2013	265,359	165,344	106,927	537,630
Additions	4,109	-	26,351	30,460
Provision for impairment	-	(165,344)	-	(165,344)
At 30 June 2014	269,468	-	133,278	402,746
AMORTISATION				
At 1 July 2012	199,887	-	-	199,887
Charge for the year	22,067	-	-	22,067
At 30 June 2013	221,954	-	-	221,954
At 1 July 2013	221,954	-	-	221,954
Charge for the year	24,620	-	-	24,620
At 30 June 2014	246,574	-	-	246,574
NET BOOK VALUE				
At 30 June 2014	22,894	-	133,278	156,172
At 30 June 2013	43,405	165,344	106,927	315,676

Intangible assets represent computer software and development costs. Capital work in progress relates to ongoing software upgrade.

Development costs represent consultancy, sensitisation and environmental impact assessment costs incurred on the development of the Tana Delta Integrated Sugar Project in conjunction with Tana and Athi River Development Authority (TARDA). A full provision for impairment has been made for these costs in the current year. All expenditure incurred on the research phase of this project was expensed when incurred.

The amounts incurred are to be converted to equity in a company to be incorporated to run the project and in which it is envisaged that Mumias Sugar Company Limited will have the majority shareholding. The company is in the process of identifying suitable investors and financiers for the project. In the meantime the directors have made a decision to make a provision for impairment of the asset until when funds are available to revive the project.

At 30 June 2014, intangible assets with a cost of Shs 209,981,740 (2013 – Shs 191,252,311) were fully amortised. The normal annual amortisation charge on these assets would have been Shs 69,986,914 (2013 – Shs 63,744,395).

NOTES TO THE FINANCIAL STATEMENTS (Cont)

14 PREPAID OPERATING LEASE RENTALS

The company owns 4,413.82 hectares of leasehold land. The land has been charged to secure banking facilities granted to the company as disclosed in Note 27. The development was last valued on 30 June 2013, by Tysons Limited, Registered Valuers and Estate Agents, on open market basis at Shs 790,000,000. The value of the land is not reflected as prepaid operating lease rentals as the land was allocated to the company by the Government of Kenya at no purchase consideration. In doing this, the company has applied the alternative recognition method allowed by IAS 20 'Accounting for Government Grants and Disclosure of Government Assistance' and accounted for both asset and grant at a nil amount.

15 NON CURRENT STAFF RECEIVABLES

	2014	2013
	Shs'000	Shs'000
Staff receivables	197,015	241,387
Less: receivable within one year (included in Note 18)	(88,035)	(83,692)
Receivable after one year (non-current)	108,980	157,695
	=======	=======

The company operates a staff car loan scheme for its employees whereby eligible employees are given loans to acquire cars for their personal use. The loans are repayable within a maximum period of 60 months.

Included in the staff receivables balances are staff car loans amounting to Shs 193,965,659 (2013 – Shs 241,387,000) which are secured by the vehicles acquired through the loans. The effective interest rate on staff loans during the year was 6% (2013 - 5%).

16 INVENTORIES

	2014	2013
	Shs'000	Shs'000
Sugar and molasses	108,357	1,245,532
Sugar in process	148,109	144,667
Ethanol	10,786	10,961
Water	4,216	7,946
	271,468	1,409,106
Mechanical and electrical spares	844,976	1,051,485
Fertilisers, chemicals and fuels	764	764
Other consumables	1,751	1,709
	1,118,959	2,463,064
	=======	========

The cost of inventories recognised as an expense during the year was Shs 1,129, 3965,155 (2013: Shs 8,926,742,000).

NOTES TO THE FINANCIAL STATEMENTS (Cont)

17 BIOLOGICAL ASSETS

	2014 Shs'000	2013 Shs'000
At the beginning of year	219,378	191,093
Additions at cost	216,729	222,949
Decrease due to harvest	(186,138)	(165,946)
Decrease due to impairment	(1,070)	(14,937)
	248,899	233,159
Loss arising from changes in fair value attributable to physical changes	(62,197)	(16,594)
(Loss)/gain arising from changes in fair value attributable to price changes	(29,350)	2,813
Fair value loss during the year	(91,547)	(13,781)
At the end of year	157,352 ========	219,378 ========

Significant assumptions made in determining the fair values of biological assets and agricultural produce are:

- The valuation is based on a market price of Shs 3,275 per tonne of sugar cane (2013 – Shs 3,825).
- Cost of cane at the age of six months and below approximate fair value. Mature cane has been stated at fair value less point of sale costs.
- The estimated sucrose content per tonne of mature cane (pol value) at various stages of growth will remain constant at between 8.9% and 13.1% depending on the age of the cane across the sugar belt.

As at 30 June 2014, 50.3% (2013 – 48%) of the Nucleus Estate land under cane cover measuring 1,685 ha (2013 – 1,614 ha) was under immature cane. The remaining 49.7% (2013 – 52%) estate land measuring 1,667 ha (2013 – 1,750 ha) was under mature cane.

During the year, 132,077 tonnes (2013 – 127,628 tonnes) of cane were harvested from the estate with a fair value less estimated point of sales of Shs 313,319,880 (2013 - Shs 404,989,547).

In determining the present value of expected net cash flows, the company has not discounted the cash flows as standing cane will mature within the next reporting period and therefore the impact of time value of money on estimated future cash flows is not significant.

The company expects to harvest most of the cane held at the end of the year within the next twelve months and therefore the biological assets have been presented as current assets.

As at 30 June 2014, the company had lodged insurance claims of Shs 37,605,607 (2013 - Shs 36,535,230) with the insurers for loss arising from cane fires in the Nucleus estates. The settlement of these claims remained contingent at year end and therefore have not been recorded in these financial statements.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

18 TRADE AND OTHER RECEIVABLES

	Gross amount Shs'000	Provision for doubtful debts Shs'000	Net 2014 Shs'000	Net 2013 Shs'000
Receivables from farmers	2,539,971	(847,825)	1,692,146	2,608,274,
MOCO receivables	799,047	(799,047)	-	-
Trade receivables	411,993	(140,504)	271,489	351,477
Other receivables and prepayments	749,780	(506,704)	243,076	545,712
Advance payments to suppliers	256,039	-	256,039	176,711
Staff receivables (Note 15)	88,035	-	88,035	83,692
	4,844,865	(2,294,080)	2,550,785	3,765,866
	========	========	========	========

Included in trade receivables is Shs 61,479,324 (2013 – Shs 50,403,816) that relates to the sale of electricity to Kenya Power and Lighting Company Limited in the normal course of trade.

Receivables from farmers relates to cost of farm inputs supplied to farmers on credit. The cane planted acts as collateral and amounts are recovered on purchase of cane from the farmers.

The directors have made provisions for the amounts deemed not recoverable from Mumias Outgrowers Company Organisation (MOCO) due to its inability to meet its obligations as they fall due.

The interest receivable from MOCO has been disputed by MOCO (Note 33).

19 COLLATERAL DEPOSIT

	2014 Shs'000	2013 Shs'000
At the beginning of year	301,925	294,817
Interest earned	803	899
Interest received	(803)	(899)
Currency translation gains	4,769	7,108
At the end of year	306,694	301,925
	=======	=======

This is a term deposit which represents a 10% advance collateral deposit on the PROPARCO Loan Facility (note 27) that the company was required to place in a Debt Reserve Bank Account with a receiving bank (Barclays Bank of Kenya Limited). The deposit amounted to US Dollars 3.5 million. The deposit earns interest at a rate of LIBOR minus 0.25%. The amount is expected to be discharged by December 2017 when the loan is fully repaid.

20 SHORT TERM DEPOSITS – Held to maturity

	2014 Shs'000	2013 Shs'000
At amortised cost		
Maturing within 90 days		
Barclays Bank of Kenya Limited	9,812	-
	=======	=======

The effective interest rates was as follows:

	2014 %	2013 %
Barclays Bank of Kenya Limited	0.45	-
	=======	=======

NOTES TO THE FINANCIAL STATEMENTS (Cont)

21 QUOTED INVESTMENTS – At fair value through profit or loss

	2014 Shs'000	2013 Shs'000
At the beginning of year	44,106	35,240
Proceeds on disposal	(43,512)	-
Loss on disposal	(594)	-
Fair value gain	-	8,866
At the end of year	-	44,106

The company was allotted the Uchumi Supermarkets Limited ordinary shares after the supermarket chain was relisted at the Nairobi Securities Exchange. This was in exchange for an outstanding debt of Shs 14,937,205 owed to the company by Uchumi Supermarkets Limited and a debenture of Shs 7,226,625. The total amount of Shs 22,163,830 was exchanged for 2,216,383 ordinary shares at a par value of Shs 10 per share. The company disposed of all the shares during the year.

22 NON CURRENT ASSETS HELD FOR SALE

	Building Shs'000	Factory plant and equipment Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment & fixtures Shs'000	Total Shs'000
At 1 July 2012	-	44,603	16,897	-	-	61,500
Transferred from property, plant and equipment (Note 12)	2,298	62,872	6,317	1,396	1,354	74,237
Disposals	(2,298)	(102,768)	(16,898)	(1,396)	(801)	(124,161)
At 30 June 2013	-	4,707	6,316	-	553	11,576
At 1 July 2013	-	4,707	6,316	-	553	11,576
Transferred from property, plant and equipment (Note 12)	-	-	7,134	-	-	7,134
Disposals	-	(4,707)	(13,450)	-	(553)	(18,710)
At 30 June 2014	-	-	-	-	-	-
NET BOOK VALUE						
At 30 June 2014	-	-	-	-	-	-
At 30 June 2013	-	4,707	6,316	-	553	11,576

Assets held for sale represented assets that the company disposed of during the year in their present condition.

23 SHARE CAPITAL

	2014 Shs'000	2013 Shs'000
Authorised:		
2,500,000,000 ordinary shares of Shs 2 each	5,000,000	5,000,000
Issued and fully paid:		
1,530,000,000 ordinary shares of Shs 2 each	3,060,000	3,060,000

Issued and fully paid ordinary shares, which have a par value of Shs 2, carry one vote per share and carry a right to dividend.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

24 DEFERRED TAXATION LIABILITY

Deferred income taxes are calculated on all temporary differences under the liability method using the enacted tax rate of 30%.

	2014 (restated) Shs'000	2013 Shs'000
The net deferred taxation liability is attributable to the following items:		
Deferred taxation liabilities:		
Accelerated capital allowances	3,462,115	3,625,810
Revaluation surpluses	1,316,332	1,360,042
Unrealised exchange gains	411,967	269,679
Defined benefit obligation	37,620	40,080
	5,228,034	5,295,611
Deferred taxation assets:		
Provision for service gratuity	(7,556)	(4,835)
Provision for staff leave pay	(8,430)	(13,088)
Fair value adjustment - biological assets	(119,545)	(92,081)
Unrealised exchange losses	(225,840)	(213,496)
General doubtful debts provision	(130,654)	(86,196)
Other provisions	(36,244)	(4,770)
Tax losses available for offset against future profits	(2,934,652)	(2,397,593)
	(3,462,921)	(2,812,059)
	1,765,113	2,483,552

The movement on the deferred taxation account during the year was as follows:

	2014 (restated) Shs'000	2013 Shs'000
At the beginning of year	2,483,552	2,975,594
Credit to profit or loss - note 9(a) - Current year	(887,130)	(580,032)
Deferred tax through other comprehensive income	(14,610)	87,990
Effects of deferred tax losses not recognised	183,301	-
At the end of year	1,765,113	2,483,552

25 RETIREMENT BENEFITS OBLIGATIONS

(a) Provision for Service Gratuity

	2014 Shs'000	2013 Shs'000
At the beginning of year	16,116	3,948
Provision for the year (Note 8)	15,782	14,361
Paid during the year	(6,710)	(2,193)
At the end of year	25,188	16,116

Maturity analysis

	2014 Shs'000	2013 Shs'000
Within one year	17,350	5,652
After one year	7,838	10,464
	25,188	16,116

NOTES TO THE FINANCIAL STATEMENTS (Cont)

25 RETIREMENT BENEFITS OBLIGATIONS (Cont)

b) Staff Retirement Defined Benefit Scheme

Mumias Sugar Company Limited Staff Retirement Benefits Scheme is established under trust and operates on a defined benefits basis. The Scheme is sponsored by Mumias Sugar Company Limited, and registered under irrevocable trust with the Retirement Benefits Authority. The Retirement Benefits Authority Act, 1997 and the Regulations under the Act require the Scheme to maintain a funding level of 100%. Where the funding level is below, such deficits are required to be armotised over a period not exceeding 6 years.
The Scheme is managed by a Board of Trustees. The Board of Trustees is responsible for the overall operation of the Scheme including making sure benefits are paid to beneficiaries on time.

The employer pays a fixed 10.7% percentage of the pensionable salary while the employees contribute 5% of their pensionable salaries per annum. The scheme is funded and hence the assets under the scheme are used to meet benefit payments as and when they arise. The timing of the benefit payments from the scheme are unkown as the scheme comprises of active members, pensioners and deferred pensioners
Under the scheme, the employees are entitled to post retirement annual pension of 1/60ths of the final pensionable salary for each year of pensionable service subject to a maximum of 60% of final pensionable pay. An employee may with the company's consent retire at or after the age of 50 years and receive an annual pension but will be reduced for early payment.. In case of early retirement due to ill health, the employee is entitled to annual pension based on the salary at the date of leaving and prospective service to retirement.

A full actuarial valuation was last carried out as at 30 June 2014 by Alexander Forbes Financial Services (E.A.) Limited. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the Projected Unit Credit Method.

The principal assumptions used for the purposes of the actuarial valuations were as follows:

	2014	2013
Discount rate (% p.a)	13%	12.5%
Mortality(pre- retirement)	A1949-1952	A1949-1952
Mortality(post- retirement)	n/a	n/a
Retirement age	55 years	55 years
Withdrawals	At rates consistent with similar arrangements	At rates consistent with similar arrangements
Future salary increases (% p.a)	7.5%	5% p.a for 2 years and 8% thereafter
	============	=============

The amount recognised in other comprehensive income in respect of these defined benefit plan are as follows:

	2014 Shs'000	2013 (Restated) Shs'000
Service cost:		
Current service cost	44,300	37,700
Net interest (credit)/charge	(18,100)	1 9,600
Components of defined benefit costs recognised in profit or loss (note 8)	26,200	57,300
	========	========
Remeasurement on the net defined benefit asset:		
Actuarial loss/(gain) obligation	80,900	(95,800)
Return on plan assets (excluding amounts in interest cost)	(32,200)	(197,500)
Total loss/(gain) recognised in other comprehensive income	48,700	(293,300)
Total	74,900	(236,000)
	========	========

NOTES TO THE FINANCIAL STATEMENTS (Cont)

25 RETIREMENT BENEFITS OBLIGATIONS (Cont)

b) Staff Retirement Defined Benefit Scheme (Cont)

The amount included in the statement of financial position arising from the entity's obligation in respect of its defined benefit plans is as follows:

	2014 Shs'000	2013 (Restated) Shs'000	2012 (Restated) Shs'000
Present value of funded obligations	1,708,400	1,487,900	1,474,800
Fair value of scheme assets	(1,833,800)	(1,621,500)	(1,301,800)
Defined benefit (asset)/liability	(125,400)	(133,600)	173,000

Movements in the present value of the defined benefit obligation in the current year were as follows:

	2014 Shs'000	2013 Shs'000
Opening defined benefit obligation	1,487,900	1,474,800
Current service cost (net of employee contributions)	44,300	37,700
Employee contributions	33,900	34,900
Interest costs	183,300	179,900
Actuarial losses/(gains)	80,900	(95,800)
Benefits paid	(121,900)	(143,600)
Closing defined benefit obligation	1,708,400	1,487,900

Movements in the present value of the plan assets in the current are previous period were as follows:

	2014 Shs'000	2013 Shs'000
Opening fair value of plan assets	1,621,500	1,301,800
Expected return on plan assets	233,600	128,300
Employee contributions	33,900	34,900
Employer contributions	66,700	70,600
Actuarial losses	-	229,500
Benefits paid	(121,900)	(143,600)
Closing fair value of plan assets	1,833,800	1,621,500

The major categories of plan assets at the end of the reporting period are shown below;

The major categories of plan assets, and the expected rate of return at the end of the reporting period for each category, are as follows.

	Fair value of plan assets		Proportion	
	2014 Shs'000	2013 Shs'000	2014 %	2013 %
Cash and cash equivalents	93,357	14,010	5.09	0.86
Equity instruments	599,094	544,049	32.67	33.55
Government securities	745,122	751,302	40.63	46.33
Corporate Bonds	156,594	128,650	8.54	7.93
Property	78,338	75,664	4.27	4.67
Offshore investments	134,929	105,505	7.36	6.51
Other investments	26,366	2,320	1.44	0.14
	1,833,800	1,621,500	100	100

NOTES TO THE FINANCIAL STATEMENTS (Cont)

25 RETIREMENT BENEFITS OBLIGATIONS (Cont)

b) Staff Retirement Defined Benefit Scheme (Cont)

The overall expected rate of return is a weighted average of the expected returns of the various categories of plan assets held. The director's assessment of the expected returns is based on historical return trends and analysts' predictions of the market for the asset in the next twelve months.

The actual return on plan assets was Shs 233,600,000 (2013: Shs 357,000,000).
Contributions to the company staff retirement defined benefit scheme are determined by the rules of the scheme and totalled Shs 66,700,000 (2013 - Shs 70,600,000) in the year.
The company expects to make a contribution of Shs 72,517,764 (2013 - Shs 73,416,534) to the defined benefit plans during the next financial year.

26 DEFERRED GRANT INCOME

	2014 Shs'000	2013 Shs'000
At the beginning of year	15,379	-
Received during the year	3,449	15,379
At the end of year	18,828	15,379

The deferred grant income represents the unamortised portion of funds received towards the purchase of equipment under a Roads Maintenance Unit package financed by the Kenya Sugar Board. There was no equipment purchased using the grant in the year and thus no amortisation has been recognised.

27 BORROWINGS

Summary of Borrowing Arrangements

	2014 Shs'000	2013 Shs'000
PROPARCO	1,308,309	1,458,631
Commercial Bank of Africa Limited	299,348	364,066
Barclays Bank of Kenya Limited	-	240,000
Ecobank Kenya Limited	1,139,815	1,219,486
CFC Stanbic Bank Limited	368,861	519,705
Kenya Commercial Bank	494,353	1,150,996
Kenya Sugar Board	679,129	75,695
Cooperative Bank Kenya Limited	80,157	-
Total loans (note 30(b))	4,369,972	5,028,579
Bank overdrafts (note 30(b))	1,369,899	1,011,204
Total borrowings	5,739,871	6,039,783
The movement in borrowings is presented on note 30(b)		
The borrowings are repayable as follows:		
On demand or within 1 year	5,245,518	3,058,448
Within 2 and 5 years	494,353	2,981,335
Within 5 and 10 years	-	-
Long term borrowings	494,353	2,981,335
Total borrowings	5,739,871	6,039,783

NOTES TO THE FINANCIAL STATEMENTS (Cont)

27 BORROWINGS (Cont)

Summary of Borrowing Arrangements (Cont)

Analysis of borrowings by currency

	Borrowings in US$	Kshs equivalent	Borrowings in Kenya Shillings	Total borrowings
	Shs'000	Shs'000	Shs'000	Shs'000
At 30 June 2014				
PROPARCO loan	17,567,377	1,308,309	-	1,308,309
Commercial Bank of Africa	-	-	299,348	299,348
Barclays Bank of Kenya	-	-	-	-
Ecobank Kenya Limited	9,737,085	778,436	361,379	1,139,815
CFC Stanbic Bank Limited	2,986,858	264,855	104,007	368,862
Kenya Commercial Bank Limited	-	-	494,353	494,353
Kenya Sugar Board	-	-	679,128	679,128
Cooperative Bank of Kenya	-	-	80,157	80,157
	30,291,320	2,351,600	2,018,372	4,369,972
Bank overdraft	3,008,380	263,615	1,106,284	1,369,899
	33,299,700	2,615,215	3,124,656	5,739,871
	========	========	========	========
At 30 June 2013				
PROPARCO loan	18,529,411	1,458,631	-	1,458,631
Commercial Bank of Africa	-	-	364,066	364,066
Barclays Bank of Kenya	-	-	240,000	240,000
Ecobank Kenya Limited	10,017,263	819,486	400,000	1,219,486
CFC Stanbic Bank Limited	2,986,858	519,705	-	519,705
Kenya Commercial Bank Limited	-	-	1,150,996	1,150,996
Kenya Sugar Board	-	-	75,695	75,695
	31,533,532	2,797,822	2,230,757	5,028,579
Bank overdraft	3,012,461	259,094	752,110	1,011,204
	34,545,993	3,056,916	2,982,867	6,039,783
	========	========	========	========

Movement in borrowings (excluding bank overdrafts) analysed by currency

	Borrowings in US$ Shs'000	Borrowings in Kenya Shillings Shs'000	Total borrowings Shs'000
Year 2014			
At 1 July 2013	2,575,968	2,452,611	5,028,579
Additional loans	-	1,201,071	1,201,071
Repayment of principal	(171,542)	(1,717,530)	(1,889,072)
Accrued interest	167,692	280,873	448,565
Repayment of interest	(101,409)	(240,699)	(342,108)
Currency translation gain	(77,063)	-	(77,063)
At 30 June 2014	2,393,646	1,976,326	4,369,972
	========	========	========

NOTES TO THE FINANCIAL STATEMENTS (Cont)

27 BORROWINGS (Cont)

Summary of Borrowing Arrangements (cont)

	Borrowings in US$ Shs'000	Borrowings in local currency Shs'000	Total borrowings Shs'000
Year 2013			
At 1 July 2012	2,958,517	960,413	3,918,930
Additional loans	52,918	2,673,428	2,726,346
Repayment of principal	(352,962)	(1,139,183)	(1,492,145)
Accrued interest	262,301	214,781	477,082
Repayment of interest	(220,254)	(256,828)	(477,082)
Currency translation gain	(124,552)	-	(124,552)
At 30 June 2013	2,575,968	2,452,611	5,028,579
	========	========	========

The company obtained a US dollar 10 million (Sh 876.29 million) and Kenya Shillings 800 million syndicate loan facility from a consortium of Ecobank Limited, Commercial Bank of Africa Limited and Bank of Africa Limited for part financing of the Ethanol distillery project. Of this facility, US dollars 9.3 million and Kshs 776 million was drawn during the financial year and continues to accrue interest at an average rate of 5.55% and 13.36% respectively. The loan is repayable by quarterly instalments over a period of 6 years and is secured by a fixed charge over the Ethanol plant. Repayment of the principal began at the end of the moratorium expiring in February 2014. Meanwhile the company continues to settle accrued interest on amount drawn as it falls due.

The company is required to make quarterly repayment of the principal and interest on the US Dollars 35 million (Sh 3 billion) PROPARCO loan while also maintaining the collateral deposit (note 18) at 10% of the loan disbursed as security. In addition to this collateral, the loan is secured by a fixed charge over the Cogeneration plant.

At the close of the financial year, the company had undrawn committed banking facilities amounting to Shs Nil (2013 – Shs Nil). The banking facilities consist of bank overdrafts, guarantees and letters of credit. The banking facilities are secured by legal charges over LR Mumias Sugar Scheme/2 and fixed and floating debentures over all of the company's assets for Shs 4,350,815,000 and total value of legal charge over the company's assets is Ksh 2,566,415,000 shared out on a parri passu basis by Kenya Commercial Bank Limited, CfC Stanbic Bank Limited and Barclays Bank of Kenya Limited.

The effective interest rates on the borrowings during the year were:

	2014	2013
PROPARCO	6.53%	6.53%
Barclays Bank of Kenya Limited	17.69%	19.96%
Commercial Bank of Africa Limited	13.36%	13.36%
Ecobank Kenya Limited	5.55%	5.55%
CfC Stanbic Bank Limited	6.32%	6.04%
Kenya Commercial Bank Limited	15.00%	13.96%
Bank overdrafts	20.00%	21.00%
	========	========

28 TRADE AND OTHER PAYABLES

	2014 Shs'000	2013 Shs'000
Trade payables	1,136,112	3,152,466
Outgrowers	898,767	711,432
Prepaid sales	210,022	271,072
Accruals	652,601	405,741
Other payables and provisions	2,001,377	303,961
	4,898,879	4,844,672
	========	========

NOTES TO THE FINANCIAL STATEMENTS (Cont)

29 PROVISION FOR STAFF LEAVE

	2014 Shs'000	2013 Shs'000
At the beginning of year	43,626	28,552
Provision for the year (Note 8)	10,507	18,760
Paid in the year	(26,032)	(3,686)
At the end of year	28,101	43,626

30 NOTES TO THE STATEMENT OF CASH FLOWS

(a) Reconciliation of Loss Before Taxation to Net Cash Generated from Operations

	2014 Shs'000	2013 Shs'000
Loss before taxation	(3,405,046)	(2,222,699)
Adjustments:		
Finance income	(264,020)	(394,336)
Interest and financial charges	674,650	793,571
Depreciation (Note 12)	1,221,463	1,167,310
Amortisation (Note 13)	24,620	22,067
Loss on disposal of non current assets held for sale	17,053	122,296
Exchange gain on collateral deposit (Note 19)	(4,769)	(7,108)
Foreign exchange gains on borrowings	(77,063)	(124,552)
Effect of prior year adjustment on retirement benefit obligation	-	(13,300)
Gain on revaluation of quoted investments	-	(8,866)
Loss on asset written off	-	58,710
Loss on disposal of quoted investments (Note 21)	594	-
Provision on impairment of long term development costs	165,344	-
Provision for impairment on water, plant and equipment	76,327	-
Net cash used in operations before working capital changes	(1,570,847)	(606,907)
Movements in:		
Non-current receivables	48,715	(7,605)
Inventories	1,344,105	(786,976)
Biological assets	62,026	(28,285)
Trade and other receivables	1,215,081	818,182
Trade and other payables	54,207	1,916,655
Provision for service gratuity	9,072	12,168
Provision for staff leave pay	(15,525)	15,074
Net cash generated from operations	1,146,834	1,332,306

(b) Loans Movement

	2014 Shs'000	2013 Shs'000
At the beginning of year	5,028,579	3,918,930
Received	1,201,071	2,726,346
Repayment of principal	(1,889,072)	(1,492,145)
Accrued interest	448,565	477,082
Repayment of interest	(342,108)	(477,082)
Currency translation (gain)/loss	(77,063)	(124,552)
At the end of year (Note 27)	4,369,972	5,028,579

NOTES TO THE FINANCIAL STATEMENTS (Cont)

30 NOTES TO THE STATEMENT OF CASH FLOWS (Cont)

(c) Analysis of the Balances of Cash and Cash Equivalents

	2014 Shs'000	2013 Shs'000
Cash and bank balances	31,248	70,923
Deposits with financial institutions (Note 20)	9,812	-
Bank overdrafts (Note 27)	(1,369,899)	(1,011,204)
	(1,328,839)	(940,281)

(d) Analysis of Interest Paid

	2014 Shs'000	2013 Shs'000
Interest paid on loans	342,108	477,082
Interest paid on bank overdrafts	203,418	252,779
	545,526	729,861

31 OPERATING LEASE ARRANGEMENTS

	2014 Shs'000	2013 Shs'000
The Company as Lessee:		
Minimum lease payments under operating leases recognised through profit or loss	23,348	17,011
At the end of the reporting period, the company had outstanding commitments under operating leases, payable as follows:		
Within one year	11,220	12,054
In the second to fifth years inclusive	25,201	10,545
After five years	-	-
	36,421	22,599

Operating lease payments represent rentals payable by the company for certain of its office premises, storage facilities and cane farming. The leases are cancellable with no penalty when the company gives three months notice to vacate the premises.

The Company as a Lessor:

Property rental income earned during the year amounted to Shs 13,397,268 (2013 – Shs 11,175,000). At the end of the reporting period, the company had contracted with tenants for the following future lease receivables.

	2014 Shs'000	2013 Shs'000
Within one year	13,397	11,175
In the second to fifth years inclusive	-	-
After five years	-	-
	13,397	11,175

NOTES TO THE FINANCIAL STATEMENTS (Cont)

32 CAPITAL COMMITMENTS

Commitments at the year-end for which no provision has been made in these financial statements:

	2014 Shs'000	2013 Shs'000
Authorised and contracted for	86,916	139,484
Authorised but not contracted for	746,174	1,012,646
	833,090	1,152,130
	========	========

The capital commitments relate primarily to purchase of heavy mobile machinery and upgrading of factory facilities (Shs 65million) and acquisition of information technology software and hardware (Shs 11 million).

33 CONTINGENT LIABILITIES

	2014 Shs'000	2013 Shs'000
Pending claims	5,503,258	144,250
Guarantees	36,303	214,616
	=======	=======

The company had a number of pending claims and litigation cases at the end of the year. These include the following:

(i) In 1998, Mumias Outgrowers Company Organisation (MOCO) made a claim of Shs 3,723,008,000 against Mumias Sugar Company Limited (MSC) in respect of cane development funds and interest overcharge. The dispute was taken to arbitration but the arbitration process was suspended after a judicial review. All amounts due from MOCO in respect of accountancy fees, outstanding loans and advances, subsidies to farmers and accrued interest have been fully provided for as indicated in Note 18.

(ii) In 2012, the Kenya Sugar Cane Growers Association (KESGA) made a claim of Shs 899,462,000 against Mumias Sugar Company Limited (MSC) for unlawfully and deliberately refusing to pay sugarcane farmers according to the simplified sugarcane pricing formula thereby causing a loss to the farmers.

(iii) In 2014, Dubai Bank Kenya Limited (DBKL) instituted winding-up proceedings against MSC over an alleged debt of Shs 91,249,000 accruing from a guarantee relating to imported sugar. MSC has disputed this claim and the court processes are ongoing.

(iv) Mumias Sugar Company Limited (MSC) has disputed an amount of Shs 162,693,000 (US$ 1,856,666) demanded by Peeraj General Trading Company relating to contract variations on the ethanol distillery project.

(v) Mumias Sugar Company Limited (MSC) has disputed a claim of Shs 953,515,760 demanded by Kenya Power & Lighting Limited relating to back feed energy consumption that had not been billed.

The directors, having undertaken necessary professional consultations, are of the opinion that the above claims are unlikely to succeed or lead to any material financial loss to the company. Therefore no provisions have been made in these financial statements in respect of the above claims.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

34 RELATED PARTY BALANCES AND TRANSACTIONS

a) Staff Loans

The company operates a company car loan scheme for managerial and supervisory employees. The cars are registered in joint names of the company and the employees as security for the car loans. The interest income earned on staff loans in the year amounted to Shs 11,068,000 (2013 – Shs 12,025,000).
The distribution of the loans is as follows:

	2014 Shs'000	2013 Shs'000
Due from directors	3,050	-
Due from key management	22,365	17,114
Due from other staff	171,600	224,273
	197,015	241,387
	=======	=======

b) Key Management Compensation

The remuneration for key management during the year was as follows:

	2014 Shs'000	2013 Shs'000
Salaries and other benefits	68,703	73,679
	=======	=======

c) Directors' Remuneration

Fees for services as directors	5,000	4,500
Other emoluments	25,250	49,346
	30,250	53,846
	=======	=======

35 PRIOR YEAR ADJUSTMENTS

The prior year adjustments have been processed in relation to retrospective application of the changes resulting from the revised International Accounting Standard 19, Employee Benefits (as revised in 2011). The financial statements for the financial years ended 30 June 2013 and 30 June 2012 have therefore been restated. The effect of the restatement on those financial statements is summarised below.

As at 30 June 2013	As previously reported at 30 June 2013 Shs'000	Adjustment Shs'000	As restated at 30 June2013 Shs'000
Assets			
Retirement benefit asset	-	133,600	133,600
	========	=======	========
Non current liabilities			
Deferred tax liability	2,443,472	40,080	2,483,552
	========	=======	========
Capital and reserves			
Retained earnings	7,055,538	93,520	7,149,058
	========	=======	========

NOTES TO THE FINANCIAL STATEMENTS (Cont)

35 PRIOR YEAR ADJUSTMENTS (Cont)

	As previously reported at 30 June2013 Shs'000	Adjustment Shs'000	As restated at 30 June 2013 Shs'000
Non current liabilities			
Deferred tax liability	3,027,494	(51,900)	2,975,594
Retirement benefits liability	-	173,000	173,000
	=========	========	=========
Capital and reserves			
Retained earnings	9,312,806	(121,100)	9,191,706
	=========	========	=========

Impact on total comprehensive income for the year on the application of IAS 19 (as revised in 2011)

Impact on profit for the year	Year ended 30 June 2014 Shs'000	Year ended 30 June 2013 Shs'000
Decrease in expenses	26,200	57,300
Increase in income tax credit	(7,860)	(17,190)
Increase in profit	18,340	40,110
	========	========
Impact on other comprehensive income for the year		
Decrease/(Increase) in remeasurement of defined benefit asset	48,700	(293,300)
Decrease/(increase) in income tax relating to items of other comprehensive income	(14,610)	87,990
Decrease/(Increase) in total comprehensive income for the year	34,090	(205,310)
	========	========

Impact on assets, liabilities and equity as at 1 July 2012 of the application of the amendments to IAS 19 (as revised in 2011)

	Shs'000
Increase in retirement benefit obligation liabilities	(173,000)
Increase in deferred tax assets	51,900
Decrease in net assets	(121,100)
Decrease in retained earnings	(121,100)
	========

NOTES TO THE FINANCIAL STATEMENTS (Cont)

35 PRIOR YEAR ADJUSTMENTS (Cont)

Impact on assets, liabilities and equity as at 30 June 2013 of the application of the amendments to IAS 19 (as revised in 2011)

	Shs'000
Increase in retirement benefit asset	133,600
Decrease in deferred tax assets	(40,080)
Decrease in net assets	93,520
Increase in retained earnings	93,520

Impact on assets, liabilities and equity as at 30 June 2014 of the application of the amendments to IAS 19 (as revised in 2011)

	Shs'000
Increase in retirement benefit asset	125,400
Increase in deferred tax liabilities	(37,620)
Increase in net assets	87,780
Increase in retained earnings	87,780

36 FINANCIAL RISK MANAGEMENT

Overview

The company's activities expose it to a variety of operational and financial risks. These activities involve the analysis, evaluation, acceptance and management of some degree of risk or combination of risks. Taking risk is core to the company's business and the operational risks are an inevitable consequence of being in business.

The company's aim is therefore to achieve an appropriate balance between risk and return and minimize potential adverse effects on its financial performance. The key types of financial risks include:

- Credit risk
- Market risk
- Liquidity risk

The key operational risks include political and environmental risks.

The company's financial risk management policies are designed to identify and analyze these risks, to set appropriate risk limits and controls, and to monitor the risks and at the same time ensuring adherence to laid down limits. This is achieved by means of reliable and up-to-date information systems. The company regularly reviews its financial risk management policies and systems to reflect changes in markets and emerging best practices.

The company's overall risk management programme focuses on the unpredictability of changes in the business environment and seeks to minimize potential adverse effects of such risks on its financial performance within the options available in the Kenyan market by setting acceptable levels of risks. Financial risk management is carried out by senior management under the supervision of the Board of Directors. Management in conjunction with various committees then identifies, evaluates and addresses risks accordingly.

In addition, the company has an independent internal audit department which reports directly to the Board Risk Audit and Compliance Committee. This department is responsible for assessing the risk faced by the company on an ongoing basis, evaluate and test the design and effectiveness of its internal accounting and operational controls that address these risks. The company does not enter into or trade in financial instruments, including derivative financial instruments, for either hedging or speculative purposes.

NOTES TO THE FINANCIAL STATEMENTS (Cont)
36 FINANCIAL RISK MANAGEMENT (Cont)

Credit Risk Management

Credit risk refers to the risk that a counter party will default on its contractual obligations resulting in financial loss to the company. The company has adopted a policy of only dealing with creditworthy counterparties and obtaining sufficient collateral, where appropriate, as a means of mitigating the risk of financial loss from defaults. The company is exposed to this risk in several areas including trade and other receivables and cash and cash equivalents. However, the company's credit risk is concentrated mainly in advances issued to farmers in the form of farming inputs and in trade receivables in the form of sugar debtors.

The company gives advances to farmers in the form of farming inputs to facilitate sugarcane crop establishment and to improve the productivity of the growing crop. Advances to farmers are eventually deducted from the value of the cane delivered upon harvesting. The key risk is therefore that the yield from the crop will not be sufficient to cover the advanced credit.

The company counters this risk by placing significant emphasis on the vetting and selection of farmers. This is done with the aid of comprehensive and documented criteria which includes a review of farmers' payment histories. The company also monitors budgeted sales outputs and expected factory crushing capacity and also forecasts of expected environmental conditions to aid it in budgeting for these advances. However the existence of favourable weather conditions will always remain outside the control of the company. Political upheavals and general unrest also pose a risk to the company usually resulting in the burning of immature cane. Burning of immature cane reduces the quality and the quantity of the yield from such cane in addition to raising production costs and waste. While an element of this risk is outside the company's control, it has however sought to mitigate this risk by enhancing security in its nucleus estates. The company does not purchase burnt cane from farmers in order to discourage irresponsible burning of immature cane by farmers in order to readily obtain quick cash.

The company is in the process of expanding its operations to avoid over-reliance on the small holder out grower systems with its significant operational challenges. This is mainly through expanding to other farming areas where it can employ the mechanized plantation farming which is expected to be easier and less costly to manage, result in higher per hectare productivity and reduced operational costs hence making the business more competitive and as a result yield higher returns for the shareholders. The company has also diversified into energy production, ethanol and water to reduce over reliance on sugar sales.

The bulk of the company's revenue relates to sugar sales. The company has a documented credit policy whose management and implementation is overseen by a Credit Committee. The Committee manages limits and controls concentrations of credit risk wherever they are identified. It structures the levels of credit risk it undertakes by placing limits on the amount of risk acceptable in relation to a debtor or categories of debtors. Such risks are monitored on a regular basis and are subject to regular reviews.

Exposure to credit risk is managed through regular analysis of the ability of credit customers to meet their obligations and by adjusting the limits appropriately. The credit risk on trade receivables is further mitigated by requiring most credit customers to provide guarantees issued by reputable banks recommended by the company.

In measuring credit risk relating to trade receivables, the company therefore reflects three components:
The 'probability of default' by the customer or counterparty on its contractual obligations; current exposures to the counterparty and its likely future development, from which the company derive the 'exposure at default'; and the likely recovery ratio on the defaulted obligations

With regard to impairment of outstanding receivables, it is the company's policy to assess/review all debts over 90 days for impairment and to provide for all debts where a debtor is declared bankrupt or facing financial difficulties. In some cases where an unsecured customer is in arrears the whole amount is provided for.

The credit risk bank balances is limited because the counter parties are banks with high credit ratings assigned by banking regulatory authority.

Maximum exposure to credit risk before collateral held or other credit enhancements
The maximum exposure to credit risk represents a worst case scenario of credit risk exposure to the company at the end of the reporting period, without taking account of any collateral held or other credit enhancements attached. For reported financial assets, this exposure is based on net carrying amounts as reported in the statement of financial position.

Collateral

The collateral held for sugar debtors include guarantees from reputable banks recommended by the company. Staff debtors mainly comprise car loans advanced to members of staff. The vehicles are jointly registered in the employee and company's name and hence there is no significant exposure arising from staff receivables. The credit risk on liquid funds is limited because the counterparties are commercial banks with high credit-ratings assigned by international credit-rating agencies. No collateral is held for advances to farmers.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

36 FINANCIAL RISK MANAGEMENT (Cont)

Credit Risk Management (Cont)

The credit risk exposures are classified in three categories:

Neither past due nor impaired

The company classifies financial assets under this category for those exposures that are up to date and in line with contractual agreements.

Past due but not impaired

These relate to financial assets that have passed the contractual payment period but are expected to be recovered within reasonable timelines. These assets are not impaired and continue to be recovered with the active involvement of management. The collateral held for sugar debtors in this category includes guarantees from reputable banks recommended by the company.

Impaired

Impaired financial assets are those for which the company determines that it is probable that it will be unable to collect all payments due according to the contractual terms of the agreement(s). No collateral is held with respect to the debt, or the collateral doesn't sufficiently cover the exposure.

On an ongoing basis, a credit evaluation is performed on the financial condition of accounts receivable.

Analysis of credit risk exposure

The company's largest customer accounted for 24% of its current year sales (2013: 19%):
Concentration of credit risk to the largest customer was 106% of gross monetary assets at the end of the reporting period. Concentration of credit risk to any other counter party did not exceed 5% of gross monetary assets at the end of the reporting period.

The amount that best represents the company's maximum exposure to credit risk as at 30 June 2014 is made up as follows:

	Neither past due nor impaired Shs'000	Past due but not impaired Shs'000	Impaired Shs'000	Total Shs'000
Trade receivables	226,532	44,957	140,504	411,993
Receivables from farmers	-	1,692,146	847,825	2,539,971
MOCO receivables	-	-	799,047	799,047
Collateral deposit	306,694	-	-	306,694
Short term deposits	9,812	-	-	9,812
Bank balances	29,485	-	-	29,485
	572,523	1,737,103	1,787,376	4,097,002
Less: impairment allowance	-	-	(1,787,376)	(1,787,376)
	572,523	1,737,103	-	2,309,626

NOTES TO THE FINANCIAL STATEMENTS (Cont)

36 FINANCIAL RISK MANAGEMENT (Cont)

Credit Risk Management (Cont)

The amount that best represents the company's maximum exposure to credit risk as at 30 June 2013 is made up as follows:

	Neither past due nor impaired Shs'000	Past due but not impaired Shs'000	Impaired Shs'000	Total Shs'000
Trade receivables	253,712	97,765	122,949	474,426
Receivables from farmers	-	2,608,274	471,169	3,079,443
MOCO receivables	-	-	799,047	799,047
Collateral deposit	301,925	-	-	301,925
Bank balances	68,726	-	-	68,726
	624,363	2,706,039	1,393,165	4,723,567
Less: impairment allowance	-	-	(1,393,165)	(1,393,165)
	624,363	2,706,039	-	3,330,402

The table below shows the ageing profile of past due but not impaired receivables:

	2014 Sh'000	2013 Sh'000
31 - 60 days	44,957	50,403
61 - 90 days	-	47,362
Above 90 days	1,692,146	2,608,274
	1,737,103	2,706,039

Market Risk Management

Market risk is the risk arising from changes in market prices, such as interest rate and foreign exchange rates which will affect the company's income or the value of its holding of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return. Overall responsibility for managing market risk rests with the company's management under the supervision of the Board of Directors.

(i) Interest rate risk

Interest rate risk arises primarily from borrowings, fixed and collateral deposits, cash and cash equivalents. The company's management monitors the sensitivity of reported interest rate movements on a monthly basis by assessing the expected changes in the different portfolios.

At 30 June 2014, an increase/decrease of 3 percentage points on interest rates would have resulted in a decrease/increase in pre-tax loss of Shs 8,308,000 (2013 – Shs 9,423,000). The interest rate on the PROPARCO loan and Barclays bank loans are fixed thereby eliminating the interest rate risk. This has not been factored in the sensitivity analysis above.

(ii) Currency risk

The company undertakes certain transactions denominated in foreign currencies, mainly the US dollar, the Euro, the Sterling Pound and the South African Rand. This results in exposures to exchange rate fluctuations. The balances impacted in this regard are the balances due to foreign suppliers, balances due from foreign debtors or denominated in foreign currency, bank balances and collateral and term deposits denominated in foreign currency.

As at 30 June 2014, an increase/decrease of 5 percentage points on exchange rates would have resulted in an decrease/increase in pre-tax profit of Shs 12,423,212 (2013 – Shs 14,510,180). This risk is primarily attributed to the PROPARCO loan after adjusting for the effect of US dollar denominated PROPARCO loan collateral deposit, term deposits, trade and other receivables and Euro denominated trade and other receivables.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

36 FINANCIAL RISK MANAGEMENT (Cont)

Liquidity Risk Management

This is the risk that the company will encounter difficulties in meeting its financial commitments from its financial liabilities that are settled by delivering cash or another financial asset. Prudent liquidity risk management includes maintaining sufficient cash to meet company obligations when they fall due, under both normal and stressed conditions, without incurring unacceptable losses or at the risk of damaging the company's reputation.

Ultimate responsibility for liquidity risk management rests with the Board of Directors, which has developed and put in place an appropriate liquidity risk management framework for the management of the company's short, medium and long-term funding and liquidity management requirements.

The company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities. In addition, all major capital investments are funded by a mixture of equity and long term debt.

The following table analyses the company's remaining contractual maturity for its non-derivative financial liabilities with agreed repayment periods. The table has been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the company may be required to pay. The tables include both interest and principal cash flows and exclude the impact of netting agreements.

	1 - 6 months Shs'000	6 – 12 months Shs'000	1 – 5 years Shs'000	Above 5 years Shs'000	Total Shs'000
At 30 June 2014					
Borrowings	2,066,316	988,166	1,809,038	-	4,863,520
Trade payables	1,136,112	-	-	-	1,383,860
Payables to out growers	898,767	-	-	-	898,767
Bank overdrafts	1,369,899	-	-	-	1,369,899
Total financial liabilities (contractual maturity dates)	5,471,094	988,166	1,809,038	-	8,268,298
At 30 June 2013					
Borrowings	1,365,058	1,173,092	3,567,057	-	6,105,207
Trade payables	3,152,466	-	-	-	3,152,466
Payables to out growers	711,432	-	-	-	711,432
Bank overdrafts	1,011,204	-	-	-	1,011,204
Total financial liabilities (contractual maturity dates)	6,240,160	1,173,092	3,567,057	-	10,980,309

Determination of fair value and fair values hierarchy

IFRS 7 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources; unobservable inputs reflect the bank's market assumptions. These two types of inputs have created the following fair value hierarchy:

- Level 1 – Quoted prices (unadjusted) in active markets for identical assets or liabilities. This level includes listed equity securities and debt instruments on exchanges.
- Level 2 – Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices).
- Level 3 – inputs for the asset or liability that are not based on observable market data (unobservable inputs). This level includes equity investments and debt instruments with significant unobservable components. This hierarchy requires the use of observable market data when available. The company considers relevant and observable market prices in its valuations where possible.

NOTES TO THE FINANCIAL STATEMENTS (Cont)

36 FINANCIAL RISK MANAGEMENT (Cont)

Liquidity Risk Management (Cont)

The company has investment in quoted Uchumi shares which are carried at fair value through profit or loss amounting to Shs Nil (2013 – Shs 44,106,000). This investment is categorised under level 1. There were no financial assets categorised under the other levels at the end of the reporting period (2013 – nil).

37 CAPITAL MANAGEMENT

The company's objectives when managing capital are:

- To match the profile of its assets and liabilities, taking account of the risks inherent in the business;
- To maintain financial strength to support business growth; and
- To safeguard the company's ability to continue as a going concern so that it can continue to provide adequate returns to its shareholders and value to all other stakeholders.

The capital structure of the company consists of debt, which includes the borrowings less cash and cash equivalents and equity attributable to equity holders, comprising issued capital, revaluation surplus and retained earnings.

The Board of Directors reviews the capital structure on a regular basis. As part of this review, the board considers the cost of capital and the risks associated with each class of capital. Based on the review, the company analyses and assesses the gearing ratio to determine the appropriate levels. This ratio is calculated as net debt divided by equity. Net debt is calculated as total borrowings less cash and cash equivalents.

There have been no material changes in the company's management of capital during the year.

	2014 Shs '000	2013 Shs '000
The gearing ratio at the year end was as follows:		
Shareholders' equity	10,641,805	13,382,490
Borrowings (Note 27)	4,369,972	5,028,579
Collateral deposits (Note 19)	(306,694)	(301,925)
Bank overdraft less cash and bank balances and short term deposits	1,328,839	940,281
Net debt	5,392,117	5,666,935
Gearing ratio	50.67%	42.35 %

38 INCORPORATION

The company is domiciled and incorporated in Kenya under the Companies Act.

39 CURRENCY

The financial statements are presented in Kenya Shillings rounded to the nearest thousand (Sh '000) which is also the functional currency.

APPENDIX I

DETAILED STATEMENT OF PROFIT OR LOSS AND COMPREHENSIVE INCOME

For the Year Ended 30 June 2014

	Appendix	2014 Shs'000	2013 Shs'000
SALES			
Gross sugar sales		14,163,407	13,458,729
Gross molasses sales		47,678	159,455
Gross electricity sales		257,701	341,992
Gross ethanol sales		2,889,224	939,721
Gross water sales		42,631	36,203
Total gross sales		17,400,641	14,936,100
Value added tax		(2,392,154)	(2,049,620)
Sugar development levy		(469,610)	(446,245)
Excise Duty		(1,462,965)	(482,412)
NET SALES		13,075,912	11,957,823
COST OF SALES			
Cane purchases	II	(6,795,841)	(6,472,874)
Factory production- sugar	II	(1,333,483)	(1,009,703)
Factory production- energy	II	(401,307)	(439,490)
Factory production – ethanol	II	(435,589)	(309,789)
Factory production – water	II	(101,940)	(130,740)
Factory engineering	II	(1,008,460)	(1,240,041)
Production overheads	III	(1,197,850)	(1,060,107)
Sugar packaging materials		-	(290,281)
Decrease in the value of sugar inventories		(953,238)	557,231
		(12,227,708)	(10,395,794)
GROSS PROFIT		848,204	1,562,029
OTHER INCOME	III	376,074	237,286
MARKETING AND DISTRIBUTION COSTS	III	(929,128)	(870,920)
ADMINISTRATIVE EXPENSES	IV	(3,271,272)	(2,806,661)
FINANCE INCOME		264,020	394,336
FINANCE COSTS		(601,397)	(724,988)
LOSS BEFORE TAXATION		(3,313,499)	(2,208,918)

Reconciliation of results at actual cost of biological assets and agricultural produce to results based on fair valuation of biological assets and agricultural produce:

	2014 Shs'000	2013 Shs'000
LOSS BEFORE TAXATION AS ABOVE	(3,313,499)	(2,208,918)
Fair value adjustment	(91,547)	(13,781)
LOSS BEFORE TAXATION AS PER STATEMENT OF COMPREHENSIVE INCOME	(3,405,046)	(2,222,699)

APPENDIX II
DETAILED STATEMENT OF PROFIT OR LOSS AND COMPREHENSIVE INCOME
For the Year Ended 30 June 2014

	2014	2013
CANE PURCHASES	Shs'000	Shs'000
Registered out growers cane	6,382,030	6,070,735
Nucleus estate cane	413,811	402,139
	6,795,841	6,472,874
FACTORY PRODUCTION- SUGAR		
Depreciation of factory plant and buildings	186,592	253,563
Staff costs	103,269	162,518
Packaging Material	244,908	263,220
Spares	230,175	67,493
Fuels	76,245	3,048
Other costs	419,370	192,137
Factory chemicals	72,924	67,724
	1,333,483	1,009,703
FACTORY PRODUCTION- ENERGY		
Depreciation of factory plant and buildings	273,471	264,864
Fuels	5,288	10,003
Other costs	8,072	24,789
Factory chemicals	2,112	49,231
Plant and equipment repairs	17,460	37,827
Mechanical, electrical & instrument spares	94,904	52,776
	401,307	439,490
FACTORY PRODUCTION- ETHANOL		
Depreciation of factory plant and buildings	258,961	248,129
Chemicals	12,961	8,744
Fuels	87,542	-
Spares	4,916	1,792
Staff costs	40,546	50,506
Other costs	30,663	618
	435,589	309,789
FACTORY PRODUCTION- WATER		
Depreciation of factory plant and buildings	22,116	23,455
Packaging materials	32,796	21,345
Other costs	42,842	85,940
Spares	4,186	-
	101,940	130,740
FACTORY ENGINEERING		
Spares	219,099	286,691
Staff costs	355,016	353,482
Plant and equipment repairs	36,628	157,334
Other costs	213,506	388,231
Depreciation	184,211	54,303
	1,008,460	1,240,041

APPENDIX III

DETAILED STATEMENT OF PROFIT OR LOSS AND COMPREHENSIVE INCOME
For the Year Ended 30 June 2014

	2014 Shs'000	2013 Shs'000
FACTORY PRODUCTION OVERHEADS		
Cane establishment and development other costs	94,911	229,802
Cane establishment and development staff costs	324,015	204,140
Factory administration – staff costs	23,954	15,722
Factory administration – Other Costs	100,766	-
Harvesting and transport staff costs	143,173	144,351
Harvesting and transport other costs	511,031	444,213
Ethanol plant administration - staff costs	-	6,942
Biological Assets Impairment costs	-	14,937
	1,197,850	1,060,107
OTHER INCOME		
Guest house	33,528	55,832
Sundry income	247,514	115,856
Rent receivable	13,397	11,172
Seed cane sales	81,635	45,560
Gain on revaluation of quoted investments	-	8,866
	376,074	237,286
MARKETING AND DISTRIBUTION COSTS		
Road haulage	393,265	347,441
Staff costs	133,017	146,579
Advertising and promotion	116,356	131,894
Other costs	117,904	132,674
Rail transport	37	5,048
CSR	8,396	27,697
Storage costs	145,316	67,797
Depreciation	14,837	11,790
	929,128	870,920

APPENDIX IV
DETAILED STATEMENT OF PROFIT OR LOSS AND COMPREHENSIVE INCOME
For the Year Ended 30 June 2014

	2014	2013
	Shs'000	Shs'000
ADMINISTRATIVE EXPENSES		
Staff costs	571,855	586,173
Other costs	950,304	488,024
Tax penalties	200,388	-
Legal and professional fees	108,456	83,343
Medical services	80,346	71,808
Travelling	68,642	60,508
Security	58,525	89,497
Publications and listing	19,139	27,354
Directors' emoluments	29,981	20,660
Amortisation of intangible assets	17,044	7,763
Software licenses and support	12,407	19,653
Insurance	93,095	104,365
Bank charges	38,786	34,031
Staff training and recruitment costs	18,501	26,821
Telephones and communications	18,996	17,497
Audit fees	6,741	6,741
Stationery	4,506	5,413
Bad and doubtful debts	136,761	206,174
Donations	8,225	1,067
Staff costs	232,254	268,805
Depreciation	296,112	322,996
Other costs	239,938	130,464
Sports and community services	33,247	27,733
Residential estate services	9,376	11,882
Other provisions	-	65,593
Loss on disposal of quoted investments	594	-
Loss on disposal of non-current assets held for sale	17,053	122,296
	3,271,272	2,806,661
	========	=========

PROXY FORM

Share Member No……………..

The Company Secretary
Mumias Sugar Company Limited (MSC)
Private Bag
MUMIAS

PROXY

I/We -- of --

Being a *Member/Members of the named Company, hereby appoint:

-- of --

Or failing him -- of --

As*my/our proxy to vote for*me/us on*my/our behalf at the Annual General Meeting (AGM) of the Company to be held on Friday 5th December, 2014 and at any adjournment thereof.

*Strike out as appropriate
Signature (s)

Signed this --- day of --2014

Notes

1. The address should be that shown in the register of members.
2. In the case of a member being a corporation, this form of proxy must be executed either under its common seal or signed on its behalf by an attorney or officer of the corporation duly authorized.
3. A person appointed to act as a proxy need not be a member of the Company.
4. In case of joint holders, the signature of any one holder will be sufficient but the names of all joint holders should be stated.

Cut here……………………………………………………………………………………………………..

Shareholders admission letter for MSC AGM on Friday 5th December, 2014

Please complete this letter and note that this admission letter must be produced at the Annual General Meeting by you or your proxy in order to record attendance. Kindly note that only the registered shareholder or their proxy notified to the Company not later than 48 hours before the meeting will be admitted to the meeting.

Name ……………………………………………………………………………………………………..

Signature ……………………………………………………………………………………………………..

Share account number ……………………………………………………………………………………………………..

Annual General Meeting (AGM) of Mumias Sugar Company (MSC) to be held at Tom Mboya Labour College, Ring Road Milimani, Kisumu on Friday 5th December, 2014 at 10.00 am.

FOMU YA UWAKILISHI

Nambari ya Mwanahisa…..

KATIBU WA KAMPUNI
Mumias Sugar Company Limited (MSC)
Private Bag
MUMIAS

WAKALA

Mimi/Sisi ……………………………………………… kutoka ……………………………………………

Kama *Mwanachama/Wanachama wa kampuni iliyotajwa, twamteua:

……………………………………………………… kutoka ………………………………………………………

Au akikosa ……………………………………… kutoka ………………………………………………………

Kama wakala wangu/wakala wetu kupiga kura kwa niaba yangu*/sisi wakati wa Mkutano wa pamoja wa mwaka (AGM) utakaofanyika Ijumaa Desemba 5, 2014 au kuahirishwa kwake.

*Jaza panapohitajika.

Sahihi

Imetiwa sahihi ………………………………………………………… siku hii ya ………………………………………………… 2014

Muhimu:

1) Anwani iwe kama ilivyoonyeshwa kupitia sajili ya wanachama
2) Endapo mwanachama atakuwa shirika, ni lazima fomu hii ya uwakilishi ipigwe mhuri au kutiwa sahihi kwa niaba yake na wakili au afisa wa shirika aliyeidhinishwa.
3) Si lazima kwa mtu aliyeteuliwa kama wakala kuwa mwanachama wa kampuni
4) Endapo mmiliki ni zaidi ya mmoja, sahihi ya mmoja wao itakuwa imetosha lakini majina ya wamiliki wote yaonyeshwe.

Kata hapa……………………………………………………………………………………….….

Barua ya kuwaruhusu wanahisa kuhudhuria mkutano wa pamoja wa mwaka wa MSC Ijumaa Desemba 5, 2014.

Tafadhali jaza barua hii na ufahamu kwamba ni lazima itolewe nawe au wakala wako wakati wa mkutano wa pamoja wa mwaka ili kurekodi idadi ya waliohudhuria.Tafadhali fahamu kwamba ni wanahisa waliosajiliwa tu au mawakala wao ambao majina yao yatakuwa yamewasilishwa kwa kampuni saa 48 kabla ya kuanza kwa mkutano watakaoruhusiwa kuhudhuria.

Jina…………………………………………………………………………………………..

Sahihi …………………………………………………………………………………………

Nambari ya akanuti ya hisa…………………………………………………………………

Mkutano wa pamoja wa mwaka wa Kampuni ya MSC utakaofanyika Chuo cha Tom Mboya Labour , Ring Road Milimani, Kisumu Ijumaa Desemba 5, 2014 kuanzia saa nne asubuhi.

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